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# OECD ECONOMIC SURVEYS

1999

*SPECIAL FEATURES*
**Structural policies**
**The economic strategy**

# NEW ZEALAND

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# OECD ECONOMIC SURVEYS

## 1998-1999

NEW ZEALAND

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

# ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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# BASIC STATISTICS OF NEW ZEALAND

## THE LAND

| | |
|---|---|
| Area (1 000 sq. km) | 268.0 |
| Percentage of total pasture and arable land, 1996 | 49.5 |
| Urban population, percentage of total (Census March 1996) | 85.0 |
| Population of major urban areas (Census March 1996, 1 000 persons): | |
| Auckland | 997.9 |
| Christchurch | 331.4 |
| Wellington | 335.5 |

## THE PEOPLE

| | |
|---|---|
| Population, Census 1996 (1 000) | 3 681.5 |
| Inhabitant per sq. km | 13.7 |
| Civilian employment, December 1998 (1 000) | 1 725.0 |
| *of which:* | |
| Agriculture, forestry, hunting, fishing | 147.0 |
| Manufacturing | 289.8 |
| Trade (wholesale and retail) | 370.1 |
| Community and personal services | 470.4 |

## PARLIAMENT AND GOVERNMENT

| | |
|---|---|
| Present composition of Parliament: | |
| National Party | 44 |
| Labour Party | 37 |
| Alliance | 12 |
| New Zealand First | 8 |
| ACT New Zealand | 8 |
| Independent | 5 |
| Mauri Pacific | 5 |
| United New Zealand Party | 1 |

Present Government: National Party minority government.
Next general election: at latest by October 1999.

## PRODUCTION*

| | |
|---|---|
| Gross Domestic Product 1997-1998 (NZ$ million) | 98 247 |
| GDP per capita, 1997-98 (NZ$) | 26 125 |

## FOREIGN TRADE (1998)

| | |
|---|---|
| Main exports (percentage of total): | |
| Manufactures | 20.5 |
| Meat and edible offal | 13.4 |
| Dairy produce | 17.9 |
| Wool | 3.9 |
| Main imports (percentage of total): | |
| Machinery and transport equipment | 41.3 |
| Manufactures | 20.2 |
| Mineral, chemicals, plastic materials | 23.3 |
| *of which:* | |
| Mineral fuels, lubricants, etc. | 5.7 |

## THE CURRENCY

Monetary unit: New Zealand dollar

| | |
|---|---|
| Currency unit per US dollar, average of daily figures: | |
| Year 1998 | 1.8685 |
| March 1999 | 1.8819 |

* Year ending 31 March.

*This Survey is based on the Secretariat's study prepared for the annual review of New Zealand by the Economic and Development Review Committee on 15 March 1999.*

•

*After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 1 April 1999.*

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*The previous Survey of New Zealand was issued in April 1998.*

# Assessment and recommendations

***After solid performance for many years, the economy contracted in the first half of 1998, buffeted by severe shocks***

During the last year, there has been a setback to growth from which the economy is only now recovering. From 1992, New Zealand had experienced relatively rapid economic expansion by both past and international standards. However, two major shocks – the Asia crisis and a severe drought – hit the economy during 1997-98 while it was under the strain of corrective policy action necessitated by the emergence of inflation pressures. Although the impact of the Asia crisis on New Zealand's export market growth has been mitigated by continued strong expansion in major trading partners – notably Australia and the United States – it has been significant and was compounded by the adverse weather effects on exports which contributed importantly to the contraction of output in the first half of 1998. In combination with financial market volatility, these developments undermined household and business confidence, contributing substantially to the economic downturn.

***Although a rebound has begun, supported by stimulative policies...***

The economy started growing again in the second half of 1998. To some extent, this reflected a bounceback of the sectors most affected by the poor weather conditions earlier in the year. However, exports of both goods and services have shown signs of strengthening more generally, recovering ground lost due to the Asian downturn. And while internal demand has remained quite weak, owing mainly to depressed residential investment, leading indicators suggest that the domestic economy has turned the corner too. In particular, survey evidence points to a fairly general rise in confidence in response to a number of favourable developments, including the apparent stabilisation of the situation in Asia, a more competitive real exchange rate, sharply lower interest rates, and tax reductions.

***... the upturn is likely to be gradual...***

Although these developments should continue to underpin economic activity over the next few quarters, the current recovery is likely to be gradual, given a less favourable international environment and some moderating factors domestically (such as high levels of household debt and a second drought in 1998-99). Economic growth is not expected to substantially exceed its potential rate – 2½ per cent per annum according to OECD Secretariat estimates – before the year 2000, implying the persistence of an output gap. Such economic slack should limit the passthrough of exchange rate depreciation and ensure that inflation remains within the official 0 to 3 per cent target range, despite some temporary rise in response to higher import prices. While inflation pressures are thus unlikely to become a threat in the near future, the external deficit is projected to remain high, at around 6 per cent of GDP. This reflects little progress in unwinding the imbalance in national savings and investment: although households are expected to raise their saving ratio while investing only moderately in new housing, this will be largely offset by government dissaving as the budget moves into deficit.

***... with external developments posing a major risk***

Despite encouraging signs of late, there are considerable risks and uncertainties surrounding the outlook. While activity in Australia and the United States has been stronger than anticipated, the economic downturn in Japan – another major trading partner – has continued. At the same time, the financial turmoil that has affected many Asian countries has spread to other emerging economies where the situation is still evolving. Such developments could have global consequences, frustrating the projected growth in New Zealand's export markets and earnings, with the risk of widening the already large current account deficit. This could lead financial markets to take a dim view of the sustainability of New Zealand's external position, potentially causing volatility in the exchange rate and interest rates, or an increased risk premium. If significant, such developments might reverse the recent improvement in business and consumer confidence and abort the incipient recovery in domestic demand. This risk is heightened since the rapid increase in household debt over the 1990s, which was backed by the growing value of housing assets, has made

the personal sector's financial position more vulnerable now that house prices have weakened.

***A supportive monetary stance is thus required...***

In the face of such uncertainties, maintaining an easy monetary stance would seem to be warranted in the near term. For some time, the conduct of monetary policy has been complicated by the fact that the importance of the downturn in Asia was becoming clearer only gradually while inflation pressures persisted in New Zealand, notably in the housing sector. Thus, with the level of output above potential through 1997 and projected inflation continuing to exceed the mid-point of the – widened – target band, the monetary stance was at first loosened only gradually. In fact, over the first year of the Asia crisis, real short-term interest rates actually firmed, any monetary easing during that period coming from exchange rate depreciation in response to the widening external deficit and declining commodity prices. It was only during the second half of 1998 that short-term interest rates dropped sharply from nearly 10 per cent to around 4½ per cent, as the Reserve Bank tolerated quite a large decline in overall monetary conditions – which combine interest and exchange rate movements – to their level of greatest ease recorded in the recession of the early 1990s. A continuation of such an easy stance appears appropriate in the context of a marked reduction in domestic inflation pressure, but a reversal towards a more neutral orientation will become necessary once the recovery becomes firmly established and slack in the economy substantially diminishes.

***... combined with a prudent fiscal policy***

The easing of monetary policy took place in the context of a declining fiscal surplus. While a small surplus – the sixth in succession – is now projected for the current fiscal year ending in June 1999, a fiscal deficit is likely in 1999/2000 and possibly, in 2000/01. This reflects a loosening of the fiscal stance since the mid-1990s, the adverse effects on public finances of the economic downturn more recently and significant changes in accounting treatment. The authorities reduced direct taxes in both 1996 and 1998. These tax cuts were compatible with the government's strategy and would not have jeopardised budget surpluses, had they been accompanied by a further decline in public expenditure

relative to GDP in line with stated long-term fiscal objectives. In the event, in late 1996, the incoming Government allocated NZ$ 5 billion for policy initiatives over the following three years, implying that, by the end of the third year, spending would be around 2½ per cent of GDP higher than previously projected. During the second half of 1998, this spending package was reduced by the authorities in several steps by NZ$ ¾ billion to limit the deterioration in the fiscal position. While these corrective measures should help prevent the *structural* budget balance from also tipping into deficit, they will not be sufficient to maintain an actual surplus position, which is the benchmark established in the *Fiscal Responsibility Act* until such time as prudent debt levels are achieved. The authorities should thus ensure that further budget adjustment takes place as the recovery takes hold, both to maintain the credibility of the government's long-term fiscal objectives and to create a sufficient buffer against future economic shocks.

***Further progress in structural reform has taken place, including important labour market initiatives...***

Over the past year, the authorities have undertaken several major initiatives to advance their structural policy agenda, but it will be a challenging task to implement all these reforms in a way that ensures that they produce the expected benefits. In the *labour market*, a "community wage" has replaced a number of social benefits (for unemployment, training, sickness) from October 1998. In order to qualify, people must not only actively seek full-time work but also take steps to improve their chances of finding a job, which may include participation in community work or training. In this regard, it will be necessary to offer types of work or training placements that give some assurance that skills are enhanced; provide for monitoring of participants to make sure that they are actively seeking work; and create an effective system of sanctions for lack of participation or compliance. Recipients of other social benefits will face work obligations too. With a view to integrating the decisions on eligibility for income support with the administration of reciprocal obligations and the provision of unemployment assistance, the authorities have created a "one-stop-shop" employment service by merging the relevant agencies. In late 1998, legislation was passed that opens up to competition the state-run compulsory accident compen-

sation scheme from mid-1999, by allowing employers and self-employed to buy private insurance cover instead. It is to be hoped that the amount of competition instilled into the system will ensure that efficiency gains and other potential benefits outweigh likely higher administrative and other costs.

***... and action in other areas, although some outstanding issues remain***

Progress has been made in several other areas, although some outstanding issues remain. In the *electricity* sector, several measures being implemented over 1999 aim at increasing competitive pressures and efficiency: the larger state-owned electricity generator is now split into three separate companies while the smaller one is to be privatised; in addition, electricity supply companies will have to separate their power line and retailing businesses and then sell off one of them. It will be important to design a regulatory framework that is conducive to achieving the desired price reductions without discouraging investment and innovation in that sector. In the *health care* area, to address some of the problems that have emerged, the authorities are making a number of adjustments to previous reforms aimed at both reducing unnecessary bureaucracy and enhancing collaboration within the sector, so as to release resources for service and provision. It will be crucial to get things right this time both to reduce pressures on the government budget and to maintain the credibility of the reform programme. In the area of *trade*, the programme of tariff reductions has been accelerated: in May 1998, import duties on cars were entirely removed and – with the exception of textiles, clothing and footwear – all tariffs are to be phased out by mid-2002 (well ahead of the zero tariff goal that New Zealand is committed to as part of APEC). These moves are welcome as a sign of the authorities' commitment to pursue the reform agenda.

***Recent economic shocks have put New Zealand's overall strategy to the test***

As reported in previous *Surveys*, since the mid-1980s, successive governments have pursued several waves of radical reform that have turned the economy into one of the most open, market-oriented and lightly regulated in the OECD area. The early initiatives were guided by a common theme: the need for a medium-term-oriented economic strategy which was coherent, consistent, credible and transparent,

features that had been missing in pre-reform policies. A more clearly publicly articulated programme began to take shape from the early 1990s, centred on maintaining a stable macroeconomic environment, building strong international linkages and buttressing both human capital and business performance, with a view to enhancing productivity and economic growth. More recently, the policy focus has been widened to include aspects of social responsibility and sustainable development. As such, this policy framework provides an improved setting to deal with economic shocks and has contributed to better economic performance.

***On balance, the strategy has produced appreciable results***

Indeed, following virtual stagnation during the early years of reform, the economy recovered strongly, expanding at an annual average rate of over 3½ per cent during 1992-97. This burst in growth in part reflects a cyclical rebound and catch-up following a period of radical structural adjustment. Even so, and despite the weaker performance recently, several indicators point to underlying improvement: the business investment and employment ratios have risen, which together have helped support some rise in potential output growth; there has been an increase in the extent of openness to trade; and, in marked contrast to previous experience, inflation has been sharply reduced and then contained at low levels. But other outcomes are less positive. Balance of payment pressures have remained a feature of the economy and, as noted, constitute an important risk to sustainable growth. Moreover, while improving somewhat, total factor productivity growth is still below that of other well performing economies and lower than the rate required to close New Zealand's substantial per capita income gap relative to the OECD average.

***Some factors have impinged on outcomes, though, including adjustment lags...***

All in all, however, it is difficult to reach definite conclusions about why economic performance has not improved to a greater extent in the light of the substantial policy changes that have taken place, not least because it is hard to be precise about the counterfactual to be used for comparison. To some extent, these outcomes probably reflect the long time it takes for economic behaviour to change and adjust to new policies and incentive structures. As to the reforms themselves, they are, on balance, commendable for the

application of a broad set of consistent principles and the extent to which announced measures were actually implemented. However, some aspects of New Zealand's policy framework and execution since the mid-1980s might have had some bearing on why the payoffs of reform have not been greater.

***... and implementation problems on the macro policy side...***

Among these aspects, in the fiscal policy area there has been inconsistent progress toward the achievement and maintenance of a prudent fiscal position and, at times, a lack of focus on the quality of spending. Nevertheless, the government's financial position has improved substantially, assisted by the *Fiscal Responsibility Act* which emphasises prudent budgetary management. This is reflected in public debt levels that are now lower than the OECD average. In the monetary policy area, while the *Reserve Bank Act* has been a catalyst for lasting improvement in New Zealand's inflation performance, the conduct of policy has not always been smooth. This reflects the time taken for the authorities to learn to operate in a new institutional environment and to establish credibility; the unusually high degree of uncertainty about how the economy works following radical policy changes and ensuing structural adjustment; and, at times, complications arising from shifts in the fiscal stance.

***... as well as on the structural front***

The payoffs to the wide-ranging programme of structural reforms may also have been reduced in some cases by: *i)* ongoing uncertainty in the direction of policy in some important areas such as superannuation; *ii)* the way some policies have been designed and implemented when clear objectives for reform have not been established (such as in health care); and *iii)* the way in which they have been implemented, their slowness (for instance in education reform and the deregulation of agricultural producer boards) both undermining credibility and leaving gaps in the strategy. Hence, while progress in structural reform has been impressive overall, and to some extent pioneering, one can see with the benefit of hindsight how better or more consistent implementation might have improved outcomes.

***A number of lessons emerge from past experience with the strategy...***

New Zealand's reform process provides a number of general lessons. *First*, the benefits of both macro and micropolicy change are likely to be slow to emerge, even when reform is comprehensive and the policy framework right. *Second*, there is no perfect sequencing of reform measures – rather, there is constant need for attention and an ongoing reform effort. *Third*, it is important to give economic players a sense of stable and predictable rules of the game, while at the same time reducing the scope for rent-seeking.

***... which should allow better performance in the future***

In some respects, these general lessons have already led the authorities to make some changes to the policy settings as well as to the way policies are implemented. Most significantly, the monetary policy framework has evolved considerably, with the adoption of a wider inflation target, a longer policy horizon and the move to an official short-term interest rate. On the fiscal side, the move to make explicit allowance for the cost of potential policy initiatives further increases transparency and should help expose any tensions in fiscal decision-making earlier. Nevertheless, experience suggests that, in order to meet the long-term spending objectives, greater emphasis needs to be placed on controlling expenditures while, at the same time, enhancing their quality. In so doing, a return to more substantial fiscal surpluses should reduce the risks posed by ongoing large current account deficits and would allow more leeway for coping with long-term demands on health and welfare (which will become more pressing with population ageing). Despite the enormous strides made to date, there is unfinished business as to structural policies, especially in respect to enhancing contestability in a number of markets and addressing structural distortions underlying the external deficit. At the same time, there is scope for strengthening the process of policy design and evaluation to maximise the benefits of reforms.

***To sum up***

*In summary*, following a prolonged period of robust growth, New Zealand's economic performance deteriorated in the face of severe shocks. A recovery seems to be under way, supported by stimulative policies, although the international environment adds uncertainty to the economic outlook. The challenge for policymakers is to minimise the risks

associated with the external deficit, as these could threaten the recovery's sustainability. Increasing the fiscal surplus as the recovery proceeds is important in this respect, both to maintain the government strategy's credibility and to reduce New Zealand's vulnerability to changes in financial market sentiment. This would facilitate the task of monetary policy. At the same time, there is scope for advancing the structural policy agenda in many ways, with a view to enhancing competition, entrepreneurship and innovation while fostering social cohesion. Together, such moves should contribute to strengthen the overall economic strategy, paving the way for a sustained improvement in New Zealand's standard of living.

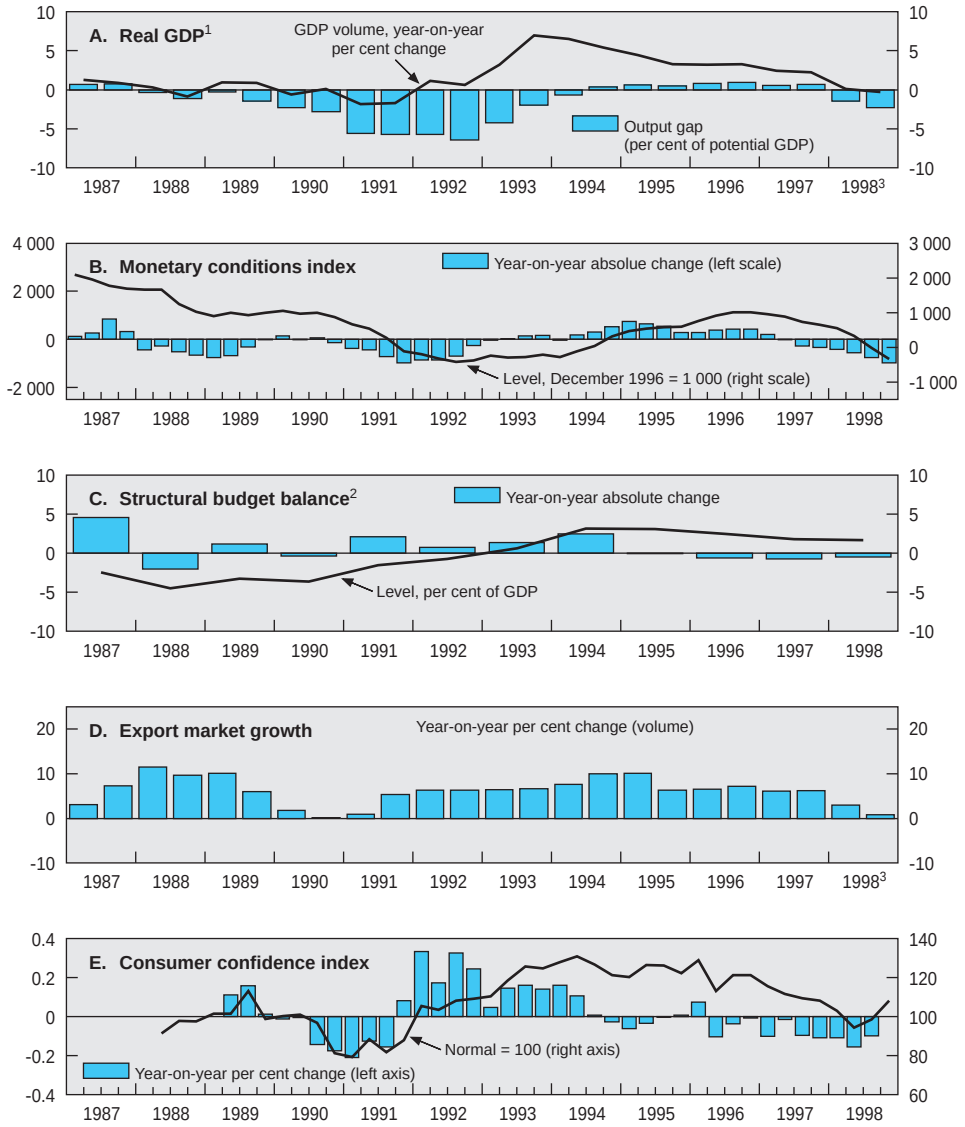
# I. Recent economic trends and short-term prospects

Following a period of moderating but continuing expansion, the economy went into recession in the first half of 1998. To some extent the weakening in activity was the result of firm monetary policy in 1996 and into 1997 (Figure 1) when inflation was pushing the ceiling of the official target. Coming on top of this policy-induced slowdown, the Asia crisis took a heavier toll on the economy than anticipated. Apart from its direct effects on external trade and tourism, the crisis led to a general climate of uncertainty that depressed confidence and domestic demand, the more so since real interest rates remained very high until mid-1998. These adverse trends were compounded by a severe drought which hit large parts of the country and contributed importantly to the economic contraction during the first half of 1998. Since then, activity growth has resumed. Looking ahead, there now are forces in place that will encourage recovery, notably the stimulus provided by both the low real exchange rate and more recently the marked fall in interest rates as well as by substantial fiscal expansion, including tax cuts. This Chapter briefly outlines the international context and then reviews in more detail economic trends and prospects.

## The international backdrop

Given the reorientation of its external trade in goods and services to the Pacific Rim, the implications of the Asia crisis are serious for New Zealand. Since the mid-1980s, the share of merchandise exports going to Asian countries, excluding Japan, has nearly doubled to just under one-quarter, with Japan, New Zealand's second largest market, accounting for another 15 per cent. Tourism from that region is of similar importance. Moreover, New Zealand has a further indirect exposure to those markets through its most important trading partner, Australia, which sells almost two-thirds of its exports to Asia. However, so far, economic growth has remained strong in that country, as it has in the United States, New Zealand's third largest market. Nonetheless, given the sharp economic contraction in the troubled East Asian countries and the deteriorating

Figure 1. **Determinants of growth**




1. Output measure.
2. General government (national accounts basis).
3. Estimates for the second half of 1998.

*Source:* Statistics New Zealand, Reserve Bank and OECD.

situation in Japan, trade-weighted real GDP growth in New Zealand's major trading partner countries appears to have slowed from about 3½ per cent in 1997 to around 1 per cent in 1998. According to OECD Secretariat estimates, New Zealand's export markets stagnated in the first half of 1998 in volume terms and, even with some rebound since, are unlikely to have expanded by more than 2 per cent in the year as whole, which is sharply down from the 6 per cent expansion recorded in 1997 (Figure 1).

Weaker demand in Asia has also led to lower world market prices for primary commodities. Since the late 1980s, the share of unprocessed primary products in New Zealand's merchandise exports has fallen from 30 to 20 per cent. However, despite the diversification and shift towards more value-added products that has been occurring, about two-thirds of total merchandise exports are still commodity based, highlighting New Zealand's vulnerability to world market price fluctuations. Since the beginning of the Asia crisis, world prices of New Zealand's main commodities have, on average, fallen by more than 10 per cent, with particularly pronounced declines for forestry products and meat. Although export receipts have been cushioned against these developments by the simultaneous depreciation of the New Zealand dollar (see below), sectors with a particularly high exposure to Asian markets (such as forestry and tourism) have been hard hit.

Apart from the impact of the Asian downturn on New Zealand's export volumes and prices, there are also some indirect effects through which the economy has been adversely affected. The severe impact of the Asia crisis on some industries and some regions has contributed to a generalised deterioration in business and consumer sentiment. Moreover, New Zealand's mere proximity to Asia has meant that it has been subject to similar swings in investor confidence. While exchange rate depreciation, partially in response to the crisis, has helped insulate exporters from declining world commodity prices, it has been accompanied by wide fluctuations in interest rates (see Chapter II). Although it is difficult to disentangle international and domestic influences, such as New Zealand's large external deficit, volatile financial market conditions seem to have dented economic sentiment substantially. Indeed, more stable financial markets and lower interest rates in recent months have coincided with a rebound in some measures of confidence (see below).

## The domestic situation

### *Demand and output*

While direct and indirect effects of the Asia crisis have probably been the dominant reason for the deterioration in New Zealand's economic performance,

the 1997/98 drought (brought about by the El Nino weather phenomenon) also had a dramatic impact, being a major factor behind the decline in real GDP in the first two quarters of 1998 which brought output below the level recorded a year earlier. By late 1997, the economy still looked to be growing steadily. However, this actually resulted from farmers bringing forward some production, as they strove to minimise potential losses arising from the drought. Thus, the respectable growth rate achieved in 1997 as a whole (2½ per cent and 3 per cent, respectively, for output and expenditure based GDP) overstates the underlying trend of activity. Over the first half of 1998, agricultural and related manufacturing output then fell sharply, more than offsetting the increase in production in late 1997 and dragging down GDP as a result. On the expenditure side, this added to the adverse effect of the Asia crisis on exports volumes, which dropped markedly over that period. Output in another major primary products export sector – mining, forestry and fishing – declined even more (Table 1). While in the case of forestry this mainly reflects the Asia crisis, fishing also suffered from warm weather conditions.

In the second half of 1998 real GDP picked up again but remained below the level realised a year earlier. The rebound in activity growth was export led as the sectors that were most affected by the drought and/or the Asian downturn – such as forest, fishing, dairy and related manufacturing industries – recovered somewhat from the falls in production over the previous two quarters. Output in domestic-oriented sectors remained subdued, with a further decline in construction activity. Despite renewed economic growth, the output gap that had emerged since the turn of 1997 may have amounted to around 2½ per cent of GDP in the second half of 1998, according to OECD Secretariat estimates (Figure 1). However, the extent of excess capacity varies considerably across different sectors. Huge slack in industries particularly affected by the fall-off in Asian demand (such as forestry) contrasts with around average levels of capacity utilisation in the manufacturing sector.

Despite the contraction of export volumes (see below for details) as a result of both the Asia and drought shocks, the economy would not have entered recession, had internal demand held up better. In the event, after slowing only gradually in response to high interest rates from the mid-1990s to 3½ per cent in 1997, the growth of domestic demand virtually ceased (Table 1) as confidence tumbled. Among its major components, *private consumption* has continued to support economic expansion, albeit to a diminishing extent (Figure 2) despite the substantial wealth effects from the demutualisation of the Australian Mutual Provident Fund (AMP) and announced tax reductions. In contrast to 1996, when expenditure on durables surged, there were few signs of pre-spending of the mid-year income tax cut in 1998. However, since June private consumption has shown steady growth, and the removal of motor vehicle tariffs in May has boosted car sales. Apart from weaker employment and hence income growth, subdued retail

Table 1. **Demand and output**

Volume percentage change at annual rates, calendar basis

| | 1997 NZ$ billion | 1970-83[2] | 1984-91 | 1992-97 | 1994 | 1995 | 1996 | 1997 | 1998[3] |
|---|---|---|---|---|---|---|---|---|---|
| Private consumption | 55.8 | 1.5 | 1.1 | 4.4 | 5.6 | 4.6 | 4.4 | 3.0 | 2.3 |
| Government consumption | 13.9 | 3.1 | 1.1 | 2.7 | –1.0 | 2.9 | 2.4 | 6.5 | –1.6 |
| Gross fixed investment | 19.6 | 2.2 | –2.4 | 9.4 | 16.7 | 12.0 | 6.1 | 3.2 | –2.7 |
| Public | 3.5 | 4.2 | –4.7 | 15.3 | 17.1 | 1.9 | 18.2 | 25.4 | –7.3 |
| Residential | 4.4 | 0.0 | –0.7 | 6.2 | 12.7 | 1.9 | 2.0 | 8.5 | –16.5 |
| Non-residential | 11.7 | 2.0 | –2.0 | 9.2 | 18.3 | 18.5 | 5.1 | –3.6 | 3.9 |
| **Final domestic demand** | **89.3** | **1.9** | **0.5** | **5.1** | **6.6** | **5.9** | **4.5** | **3.6** | **0.6** |
| Stockbuilding[1] | 0.6 | –0.1 | –0.4 | –0.2 | 0.4 | –0.6 | –0.6 | 0.0 | –0.3 |
| **Total domestic demand** | **89.9** | **1.8** | **0.0** | **4.8** | **6.9** | **5.1** | **3.9** | **3.5** | **0.2** |
| Exports of goods and services | 28.4 | 3.9 | 4.1 | 5.1 | 10.3 | 3.7 | 3.7 | 2.9 | 0.5 |
| Imports of goods and services | 30.0 | 2.8 | 2.8 | 8.5 | 13.2 | 8.9 | 8.3 | 4.0 | 1.8 |
| **Foreign balance**[1] | **–1.6** | **0.3** | **0.4** | **–1.1** | **–0.6** | **–1.5** | **–1.5** | **–0.4** | **–0.5** |
| **GDP (expenditure basis)** | **88.2** | **2.0** | **0.4** | **3.8** | **6.1** | **3.5** | **2.4** | **3.2** | **–0.2** |
| Agriculture and hunting | 5.3 | 4.2 | 5.6 | 4.9 | 5.8 | –0.6 | 7.9 | 6.8 | –3.7 |
| Mining, forestry and fishing | 2.4 | 2.2 | 8.0 | 1.5 | –0.7 | –0.1 | 3.1 | 3.6 | –12.3 |
| Manufacturing | 16.2 | 2.8 | –2.5 | 3.3 | 6.3 | 3.9 | 1.0 | 1.9 | –1.8 |
| Construction | 3.5 | 1.0 | –5.1 | 8.8 | 9.2 | 14.8 | 6.5 | 4.9 | –6.5 |
| Services | 56.8 | 1.7 | 1.2 | 4.0 | 5.7 | 3.9 | 3.8 | 2.4 | 1.8 |
| **GDP (output basis)** | **89.0** | **2.2** | **0.3** | **3.9** | **6.0** | **3.9** | **3.3** | **2.4** | **–0.2** |

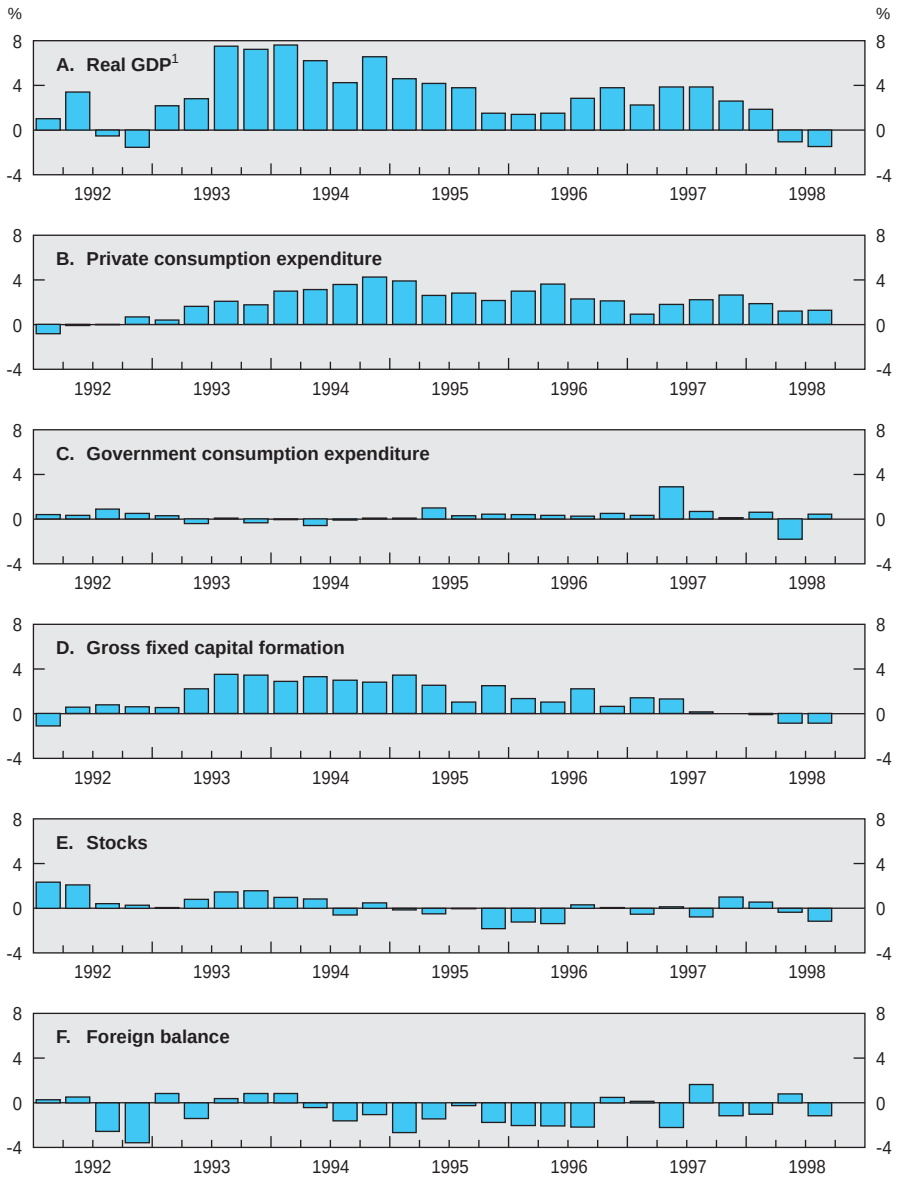
1. Contribution to GDP volume growth.
2. 1978-83 for components of GDP by industry and GDP output measure.
3. First three quarters over corresponding period.

*Source:* Statistics New Zealand and OECD Secretariat.

spending reflects the erosion of consumer confidence (Figure 1) owing to a number of factors, including the volatility in interest rates, general economic uncertainty, concerns about job security and – last but not least – a deteriorating housing market. The latter development is especially important as home equity is a substantial part of total wealth for many New Zealanders. Backed by a strong increase in the value of housing assets, household indebtedness has increased rapidly over the 1990s (to around 90 per cent of disposable income). This has implied a marked rise in debt servicing costs (to over 8 per cent of disposable income) and put households in a more exposed financial position. Although the fall in house prices so far (see below) is unlikely to have led to a significant number of homeowners having negative equity, slowing growth in mortgage

Figure 2. **Contributions to GDP growth**

Per cent change over 4 quarters




1. Expenditure measure; 1991-92 prices.

*Source:* Statistics New Zealand and OECD Secretariat.

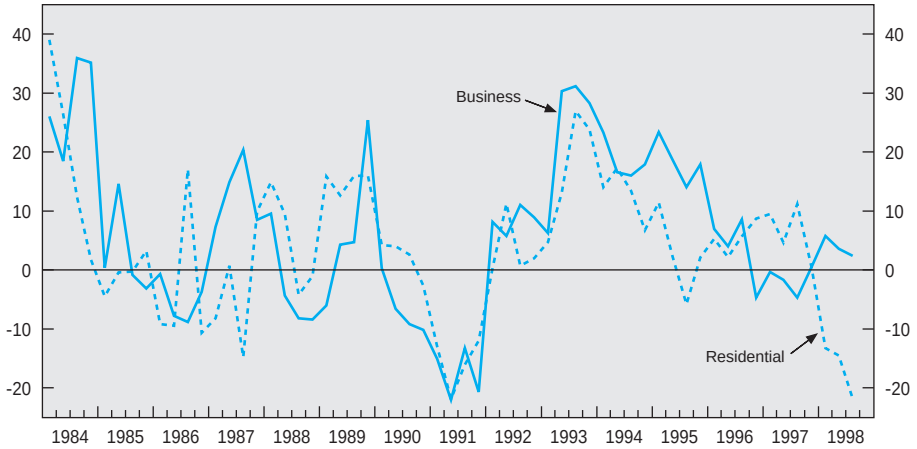
liabilities suggests that households' borrowing capacity and/or propensity has diminished as a result.

In contrast to households' current spending, which has slowed progressively, their *residential investment* has shown an erratic pattern, rebounding strongly in 1997 and then collapsing in recent quarters (Figure 3). The renewed strengthening of housing investment, following a period of virtual stagnation, reflected the lagged effect of strong net immigration, consumer confidence and house price inflation. To some extent, it also might have been a response to the decline in mortgage interest rates in late 1996 and into 1997. Subsequently, however, mortgage rates not only moved back to previous peak levels but became very high in real terms as house prices started falling in response to weaker demand for residential properties. Along with increased economic uncertainty and households' balance sheet constraints, this has led to a sharp reduction in housing investment. In addition to the factors mentioned above, weak construction activity appears to have had a dampening effect on the consumption of durable goods. The renewed fall in mortgage interest rates since mid-1998 to historically low levels seems to have steadied the housing market. Following a recovery of house sales, consents for new dwellings, which had been falling very steeply, picked up in late 1998.

*Business investment* has been comparatively steady, showing little change over the past two years or so. This is a break from historical cycles which have seen strong fluctuations in corporate capital spending that usually reinforced economic downturns (Figure 3). It has also meant that, as a percentage of GDP, business investment has largely maintained the relatively high levels attained in the mid-1990s. It is, however, worth noting that the measurement of investment is heavily influenced by the treatment of computers which might overstate its level in real terms; excluding computers, corporate investment has shown more of a cyclical downturn than the broader measure. Nonetheless, it is remarkable how well corporate capital spending has held up in the face of the sharp deterioration in business confidence to levels last reported by opinion surveys during the recession of the early 1990s. In part, this might reflect the fact that capacity utilisation is still higher than at that time (Figure 1), with economic slack concentrated in a few sectors. Moreover, although corporate profits have come under pressure, indications now are that firms' balance sheets are in a much better state than during the severe downturn in investment in 1991, when business insolvencies were particularly widespread. Thus, businesses now appear to be considerably better positioned to weather economic shocks.

While the Asia crisis is likely to have dampened aggregate investment, it may also have induced some product and market switching, the more so since exchange rate depreciation has given New Zealand a competitive advantage against most non-Asian economies. To what extent this has affected investment is

Figure 3. **Gross fixed investment**
Year-on-year volume change




*Source:* Statistics New Zealand and OECD.

difficult to gauge because the composition of capital spending among sectors is not readily available. There is, however, indirect survey evidence indicating that investment in sectors less oriented to Asian markets has rather strengthened. This is consistent with some tentative evidence from the labour market (see below) suggesting that the economy could already be adjusting to the Asia crisis through a shifting of resources to the traded goods sector.

Contrary to business fixed capital formation, swings in *inventory investment* have significantly contributed to the recent economic contraction. It appears that the rise in commercial stocks observed in late 1997 was unplanned, triggering a subsequent inventory correction, as firms were striving to moderate the rise in the stock to sales ratio in order to contain involved costs.

### *Labour market and inflation*

Adjustments to improve profitability are most evident in the *labour market* where employment growth has slowed sharply, turning negative more recently (Table 2). In the early phase of the economic downturn from the mid-1990s, the deceleration in net job creation lagged that in output growth, entailing a marked deterioration in productivity and profitability. Firms responded to this unsatisfac-

Table 2. **The labour market**

Annual percentage change over corresponding period

| | 1994 | 1995 | 1996 | 1997 | 1998 | 1998 | | | |
|---|---|---|---|---|---|---|---|---|---|
| | | | | | | Q1 | Q2 | Q3 | Q4 |
| Working age population | 1.9 | 2.0 | 2.0 | 1.3 | 0.9 | 1.0 | 0.9 | 0.8 | 0.8 |
| Labour force | 3.2 | 3.1 | 3.5 | 1.0 | 0.3 | 0.8 | 0.1 | –0.1 | 0.3 |
| Employment | 4.7 | 5.2 | 3.7 | 0.4 | –0.6 | 0.1 | –1.0 | –0.8 | –0.7 |
| Unemployment rate [1] | 8.2 | 6.3 | 6.1 | 6.6 | 7.5 | 7.1 | 7.6 | 7.5 | 7.7 |
| Participation rate [2] | 64.2 | 64.9 | 65.8 | 65.6 | 65.2 | 65.5 | 65.2 | 65.0 | 65.2 |
| Employment ratio [3] | 58.9 | 60.8 | 61.8 | 61.3 | 60.3 | 60.8 | 60.2 | 60.2 | 60.2 |
| Labour productivity | | | | | | | | | |
| Output basis | 1.2 | –1.3 | –0.4 | 2.0 | . . | 1.2 | –0.1 | 0.0 | . . |
| Expenditure basis | 1.4 | –1.6 | –1.3 | 2.7 | . . | 1.8 | 0.0 | –0.7 | . . |

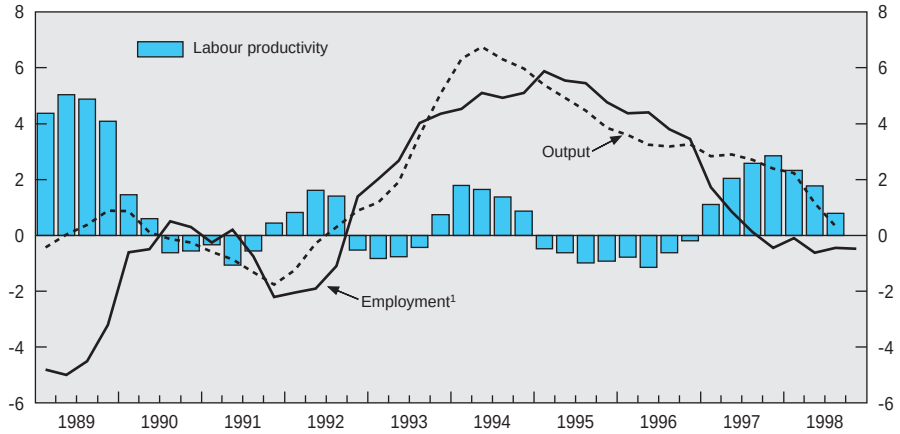
1. Per cent of labour force.
2. Labour force/population 15 years and over.
3. Employment/population 15 years and over.

*Source:* Statistics New Zealand.

tory situation by reducing hiring sharply. This resulted in substantial productivity gains (Figure 4) which only subsided when the economy slipped into recession in the first half of 1998. The weakening in labour demand can largely be traced to the non-tradeables sector where employment growth has turned negative following several years of strong job creation. By contrast, the decline in employment in the tradeables sector, which had been adversely affected by the strong New Zealand dollar in the mid-1990s, has virtually come to a halt, with improving job creation in manufacturing over the past year largely compensating for job losses in primary industries due to the drought and the Asia crisis.

Labour supply has moderated in parallel with demand, dampening the rise in unemployment which has edged up from 6 per cent to around 7½ per cent of the labour force over the past two years. Net immigration, which accounted for about half of the rise in the working age population in the mid-1990s, has turned negative due largely to the cut in the immigration target and the deteriorating economic situation in New Zealand. At the same time, the labour force participation rate has declined markedly (Table 2). As structural factors – such as the gradual raising of the eligibility age for state pensions – point to a rising trend of the participation rate, this probably means that worsening job opportunities have discouraged many people from entering the labour force, which has stagnated of late. Although unemployment is still low compared with its level recorded at the beginning of the 1990s, its composition reveals a number of worrying features. There is a wide disparity in unemployment rates according to ethnicity, with the

Figure 4. **Labour productivity**
Annual average percentage change




1. Full time equivalent.
*Source:* Statistics New Zealand and OECD.

Maori group recording a level of almost 18 per cent compared with 5½ per cent for the European (or *Pakeha*) group. Youth unemployment rates are relatively high at 17 per cent and over 11 per cent, respectively, for the 15-19 and 20-24 age groups. Finally, the proportion of long-term unemployment (26 weeks or more) has increased significantly over the past year (from around 35 per cent to nearly 40 per cent).

With increasing labour market slack (that is unemployment in excess of its structural component), wage growth has moderated. The pick-up in real wages from the mid-1990s suggests that unemployment was approaching its structural rate, although the latter had been lowered by labour market reforms (see Annex I in last year's *Survey*). With a lag, the rise in unemployment over the past two years has arrested the increase in real producer wages, as evidenced by the rapidly shrinking growth differential between nominal earnings and output prices in the private sector (Table 3). Pay rises in the public sector have also eased somewhat but have continued to outstrip those in the private sector. To a considerable extent, this reflects sizeable salary increases for school teachers. More generally, recent developments in the government sector represent a catch-up process following prolonged wage restraint in the first half of the 1990s. Within the private sector, wage increases show substantial variation according to the specific busi-

Table 3. **Wages and prices**

Percentage change over corresponding period

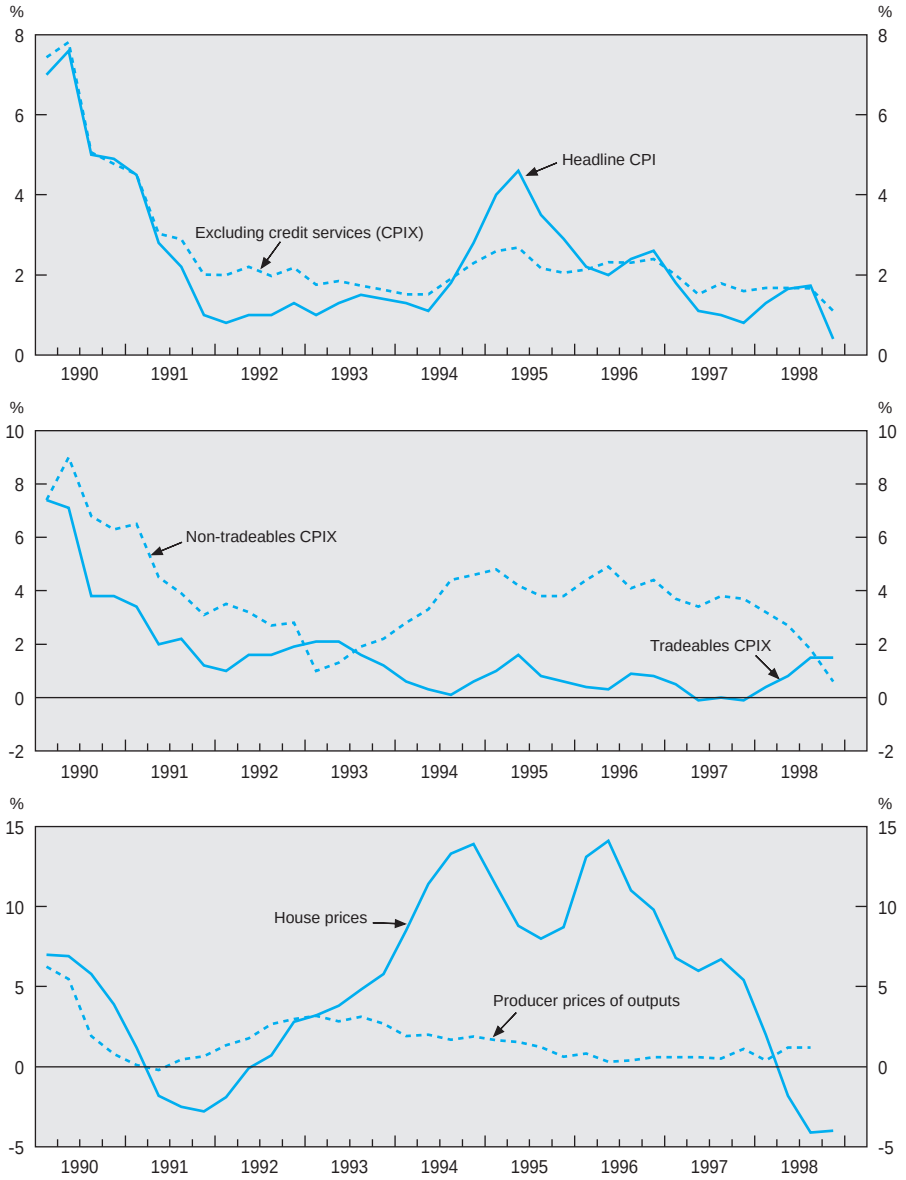
| | 1994 | 1995 | 1996 | 1997 | 1998 | 1998 Q1 | 1998 Q2 | 1998 Q3 | 1998 Q4 |
|---|---|---|---|---|---|---|---|---|---|
| **Wages** | | | | | | | | | |
| Average weekly earnings | 2.2 | 2.8 | 3.4 | 3.5 | 2.8 | 2.2 | 2.4 | 3.1 | 3.3 |
| Salary and wage rates | | | | | | | | | |
| Private sector | 1.2 | 1.5 | 1.9 | 2.0 | 1.6 | 1.8 | 1.7 | 1.6 | 1.5 |
| Central government | 0.6 | 1.3 | 2.3 | 3.2 | 2.5 | 2.0 | 2.8 | 2.5 | 2.6 |
| **Prices** | | | | | | | | | |
| Consumer prices | 1.8 | 3.8 | 2.3 | 1.2 | 1.3 | 1.3 | 1.7 | 1.7 | 0.4 |
| Energy (fuel and electricity) | 6.2 | 4.8 | 5.4 | 4.5 | 3.0 | 4.7 | 3.4 | 2.8 | 1.2 |
| Food | –0.3 | 1.3 | 1.4 | 2.2 | 3.2 | 2.3 | 2.7 | 3.8 | 4.1 |
| Producer prices | | | | | | | | | |
| Inputs | n.a. | n.a. | 0.6 | 0.4 | 0.7 | 0.4 | 1.3 | 0.8 | 0.1 |
| Outputs | n.a. | n.a. | 0.5 | 0.7 | 0.8 | 0.4 | 1.2 | 1.2 | 0.2 |
| GDP price deflator | 1.5 | 2.6 | 2.0 | –0.1 | . . | 0.9 | 0.8 | 0.9 | . . |
| Import price deflator | –3.9 | –2.2 | –4.2 | –2.7 | . . | 2.4 | 4.9 | 6.4 | . . |
| Export price deflator | –3.0 | –0.3 | –3.0 | –2.3 | . . | 3.3 | 6.0 | 7.1 | . . |

*Source:* Statistics New Zealand; OECD, *Main Economic Indicators.*

ness situation. They range from an annual rate of ½ per cent in forestry, which has been severely affected by the Asia crisis, to 3½ per cent in communication industries, which have shown sustained expansion. Wage moderation combined with substantial productivity gains meant that the rise in unit labour costs came virtually to a halt over 1997 before picking up again as the economic downturn slowed productivity growth. Their rebound has been dampened, however, by a marked fall in non-wage labour costs (notably reduced annual leave and lower employer social security contributions).

The emergence of substantial excess capacity has kept *inflation* low in spite of some rise in external cost pressures. While "headline" consumer price inflation has displayed some fluctuations, the annual increase in the index excluding credit services (CPIX) has been relatively stable since mid-1997, running at a level slightly above the mid-point of the official 0 to 3 per cent target range before falling below this benchmark most recently (Figure 5). The sources of inflation have changed, however, as evidenced by the relative movements of the tradeables and non-tradeables subsets of the CPIX. The effects of the sizeable exchange rate depreciation (around 20 per cent in effective terms since early 1997) are becoming apparent in tradeables prices, which have picked up markedly after virtually stagnating in 1997. Still, so far, their increase has hardly exceeded overall inflation as the subdued state of domestic demand and

Figure 5. **Inflation indicators**
Annual percentage change




*Source:* Statistics New Zealand and Reserve Bank.

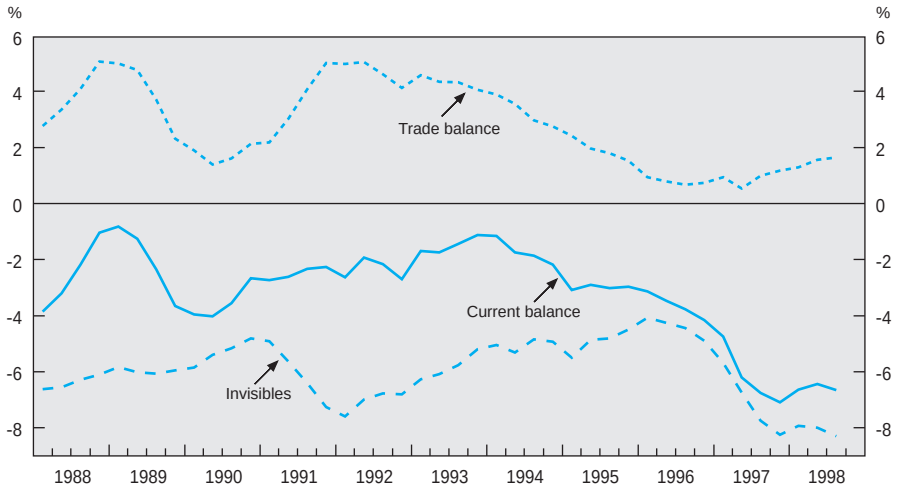
competitive pressure seem to have limited businesses' ability to pass through higher import prices to selling prices (Table 3). In addition, a number of one-off factors have contributed to low inflation, including the removal of motor vehicle tariffs and the introduction of parallel importing (see Chapter II). At the same time, the rise in non-tradeables prices, which accounted for the bulk of CPIX inflation in preceding years, has finally receded. This, in turn, reflects a moderation in housing-related items, the major source of inflationary pressure over the past economic cycle. Indeed, during the five years to the end of 1997, the housing component contributed 0.7 percentage points to the 2 per cent average annual increase in the CPIX. With the recent slump in the property market, average house prices have fallen for the first time since the 1991 recession (Figure 5). At around 8 per cent, the annual decline has been particularly pronounced in the Auckland area where, owing to strong net immigration, house price inflation had reached 25 per cent in mid-1996.

### *External balance*

The current account deficit has remained at the high levels reached in 1997, fluctuating in the 6 to 7 per cent range relative to GDP (Figure 6). This broad stability reflects a number of offsetting influences. Although, as noted, the Asia crisis and the severe drought have strongly affected export performance, there have been mitigating factors. Exchange rate depreciation has considerably improved New Zealand's competitiveness in most non-Asian markets which, so far, have kept growing at a healthy pace. The significant weakening in export volume growth that has occurred nevertheless has been accompanied by a marked deceleration in import volume growth owing to sluggish domestic demand. Thus, the resulting deterioration in the *real* foreign balance has been relatively limited. At the same time, New Zealand's terms of trade have improved somewhat, as currency devaluation has raised exporters' prices in New Zealand dollar terms, while the exchange rate effect on import prices has apparently been dampened by international competition. As a result, the nominal trade balance has remained in slight surplus. As for the sizeable invisibles deficit, its upward trend, which is due to many factors, including the cost of servicing New Zealand's high and rising external debt (see Chapter III), has been curbed by several compensating influences more recently (such as lower profits of foreign-owned corporations in New Zealand).

Given the high exchange rate of the New Zealand dollar at that time, export performance in 1997 was surprisingly strong (Table 4). Manufactured export volumes expanded roughly in line with markets, and the loss in market share for goods overall was relatively limited. This involved, however, significant price reductions and sharply lower profit margins. Nonetheless, the effects of the commencing Asia crisis might have been reflected in declining export volumes of non-

Figure 6. **External current account**
Per cent of GDP, four quarters ended




*Source:* Statistics New Zealand.

agricultural commodities. This trend accelerated in the first half of 1998, dominated by sectors with a heavy exposure to that region (see above). At the same time, agricultural and related manufactured export volumes tailed off due to supply factors (that is, drought conditions). Although the non-commodity manufacturing export sector has continued to expand on the back of a more favourable exchange rate and a fast growing Australian market, this has not sufficed to prevent total goods export volumes from falling. However, contrary to the year before, the depreciation of the New Zealand dollar has meant that exporters' prices in New Zealand dollar terms have improved so that the growth in goods export *values* has actually increased. Only in the non-agricultural commodity sector have export earnings actually declined, given the particularly severe effect of the Asia crisis on both export volumes and world market prices.

New Zealand exporters have to some extent responded to the downturn in Asia by redirecting goods to other markets, especially those where exchange rate depreciation has given them a competitive advantage and where economic conditions have remained favourable. Over the first year of the Asia crisis, the value of exports to East Asia fell by one-quarter while those to the United States increased by one-third and those to some Continental European countries even expanded by more than one-half (Table 5). Exports to Australia showed above-

Table 4. **Trade volumes and prices**

Percentage change

| | 1991 shares | 1991 | 1992 | 1993 | 1994 | 1995 | 1996 | 1997 | 1998[1] |
|---|---|---|---|---|---|---|---|---|---|
| **Export volumes** | | | | | | | | | |
| Total goods | 100.0 | 10.4 | 2.6 | 4.2 | 10.1 | 2.9 | 4.8 | 5.6 | –0.9 |
| Food | 46.9 | 9.6 | 2.4 | 2.2 | 8.0 | 5.2 | 7.5 | 5.9 | –1.7 |
| Manufactures | 30.1 | 11.6 | 10.2 | 10.5 | 13.0 | 3.6 | 4.3 | 9.4 | 2.0 |
| Raw materials | 18.7 | 17.6 | –2.0 | 0.0 | 8.9 | –2.3 | –0.4 | –1.1 | –5.6 |
| **Export prices** | | | | | | | | | |
| Total goods | | –4.2 | 8.2 | 2.6 | –4.0 | –1.7 | –3.5 | –2.7 | 5.6 |
| Food | | 0.5 | 10.1 | 0.6 | –8.3 | –5.3 | 0.1 | –3.1 | 9.7 |
| Manufactures | | –2.9 | 2.0 | –1.0 | 1.4 | 2.1 | –7.1 | –2.6 | 4.4 |
| Raw materials | | –15.8 | 9.8 | 13.6 | 0.4 | 3.4 | –8.8 | –2.6 | –0.8 |
| **Import volumes** | | | | | | | | | |
| Total goods | 100.0 | 9.6 | 10.7 | 4.3 | 16.3 | 6.5 | 3.4 | 3.6 | –1.2 |
| Manufactures | 80.9 | –11.4 | 12.0 | 2.7 | 17.4 | 7.1 | 3.4 | 4.3 | –2.9 |
| Energy | 7.5 | –7.4 | 1.4 | 8.3 | 16.2 | 1.6 | 11.8 | 0.7 | 7.8 |
| **Import prices** | | | | | | | | | |
| Total goods | | 1.0 | 6.6 | –0.3 | –3.6 | –0.1 | –2.6 | –1.1 | 5.0 |
| Manufactures | | 1.7 | 7.6 | 0.7 | –2.8 | –0.1 | –3.7 | –2.1 | 6.2 |
| Energy | | –2.3 | 1.2 | –6.8 | –15.6 | 0.7 | 6.5 | 6.2 | –13.2 |
| **Terms of trade** | | **–5.2** | **1.5** | **2.9** | **–0.5** | **–1.6** | **–1.0** | **–1.6** | **0.6** |

1. First three quarters over corresponding period.
*Source:* Statistics New Zealand.

average but moderate growth over that period, reflecting the fact that exchange rate depreciation against the Australian dollar has been more modest. Of course, export value data are influenced, by definition, by fluctuating exchange rates which, in New Zealand's case, is likely to have overstated the degree of re-direction that has occurred in export volumes. Nonetheless, the re-orientation of exports observed over such a short period is remarkable as there are many factors that tend to delay adjustment to a changing global environment and shifts in competitive positions. For example, extensive foreign exchange forward cover (see Chapter II) blurs price signals; many companies operate on long-term contracts; and the primary sector is dependent on natural reproductive cycles. Moreover, typically the firms with access to new markets are large entities, with smaller to medium-sized companies citing high set-up costs as a barrier to entry into markets such as the United States. More recently, there have been signs that Asian markets are reviving their demand for New Zealand products. Nonetheless, some further product and market switching can be expected: the Asia crisis is likely to have accelerated the shift in the composition of New Zealand's exports

Table 5. **Major export destinations**

Per cent

| | Export share 1997 | Annual export growth | |
|---|---|---|---|
| | | Three months ended July 1998 | 12 months ended July 1998 |
| Australia | 20.4 | 5.5 | 6.5 |
| Japan | 14.4 | –9.3 | –4.7 |
| USA | 10.3 | 30.9 | 27.4 |
| United Kingdom | 6.1 | –16.7 | –5.8 |
| Korea | 4.5 | –31.1 | –23.1 |
| Hong Kong, China | 2.7 | 0.9 | 9.8 |
| China | 2.8 | –7.6 | 5.4 |
| Germany | 2.5 | 19.9 | 18.0 |
| Chinese Taipei | 2.7 | –11.3 | –1.6 |
| Belgium | 1.6 | 59.0 | 49.6 |
| Malaysia | 2.4 | –32.6 | –12.7 |
| Italy | 1.5 | 53.4 | 36.8 |
| Singapore | 1.6 | 22.6 | 35.7 |
| **Total all countries** | | **1.7** | **4.1** |
| *Memorandum items:* | | | |
| OECD | 69.4 | 3.2 | 7.8 |
| EU | 16.3 | 5.4 | 2.8 |
| ASEAN | 8.7 | –23.8 | –9.6 |

*Source:* Statistics New Zealand and OECD Secretariat.

away from unprocessed primary products that are very vulnerable to economic shocks toward more value-added products that tend to be more successful in more traditional markets.

The tourism sector has also shown signs of adjusting relatively well to the downturn in Asia. Over the first year of the crisis, visitor numbers from that region fell by more than one-third, with tourist arrivals from South Korea coming virtually to a halt. This was, however, to a considerable extent offset by a strong increase in visitor numbers from North America, Australia and Europe so that overall tourist arrivals declined by only around 5 per cent over that period. Since then, the year-on-year fall in tourist numbers has decreased as the decline in visitors from Asia has bottomed out while arrivals from other destinations have kept growing strongly. Nonetheless, contrary to the merchandise trade balance, the balance on services has shown some deterioration over the past year (Table 6). This reflects comparatively stronger imports of services both in volume and value terms as New Zealanders have continued to increase their expenditure abroad despite the significant weakening of the exchange rate. Among the other components of the invisibles account, the transfer balance has shown little further deterioration as

Table 6. **Balance of payments**

NZ$ million, calendar years

| | 1991 | 1992 | 1993 | 1994 | 1995 | 1996 | 1997 | 1998[1] |
|---|---|---|---|---|---|---|---|---|
| Exports | 16 564 | 18 121 | 19 354 | 20 189 | 20 532 | 20 601 | 21 175 | 22 196 |
| Imports | 12 976 | 15 101 | 16 150 | 17 880 | 19 166 | 19 888 | 20 031 | 20 687 |
| Trade balance | 3 588 | 3 019 | 3 204 | 2 309 | 1 365 | 713 | 1 144 | 1 509 |
| Non-factor services, net | –1 457 | –1 760 | –1 187 | –552 | –307 | –456 | –1 095 | –1 496 |
| Investment income, net | –4 408 | –4 057 | –4 186 | –5 507 | –6 033 | –6 872 | –7 759 | –7 351 |
| Transfers, net | 680 | 786 | 1 249 | 1 850 | 2 169 | 2 718 | 839 | 627 |
| Invisibles, net | –5 185 | –5 030 | –4 124 | –4 209 | –4 168 | –4 610 | –8 016 | –8 220 |
| Current balance | –1 598 | –2 012 | –919 | –1 901 | –2 803 | –3 897 | –6 870 | –6 711 |
| Per cent of GDP | –2.2 | –2.7 | –1.2 | –2.2 | –3.1 | –4.1 | –7.0 | –6.9 |

1. First three quarters at annual rates.
*Source:* Statistics New Zealand.

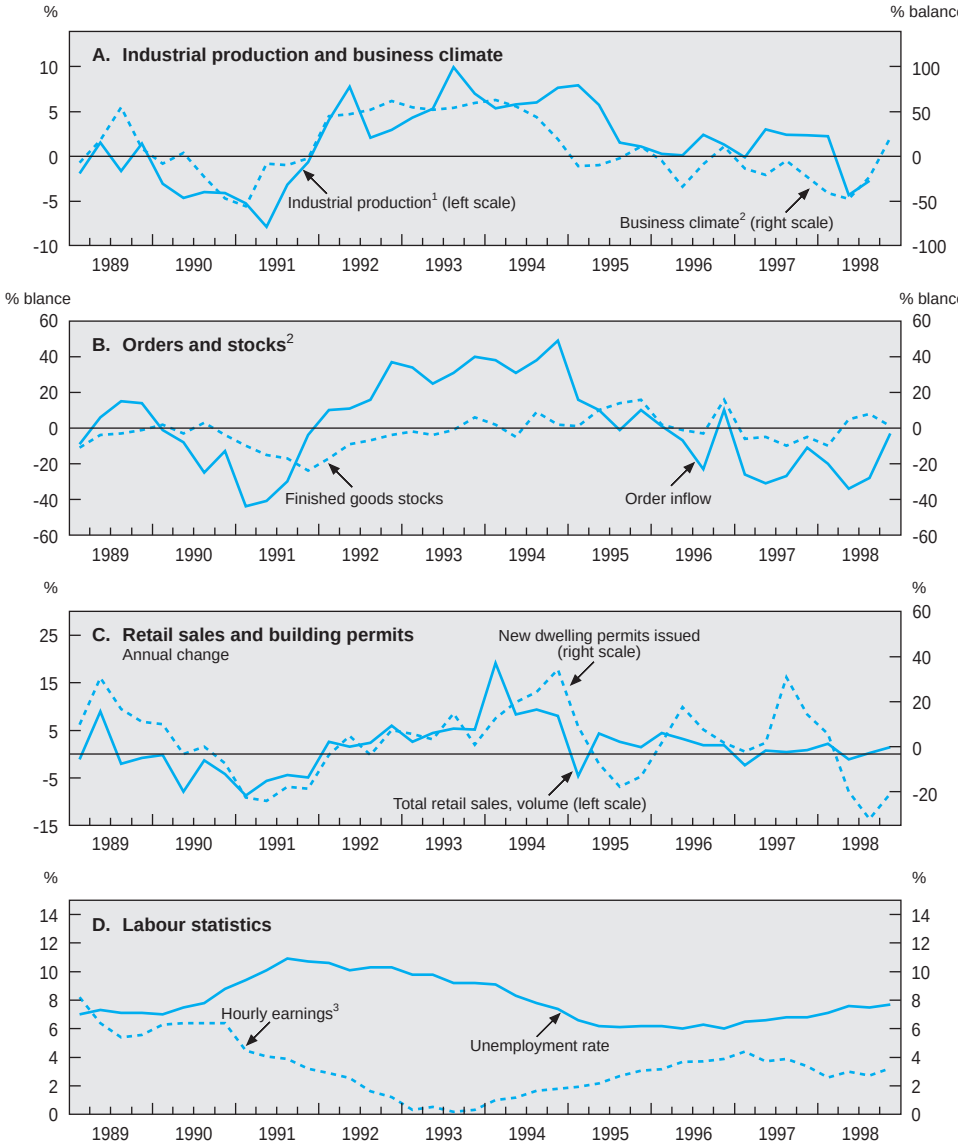
the sharp fall in net immigration (and related inflow of funds) has levelled off. The rise in the investment income deficit, which at around 7½ per cent of GDP more than accounts for New Zealand's current account deficit, has been interrupted by temporary cyclical factors. In particular, lower profits earned by foreign-owned companies in New Zealand have tended to reduce dividend outflows. More recently, this trend has begun to go into reverse but, so far, the resulting renewed increase in the investment income deficit has been dampened by a simultaneous improvement in earnings from overseas as some New Zealand enterprises with investments abroad (in particular in forest product processing) now seem to have shaken off the adverse impact of the downturn in Asia.

## The near-term outlook

### *Central projections*

Recent indicators suggest that the economy moved out of recession over the second half of 1998. The pick-up in output in that period probably overstates the underlying growth of activity as it represents to some extent a bounceback of the sectors most hit by the drought earlier in the year. However, exports of both goods and services have shown signs of strengthening more generally, recovering ground lost due to the Asian downturn. While internal demand has remained subdued, leading indicators point to an incipient turnaround in the domestic economy too: the business climate has improved markedly (Figure 7), with a shift

Figure 7. **Short-term economic indicators**




1. Manufacturing, annual change.
2. Survey balance.
3. All industry, annual change.

*Source:* Statistics New Zealand and OECD, *Main Economic Indicators.*

in sentiment occurring across all sectors and most regions; according to one survey, expected corporate investment is at its highest level since early 1994; housing intentions surveys show a significant rise in confidence; and consumer sentiment has also posted some recovery in recent months.

Apart from an apparent stabilisation of the situation in Asia, the fairly generalised pick-up in confidence reflects the positive impact of recent interest-rate declines, a more competitive real exchange rate, recent tax cuts and a continued increase in government spending. These favourable influences should underpin economic activity over the next few quarters. Nonetheless, the recovery is likely to be more gradual than many past economic upturns, given a less propitious international environment and some moderating factors domestically (including higher levels of household debt and a second drought in 1998/99). Following broad stagnation in 1998 as a whole, real GDP is projected by the OECD Secretariat to grow by around 2½ per cent on average in 1999, broadly in line with the estimated rate of expansion of potential output. It is not before 2000 that the upturn is expected to be in full swing, with a growth rate in the 3 to 4 per cent range (Table 7).

Among the components of domestic demand, private consumption is projected to strengthen progressively but remain relatively weak by historical standards. On the one hand, lower debt servicing costs, the tax cuts and the AMP demutualisation have given a fillip to households' disposable income and wealth, which should underpin consumption growth. On the other, in the near term, job creation and net immigration will still be subdued, dampening consumer spending. Moreover, the high rate of unemployment is likely to constrain the improvement in consumer confidence and entail some precautionary saving. More fundamentally, given the high level of their debt in relation to income, households may prefer to save and be reluctant to take on debt, the more so since future house price growth is unlikely to match that of the mid-1990s. This is also likely to limit the growth in residential investment, which is not expected to recover past peak levels despite the recent fall in mortgage rates to historically low levels. The rebound in business investment is projected to be somewhat more pronounced. Although the fact that it has held up relatively well during the economic downturn makes a strong cyclical recovery less likely, there are a number of factors that should stimulate fixed capital formation in the period ahead (such as the need to re-allocate resources in response to the changing global and competitive environment, to cope with the year-2000 problem regarding computer equipment, and to create new office space in Auckland).

A revival of foreign demand is also expected to give a boost to activity, with the non-commodity manufacturing and tourism sectors leading the way. New Zealand's goods export markets are projected to expand again at a healthy pace as growth in Asia resumes while that in other major trading partner countries

Table 7. **Short-term economic prospects**

| | Current prices, NZ$ billion | | Percentage volume change | |
|---|---|---|---|---|
| | 1995 | Per cent of GDP | 1999 | 2000 |
| Private consumption | 55.6 | 61.4 | 2.3 | 3.2 |
| Government consumption | 13.1 | 14.4 | 5.5 | –2.5 |
| Gross fixed investment | 19.0 | 20.9 | 3.8 | 6.7 |
| Final domestic demand | 87.7 | 96.8 | 3.2 | 3.1 |
| Stockbuilding[1, 2] | 1.3 | 1.5 | 0.7 | 0.0 |
| Total domestic demand | 89.0 | 98.2 | 3.8 | 3.1 |
| Exports of goods and services | 27.6 | 30.4 | 4.0 | 6.6 |
| Imports of goods and services | 26.0 | 28.6 | 7.4 | 5.1 |
| Foreign balance[1] | 1.6 | 1.8 | –1.3 | 0.3 |
| **GDP expenditure at constant prices** | | | 2.6 | 3.5 |
| GDP price deflator | | | 0.8 | 1.9 |
| GDP at current prices | 90.6 | 100.0 | 3.5 | 5.4 |
| *Memorandum items:* | | | | |
| **GDP production at constant prices** | | | 2.6 | 3.5 |
| Private consumption deflator | | | 1.0 | 1.1 |
| Private compensation per employee | | | 2.4 | 2.5 |
| Total employment | | | 0.6 | 1.9 |
| Unemployment rate | | | 7.4 | 6.8 |
| Breakdown of gross fixed investment | | | | |
| Private non-residential | | | 4.7 | 7.7 |
| Private residential | | | 0.8 | 6.6 |
| General government | | | 4.0 | 3.3 |
| Short-term interest rate | | | 4.6 | 4.6 |
| Long-term interest rate | | | 5.8 | 5.6 |
| Current balance as a per cent of GDP | | | –6.2 | –5.9 |

1. As a percentage of GDP in the previous period.
2. Including statistical discrepancy and valuation adjustment.
*Source:* OECD Secretariat.

remains robust. With exchange rate depreciation and low domestic inflation having significantly improved their competitive position, exporters now appear to be well placed to increase their market share following substantial losses in recent years. Tourism too stands to benefit from enhanced competitiveness against major non-Asian source countries; in addition, there are a number of one-off events (such as the APEC conference, the America's Cup and the Sydney Olympics) drawing visitors to Australasia. Nonetheless, real *net* exports are expected to

support growth only later in the projection period. Although rising import prices due to currency depreciation should reduce import propensity, ongoing trade liberalisation (Chapter II) and the fact that a significant quantity of imports are inputs for manufacturing exports, together with the recovery of domestic demand, will contribute to import growth. Moreover, the assumed arrival of a second frigate in 1999 will temporarily boost import growth (by about 2 percentage points). As a result, the current account deficit is expected to widen somewhat before falling back toward 6 per cent of GDP.

With initially modest economic growth, job creation is expected to be subdued in the near term, the more so since firms are likely to strive for productivity gains following the deteriorating productivity performance during the recent downturn. Thus, unemployment is likely to rise further before subsiding in 2000 when the upswing is gathering momentum. As the pick-up in employment will probably be accompanied by an increase in labour force participation, unemployment is expected to remain well above its estimated structural rate (around 6 per cent) until the end of the projection period, making for continued wage moderation. Likewise, despite some narrowing in the output gap in 2000, considerable slack is projected to persist in product markets, putting downward pressure on inflation. Nonetheless, some further exchange rate pass-through into consumer prices has to be expected. As discussed, so far, the weakness of domestic demand has led businesses to absorb some of the cost increases resulting from exchange rate depreciation. However, firms are likely to try and recoup their lost profit margins, as soon as they believe that the market will bear higher prices. On the other hand, the depressed housing market – a major source of inflationary pressure in the past – is not expected to generate significant price pressures in the foreseeable future. In addition, trade liberalisation measures (such as parallel importing and tariff reductions) will work to dampen price increases. As a result, inflation is expected to remain well within the official 0 to 3 per cent target range over the projection period.

### *Risks and uncertainties*

These projections are subject to a number of risks, and uncertainties surrounding them are greater than usual. They relate mainly to events beyond New Zealand's borders, in particular the turmoil that has affected many Asian countries and has spread to other emerging economies where the situation is still evolving. Although some Asian economies have shown positive signs recently, the region remains exposed to further shocks. A continued economic decline in Japan, in particular, could lead to renewed financial market turbulence, but a deepening crisis in Latin America could also spill over into the still fragile Asian economies. Such developments might even adversely affect the US economy which, so far, has been more resilient than projected but is particularly exposed to adverse

wealth effects of a potential stock market crisis. If all or some of these risks crystallise, the resulting loss in foreign demand, together with indirect effects on the domestic sector, could tip the New Zealand economy back into recession. Indeed, the ensuing widening in the already large external deficit, along with further declines in commodity prices, would likely lead to downward pressure on the exchange rate which, in turn, could push up interest rates. This volatility would probably reverse the recent improvement in business and consumer confidence and could abort the incipient recovery in domestic demand.

While the risks associated with potential international developments are rather skewed to the downside, those related to the domestic economy appear to be evenly balanced. *On the one hand*, it cannot be excluded that internal demand could prove weaker than projected. Consumer demand might be subject to greater-than-expected retrenchment as households strive to raise their historically low saving ratio to more normal levels. In recent years, strongly rising house prices apparently made homeowners feel as if they were saving in the form of housing assets. The bleak outlook for house prices could now induce households to save more in order to build up wealth in other forms. A further stock market correction could reinforce this trend, although the personal sector in New Zealand has relatively little exposure to the share market compared with other countries. *On the other hand*, with the recent substantial easing in monetary policy and New Zealand's previous experience when conditions were at a comparable level, projecting such a modest economic recovery could prove overly pessimistic. Indeed, provided the international environment develops broadly along the lines indicated above, with the downside risks avoided, the economy could respond more vigorously to the substantial monetary stimulus than assumed in the above projections. Given the substantial slack in the economy, this would probably not put the achievement of the inflation target at risk. However, to the extent that such an upturn would be biased toward domestic demand, it could slow the improvement in the current account and lead financial markets to take a dim view of the sustainability of New Zealand's external position. The policy settings in place to deal with such risks in the short run are reviewed in the following Chapter.

# II. Current policies

The challenge for policy makers in recent years has been to unwind economic imbalances that had emerged in the mid-1990s, notably excess demand and a worsening external position. This task has been complicated by developments in Asia whose importance was becoming clearer only over time. With output above potential through 1997 and inflation continuing to run above the mid-point of the target band, the monetary stance was at first loosened only gradually. Indeed, over the first year of the Asia crisis, real short-term interest rates actually firmed, any monetary easing over that period being in the form of exchange rate depreciation. Only since mid-1998 have short-term rates dropped markedly. On the fiscal side, the authorities have responded to the adverse impact of the Asia crisis on government finances by abandoning some of the previously-announced spending increases. Given the implementation of the second round of the income tax cuts, this still implies a further easing of the fiscal stance and the re-emergence of budget deficits. At the same time, the Government has re-invigorated structural policies which had lost momentum in previous years, with a view to removing distortions that have contributed to economic imbalances. The following sections review recent macro and micropolicies in turn and conclude with an assessment of near-term policy requirements. Longer-term policy issues and directions are discussed in the next Chapter which deals with New Zealand's overall economic strategy.

## Monetary management

### *The operational framework*

The *Reserve Bank Act 1989* (see Annex I) has given the monetary authorities independence to pursue a policy directly aimed at price stability, operationally defined in Policy Target Agreements (PTAs) between the Governor and the Minister of Finance. The current PTA of December 1997 (see Annex I) requires the Reserve Bank to deliver 0 to 3 per cent inflation in terms of the Consumer Price Index excluding credit services (CPIX). The latest agreement incorporates the

amendments made when the Coalition Government took office in late 1996, which widened the inflation target from a narrower range of 0 to 2 per cent and made it clear that the price stability objective is intended to enable monetary policy "to make its maximum contribution to sustainable economic growth, employment and development opportunities within the economy". The agreement's major innovation is that it discarded the Reserve Bank's concept of "underlying inflation", which was criticised for its lack of transparency, in favour of a measure published by Statistics New Zealand, the CPIX, which eliminates interest rate effects, the major source of volatility in the "headline" measure of inflation. As previously,

### Box 1. Recent changes to monetary policy operating procedures

Following a review of the techniques used to implement monetary policy, the Reserve Bank has announced a series of modifications to the operating arrangements which came into effect on 17 March 1999. Neither the inflation target itself, nor the weights placed on various economic and financial indicators used in deciding on the required policy stance are affected.

The core of the new operating system is an announced overnight interest rate target – the Official Cash Rate – the rate around which the Reserve Bank will borrow and lend (funds will, in fact, be provided to the market by way of securities repurchase agreements). The Official Cash Rate replaces various elements of the current system. The daily settlement cash target – the formal lever to influence monetary conditions – disappears, and the weekly Wednesday morning "window" for commenting on conditions is discontinued. The Monetary Conditions Index (MCI) will continue to play a role as a summary indicator, and as a way of helping to "tell the story" about the outlook for monetary policy. But in the Bank's *Monetary Policy Statements*, policy settings will be stated in terms of the Official Cash Rate rather than in terms of a "desired" level of the MCI.

The first Official Cash Rate was announced in the March 1999 *Monetary Policy Statement*. Thereafter, the overnight interest rate target is to be formally reviewed eight times a year, at the time of, and halfway between, each quarterly *Statement*. However, the Bank will reserve the right to make unscheduled adjustments to the Official Cash Rate in exceptional circumstances. Adjustments to the Rate will be made in multiples of 25 basis points.

The rationale for the changes is that expressing policy intentions in terms of a desired level of the MCI has tended to increase the volatility of interest rates, not allowing sufficiently for the range and scale of events that impact on the economy. Comments on monetary conditions have still been required, sometimes on an uncomfortably frequent basis. And while allowing greater deviations from desired monetary conditions has increased the flexibility of the operating framework, it has, at the same time, reduced the meaningfulness of any particular stated level of the MCI. By directly managing the market cash rate, the authorities expect to be able both to influence the level of other short-term interest rates and monetary conditions more generally.

departures from the target continue to be permissible in the case of "supply shocks" (such as exceptional commodity price movements or natural disasters).

The Reserve Bank's approach to monetary management pursued until recently was unconventional in that there was no officially set or targeted interest rate at the heart of the operational structure. Available formal policy levers were used rarely: the target for "settlement cash" – the amount of money in bank settlement accounts at the Reserve Bank at the end of each day – has been unchanged since August 1995. Instead, the authorities preferred to try and influence monetary conditions through projections for the economy and inflation and by means of pronouncements on their appropriateness. Indeed, given the forward-looking nature of the inflation-targeting framework, projections have become a kind of instrument for monetary policy. They now are published quarterly in the Bank's *Monetary Policy Statements*, indicating how monetary conditions might have to evolve in order to achieve a path for inflation that converges over time towards the middle of the target range. In an attempt to alleviate occasional signalling problems, the Bank introduced in the middle of 1997 a formal Monetary Conditions Index (MCI) as a means to give markets some guidance on the desired level of conditions between quarterly projections. The MCI provides a summary measure of the monetary stance, capturing the approximate influence of both interest rates and the exchange rate on economic activity one to two years ahead (see Box 1 in the 1998 *Survey*). Using the MCI concept, the Bank made it quite clear to financial markets that, in the absence of a "real" shock to the economy, it expected to see some interest rate offset to any significant exchange rate movement, to keep overall demand and inflation pressures stable (Brash, 1999). However, with a view to reducing ensuing interest-rate volatility and helping markets to focus on the medium-term outlook for inflation, the authorities have finally decided to introduce an overnight interest-rate target from mid-March 1999 (Box 1).

### *The conduct of policy*

Since late 1996, overall monetary conditions – measured in terms of the MCI – have eased progressively as inflation pressures have diminished. In general, actual conditions have tended to fall below the level indicated in the Bank's quarterly projections as appropriate for meeting the inflation target (Figure 8). At times, this has generated tension as markets have tested the Bank's tolerance of deviations. Typically, however, in spite of repeated attempts to slow down monetary easing through public statements, the Bank's quarterly resets of desired monetary conditions have involved catching up to where markets had already moved them. Reflecting the Bank's policy of "leaning against the wind", the decline in the MCI was at first gradual, amounting to about 200 basis points (short-term interest-rate equivalent) over each half-year of 1997. With the deteriorating

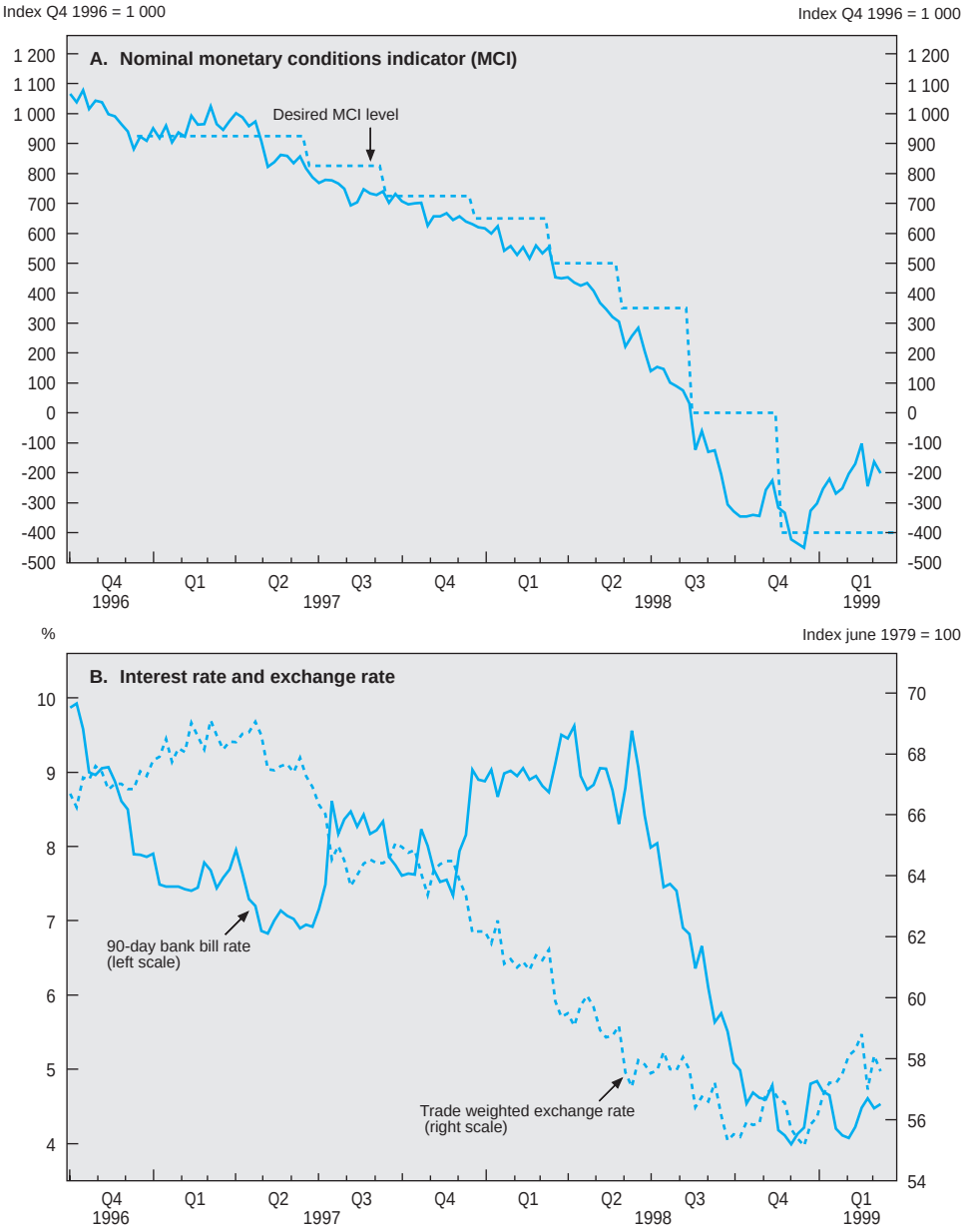
situation in Asia and mounting evidence of a downturn in the domestic economy, the market-led easing in monetary conditions then accelerated sharply during the course of 1998, as evidenced by 400 and 600 basis point falls in the MCI over the first and second halves of the year, respectively. In late 1998, monetary conditions had moved back to their level of greatest ease recorded during the recession of the early 1990s. Since then, they have firmed somewhat and exceeded the level deemed desirable by the Bank for the first time since early 1997. Statistical evidence suggesting that the economy has moved out of recession has apparently led financial markets to believe that the period of monetary easing has come to an end and that the Bank's next step will be in the direction of tightening conditions to ensure that the inflation target is met over the medium term.

The downward trend in the MCI over the past two years conceals radical shifts in the mix of monetary conditions. In this respect, several distinct periods can be distinguished. Through the early part of the easing phase, which lasted until mid-1997, most of the monetary relaxation came through a market-led decline in short-term interest rates (from around 10 per cent to about 7 per cent) while the exchange rate remained at a high level (Figure 8). This was not exactly what the authorities deemed desirable because the export sector was already hard pressed by the strong New Zealand dollar while inflation persisted in some domestic sectors of the economy (notably housing). However, at that time, investor confidence in the New Zealand economy was at a high point as the country's reforms were receiving a lot of international exposure, making it an attractive destination for foreign capital.

By contrast, in the following period through to mid-1998 – the first year of the Asia crisis – the easing of monetary conditions involved a sharp fall in the exchange rate partly offset by a rise in short-term interest rates almost back to their previous peak levels. While the trigger for the slide in the currency and sharp shift in the mix of conditions clearly was the financial turmoil in East Asia, which prompted a reassessment of economic prospects, several other factors also contributed. New Zealand's interest rates had been moving back toward average international levels, making it less attractive for foreign investors. At the same time, the current account deficit had widened considerably, leading to downward pressure on the currency from the transaction side. Ensuing financial market perceptions of increased currency risk translated into widening interest-rate differentials against the United States and Australia. Upward pressure on short-term interest rates was further supported by the Bank's unwillingness to accommodate the speed of easing of monetary conditions implied by the exchange depreciation.

The situation changed again in the second half of 1998 when short-term interest rates fell sharply (to below 5 per cent) while the decline in the exchange petered out (Figure 8). Given the extent of monetary easing over this period,

Figure 8. **Monetary conditions**



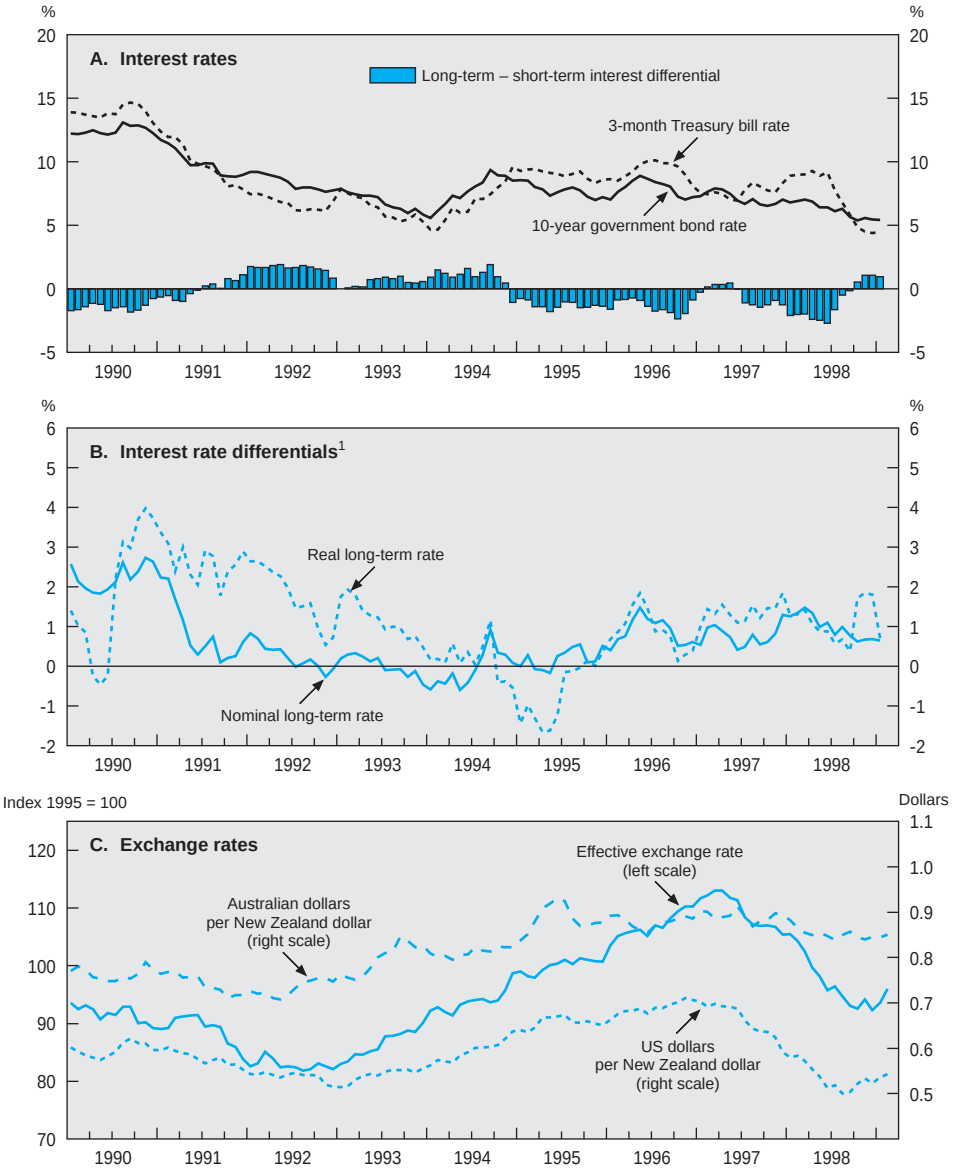

*Source:* Reserve Bank of New Zealand.

which exceeded that in most other countries, the associated radical shift in the mix of conditions is somewhat surprising and went beyond what the authorities considered appropriate. Indeed, in late October, the Governor indicated that he was uncomfortable with the low level to which short-term interest rates had fallen, although he had little ability to interfere with the mix of monetary conditions. The fact that the bulk of the decline in the MCI occurred in the form of lower interest rates, rather than the exchange rate, appears to reflect in part the volatility in international financial markets. The resulting rise in risk aversion and search of liquidity to cover losses seem to have placed upward pressure on the New Zealand dollar as investors moved to unwind "short" positions. In addition, investors in the exchange market may have begun to anticipate a tightening bias following the substantial easing of monetary policy from late 1996. Indeed, as noted, the decline in the MCI has come to a halt more recently, reflecting broad stability of both interest rates and the effective exchange rate.

Despite the considerable fall in the MCI over the past two years or so, other indicators – such as the interest yield curve – suggest that the stance of monetary policy remained relatively tight up to the middle of 1998. For much of the last four years, the yield curve was quite steeply downward sloping (Figure 9). The negative yield gap temporarily disappeared in early 1997 as short-term interest rates dropped but re-emerged thereafter as short rates firmed again while long rates remained relatively stable, reflecting rising investor risk premia on New Zealand assets. By mid-1998, yields on 90-day bank bills exceeded those on ten-year government bonds by around 250 basis points. With the marked fall in short rates subsequently, this gap narrowed rapidly, but a slightly upward sloping yield curve materialised only in the final months of 1998 because bond yields had begun to decline noticeably too, owing both to international developments and some apparent decrease in risk premia built into domestic long-term interest rates. This shift in investor sentiment occurred despite a downgrade in New Zealand's credit rating by a major agency, motivated in particular by continued pressure on the external accounts. It is true that interest spreads against major trading partners still remain substantial, making the country a relative attractive investment destination.

Although the operational framework in place implies that the focus of monetary policy is on interest rates and the exchange rate, the Bank considers that developments in financial market intermediation also provide an important source of information regarding future inflation trends. Credit expansion has slowed considerably, to a pace not recorded for more than four years. In late 1998, annual private sector credit growth was less than half that observed in mid-1996 (Table 8), with household borrowing continuing to increase at above average rates despite the downturn in the housing market. The strength of credit demand from the household sector, primarily for the purchase of residential properties, has been an outstanding feature of the recent business cycle. Apart from economic

Figure 9. **Interest and exchange rate movements**




1. *Vis-à-vis* the weighted average of major trading partners: United States, United Kingdom, Japan, Australia, Germany and Canada.

*Source:* OECD and OECD, *Main Economic Indicators.*

Table 8. **Money and credit aggregates**

Per cent year-on-year growth rate

| | End of month | M1 | M3 | Private sector credit | Domestic credit | CPI |
|---|---|---|---|---|---|---|
| 1995 | March | 3.3 | 7.9 | 8.7 | 5.9 | 4.0 |
| | June | 3.0 | 10.4 | 12.5 | 8.5 | 4.6 |
| | September | –1.6 | 10.2 | 13.2 | 11.7 | 3.5 |
| | December | 5.2 | 14.5 | 15.1 | 11.4 | 2.9 |
| 1996 | March | 6.1 | 13.1 | 16.3 | 11.3 | 2.2 |
| | June | –0.6 | 17.6 | 17.1 | 11.5 | 2.0 |
| | September | 1.9 | 14.4 | 15.8 | 12.2 | 2.4 |
| | December | –4.5 | 12.6 | 12.4 | 9.4 | 2.6 |
| 1997 | March | 3.6 | 8.9 | 11.8 | 11.0 | 1.8 |
| | June | 4.4 | 3.6 | 9.8 | 10.1 | 1.1 |
| | September | 7.3 | 6.8 | 10.8 | 10.0 | 1.0 |
| | December | 6.5 | 3.9 | 10.0 | 9.9 | 0.8 |
| 1998 | March | 0.8 | 7.5 | 8.8 | 9.9 | 1.3 |
| | June | 1.7 | 7.7 | 8.6 | 9.7 | 1.7 |
| | September | 2.2 | 1.2 | 6.7 | 8.4 | 1.7 |
| | December | 13.4 | 1.3 | 7.5 | 8.4 | 0.4 |

*Source:* Reserve Bank of New Zealand, *Financial Statistics* (Table C1); Statistics New Zealand.

and demographic factors, this reflects developments in the financial sector. With narrowing margins on corporate lending, there has indeed been a strategic shift of emphasis by the largest banks toward household lending, in particular profitable residential mortgage lending. Moreover, a change in industry practice has allowed more small business credit to be secured by home mortgages. Finally, with attractive yields on New Zealand dollar assets, domestic financial intermediaries have been able to obtain funding from foreign investors. This led to downward pressure on fixed-term mortgage interest rates at a time when short-term rates were significantly higher than long rates, implying that monetary policy lost some of its immediate bite. However, it also means that borrowers will reap more slowly the benefits of lower short-term interest rates and should moderate the growth of household credit in the near term.

Corporate borrowing has lagged behind that of households over the recent cycle. At first, this was attributable to high profits which allowed businesses to fund a significant part of their expansion by retained earnings rather than loans. More recently, the downturn in activity and investment has reduced businesses' demand for credit. However, some of the recorded marked slowdown in corporate borrowing is due to businesses increasingly substituting away from

bank lending, by obtaining financing directly from overseas or through the domestic capital market.

While the demand for credit is slowing generally, there seems to be little evidence of a "credit crunch". Domestic credit spreads have widened since August 1998, though rather less than generally elsewhere. A reassessment of credit risk in New Zealand has resulted in an increase in the range of margins offered to different customers, but this has done little more than restore the degree of risk discrimination that prevailed before economic upturn in the early 1990s. Indeed, while loan losses have risen from their very low recent levels, they are not exceptional given the economy's cyclical position. The limited reports of binding credit supply constraints that exist are either sector-specific or relate to companies who are heavily dependent on Asian markets (such as forest product exporters). As exporters have tended to seek foreign exchange cover for longer periods ahead, the steep fall in the exchange rate has in some cases resulted in substantial losses of potential export earnings. For most exporters, however, the main effect has just been to lower their returns compared to what they would have achieved without forward cover. As noted, for the economy overall, the impact of the extensive use of this financial product is to delay the full effect of the currency depreciation.

### *Assessment*

The challenge for policymakers in the near term will be to support the incipient but still fragile recovery while ensuring that longer-term growth performance is not compromised by the emergence and/or aggravation of economic imbalances. For monetary policy, this implies to keep to its medium-term orientation that has emerged in recent years. Following the adoption of inflation targets, the Reserve Bank used to be rather strongly focused on direct short-term price effects of exchange rate movements. Such an approach helped to minimise the variability of inflation, thereby anchoring inflation expectations and enhancing policy credibility. At the same time, however, it tended to raise the variability of output. This experience has led the authorities to lengthen their policy horizon and be mainly concerned about longer-term indirect price effects of both interest rates and the exchange rate (six to eight quarters ahead). Over the next few quarters, the strong depreciation of the exchange rate in 1997-98 will probably lead to some upward pressure on prices. Such short-term effects cannot be entirely ignored, as they might spill over into inflation expectations and wage and price-setting behaviour. However, given the large output gap that has emerged and is unlikely to be closed over the next two or three years, this risk appears to be limited.

Regarding the implementation of policy, it was appropriate to abandon the use of the Monetary Conditions Index (MCI) as an operational target. Recent

developments have indeed shown how quickly the proper level of the MCI can change in the light of new information. Since the middle of 1998, the Reserve Bank has already tolerated quite large divergences between actual monetary conditions and the level indicated as desirable in its policy statements. From mid-March, the Reserve Bank will still be working within a broad MCI framework but no longer express its short-term policy intentions in terms of a desired level of the MCI.

## The fiscal stance

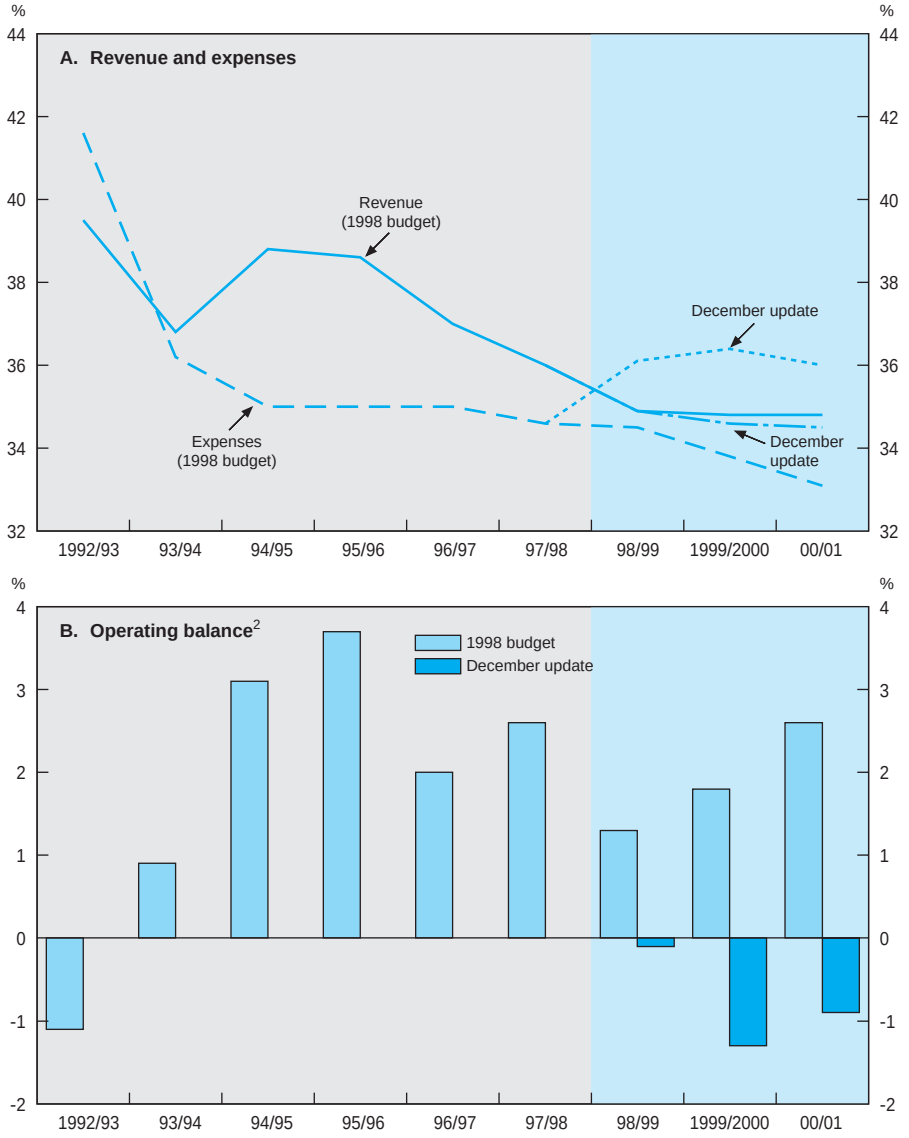
### *Budgetary outcomes*

The benchmark established by the *Fiscal Responsibility Act 1994* (see Chapter III) is that the government runs "operating surpluses" every year until prudent levels of debt have been achieved, so as to provide a buffer against future adverse events. Since the inception of the Act, this objective has been achieved (Figure 10). However, budget surpluses have tended to decline since the mid-1990s, as public revenues have increased significantly less than GDP while little further progress has been made in lowering the expenditure-to-GDP ratio toward the authorities' long-term target (that is, less than 30 per cent). These developments (see Annex II for details) reflect tax cuts and spending initiatives that have implied a reduction in the structural budget surplus (Figure 1) and were undertaken on the basis of economic projections suggesting that continued fiscal tightening would take the actual surplus to unjustifiably high levels.

While the previous government had focused on tax reductions, the coalition's first Budget for the fiscal year 1997/98 (beginning in July) shifted the emphasis to spending. NZ$ 5 billion was allocated for new policy initiatives over the following three years (implying that, by the end of the third year, spending would be around 2½ per cent of GDP higher than previously projected). In particular, the authorities decided to raise allocations for health and education. At the same time, to help limit the short-term impact of these measures on the budget, they delayed the second round of income tax cuts (see Annex III of the 1998 *Survey*) that had been planned for mid-1997 by one year, although this was partly offset by the abolition of the superannuation surcharge (on pensioners' additional income) from April 1998. Nevertheless, the operating surplus was projected to remain robust over the medium term, falling further to 1½ per cent of GDP in 1997/98 before rising again gradually towards 2½ per cent over the following two fiscal years.

In the event, at 2½ per cent of GDP, the government's operating surplus for 1997/98 proved higher than projected in the 1997 Budget. This resulted, however, from a number of significant one-off gains. Expenditures were lowered

Figure 10. **Budgetary developments**[1]
As a percentage of GDP




1. Central government. Accrual basis.
2. Includes net balance of State-owned enterprises and crown entities.

*Source:* New Zealand Treasury, May 1998 budget and December 1998 economic and fiscal update.

by a downward revision in the Government Superannuation Fund's (GSF) unfunded pension liability, which reduced pension expenses; and by much lower than expected settlement costs related to the Equiticorp privatisation case and Treaty of Waitangi claims. In addition, the operating surplus was boosted by a correction in the forecast timing of Accident Rehabilitation and Compensation Insurance Corporation (ARCIC) attendant care expenses (financial results of government enterprises and agencies being reflected only in the operating *balance*). Excluding these factors, expenditures were higher than projected, given the adverse effects of interest rate and labour market developments on finance and social security costs, respectively. Despite the (not anticipated) economic downturn in the second half of the fiscal year, the revenue shortfall was marginal because *nominal* GDP was not much lower than originally projected.

### *Fiscal plans*

The February 1998 Budget Policy Statement (BPS), which previewed the coalition's second Budget, shaded down only slightly previous projections for the operating balance in the period ahead. The forecasts had been prepared in November and therefore did not fully incorporate the impact of the Asia crisis and the drought in New Zealand. At the same time, it the BPS restated the authorities' commitment to existing long-term objectives for trimming public expenditure and indebtedness (see below) relative to GDP, considering that the Asia crisis, if anything, was confirming the importance of a fiscal strategy to run surpluses and repay debt. The May 1998 Budget then again lowered somewhat the projected path for the operating surplus, which was expected to bottom out at 1¼ per cent of GDP in 1998/99 before rising to 2½ per cent in 2000/01 (Figure 10). This reflected the adverse effects of lower nominal economic growth, the removal of car tariffs, and the absence of one-off factors that boosted the 1997/98 surplus, partly offset by the authorities' decision to set aside NZ$ 300 million of available resources under the NZ$ 5 billion spending package in 1998/99 and 1999/2000. Underlying the projected improvement in the budget balance from 1999/2000 was a stabilisation of the revenue-to-GDP ratio following the income tax cuts combined with a resumption of the downward trend in the expenditure ratio. The Budget also lowered the authorities' long-term debt target (see below) to demonstrate that running surpluses and debt repayment remained a high priority for the Government. Given the economic environment, it was thought that this could enhance fiscal credibility.

These fiscal projections were, however, quickly superseded by new information indicating that the economy had slipped into recession and tax outturns had begun to fall below projected levels. Thus, in July 1998, to bolster the budget position, the authorities decided to reduce spending over the next two years by another NZ$ 300 million (on top of the same amount deferred in the Budget). Yet,

a special fiscal update requested by the Cabinet and published in early September suggested that this measure would probably not prevent the budget from moving into deficit from 1999/2000 and that there would be further delays in meeting medium-term objectives. Hence, further budget savings were announced in the Government's *Policies for Progress* package revealed in the same month, including i) lowering the floor above which public pensions move in line with consumer prices, rather than wages, from 65 to 60 per cent of the average wage (which was projected to save more than NZ$ 2 billion over ten years); and ii) maintaining income and asset testing for long stay hospital care. This effectively reduced the three-year spending package to NZ$ 4¼ billion. Moreover, consistent with the broader economic strategy, the authorities decided to proceed with privatisation in the electricity sector. This could further improve the operating balance (to the extent that the return of asset sales exceeds their book value). It was the Government's view that the underlying fiscal position was sufficiently sound to enable automatic stabilisers to operate to some extent, in order to partially offset the impact of the cyclical downturn on demand, and that the above measures taken were sufficient to maintain the structural budget balance in a slight surplus position following a further – albeit slowing – decline in 1999/2000.

The formal December 1998 Economic and Fiscal Update, which was based on new comprehensive economic forecasts, confirmed the marked deterioration in the fiscal outlook since Budget time (Figure 10). It expected the operating balance to move into slight deficit (NZ$ 50 million) in the current fiscal year. For the following two years, it projected a deficit averaging 1 per cent of GDP as compared with a Budget forecast of a 2 per cent surplus. Although tax estimates were revised downward because of less favourable economic conditions, the revenue-to-GDP ratio was not expected to change much. On the other hand, the downward revision of GDP (reflecting both weaker output growth and inflation) implied a higher expenditure-to-GDP ratio, although the above mentioned budget cuts and the reduction of the 2000/01 provision for future initiatives (from NZ$ 800 million technical provision to a NZ$ 600 million government commitment) were projected to maintain expenditure at about the levels envisaged in the Budget. Thus, while fiscal projections in the mid-1990s envisaged the achievement of the 30 per cent objective for the expenditure-to-GDP ratio by the end of the decade, and the May 1998 Budget still thought that the ratio could fall to 33 per cent by that time, it now seems that it will remain in the 36 per cent range over the next few years.

Although it is clear that the state of government finances has deteriorated significantly, two factors must be taken into account in an assessment of the underlying budget position: the recent recognition by ARCIC of the future costs of past accident insurance (see below) claims, which lowers the operating balance by about NZ$ 500 million (½ per cent of GDP) each year from 1999/2000; and the

fact that, while economic forecasts underlying budget projections used to be on the optimistic side, the December 1998 projections now appear, if anything, conservative. Indeed, latest available data suggest that a small budget surplus can be achieved in the current fiscal year, although a deficit is still likely in 1999/2000.

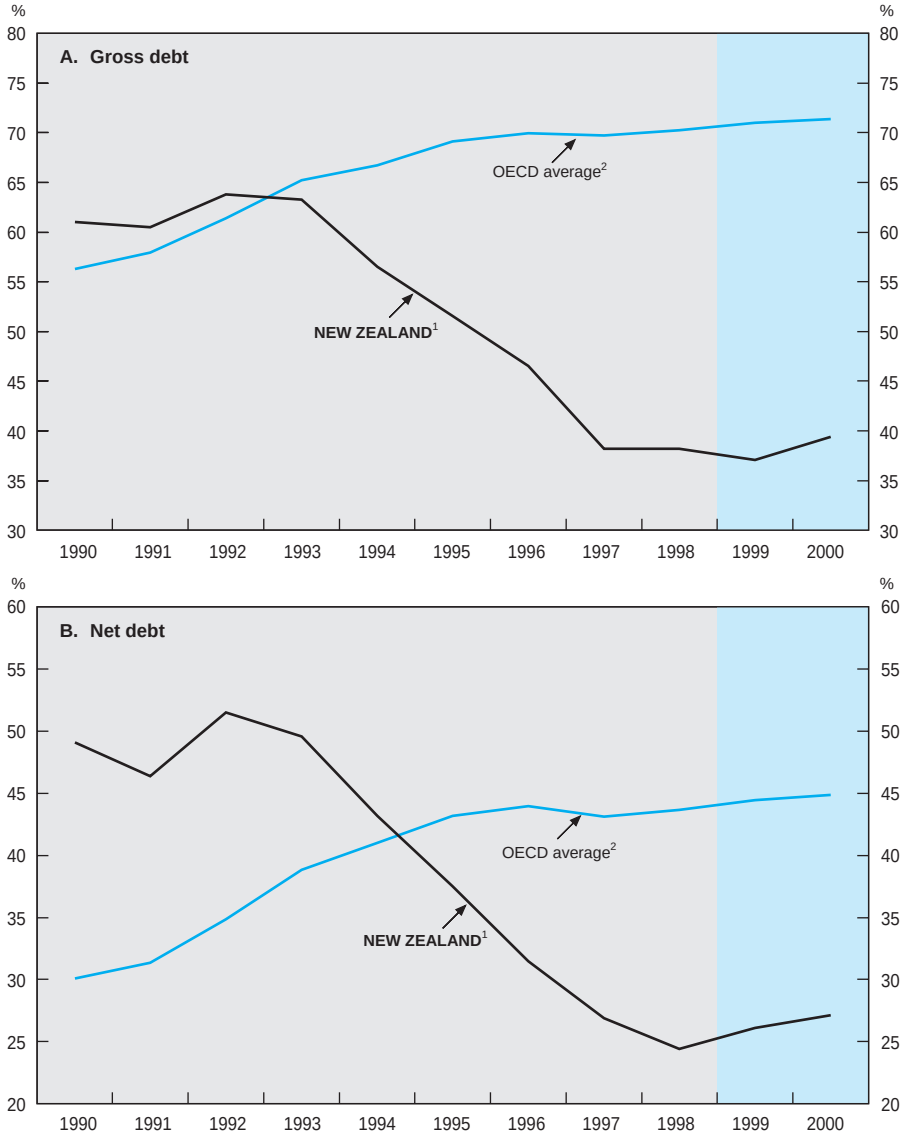
### *Debt developments*

The *Fiscal Responsibility Act* leaves it to the government to define "prudent" debt levels. Up to mid-1998, the authorities' objective was to reduce gross and net public debt to 30 per cent and 20 per cent of GDP, respectively, less than half the corresponding levels prevailing on average in OECD countries. With the budget in surplus from 1994, considerable progress was made towards achieving these goals until last year: over the past five years or so, debt ratios have fallen by about 25 percentage points, to about 38 per cent and below 25 per cent of GDP, respectively, in gross and net terms. As noted, the May 1998 Budget introduced even more ambitious targets, lowering the previous ones by 5 percentage points to 25 per cent and 15 per cent of GDP, respectively, for gross and net public debt. The deteriorating fiscal situation described above has meant, however, that debt ratios will rise in the near term (Figure 11). Thus, while the Budget still expected the new debt goals to be met in about five years, latest official projections suggest that, despite corrective fiscal action, it will now probably take around ten years to achieve them. Even that would require continued tight expenditure control and the absence of tax cuts during that period. The recent experience illustrates to what extent short-term slippage can throw off track the attainment of long-term policy objectives.

### *Appraisal*

Like monetary policy, fiscal policy will have to balance short-term needs against longer-term considerations. As noted, following a series of surpluses, the budget is expected to move into deficit. Such an outcome was preventable. Indeed, in its 1996 Briefing to the Incoming Government, the Treasury, citing the experience of other countries, cautioned that a combination of imprudent spending initiatives and economic shocks could quickly erode the fiscal position and lead to renewed deficits. In the event, slippage in the achievement of the long-term target for public expenditure relative to GDP, along with the Asia crisis, has produced exactly that result, although the authorities have taken corrective action, reducing the fiscal stimulus initially envisaged in the 1998 Budget. These corrective measures were appropriate as they should ensure that the structural budget balance does not slip into deficit. Further fiscal tightening in the near term, in order to eliminate the actual deficit quickly, would be problematic as it might jeopardise the economic upturn now underway. However, as soon as the

Figure 11. **Government debt**
As a percentage of GDP




1. Central government. Projections from 1998 December fiscal update.
2. General government.

*Source:* New Zealand Treasury and OECD Secretariat estimates.

recovery has taken hold, the authorities should make sure that the budget moves back into a surplus position, both to maintain the credibility of the government's long-term fiscal objectives and to create a sufficient buffer against future economic shocks.

## Structural policies

### *Recent progress*

Structural policies are an integrated part of the authorities' overall strategy (see Chapter III) aimed at creating conditions conducive to economic growth. During the past year, they were initially still guided by the December 1996 Coalition Agreement (see last year's *Survey*) which in many ways advanced the reform process (*e.g.* in the area of social benefits) while, at the same time, reflecting a desire to "protect" national interests (*e.g.* by restricting privatisation). The minority government in place since August 1998 has reinforced its commitment to the general strategy, as evidenced by the September *Policies for Progress* package (which, among other things, relaunched the privatisation process and facilitated immigration). Key measures taken over the past year include the introduction of a "community wage" (replacing *inter alia* the unemployment benefit), the reform of accident insurance, liberalisation of immigration, electricity sector reform, tax reductions, trade liberalisation as well as education and health reforms. These initiatives are reviewed below, except for those described in detail in last year's *Survey* (such as the – delayed – tax measures).

#### *Labour market*

From October 1998, the *Community Wage* has replaced the existing Unemployment, Training and Sickness Benefits. In order to qualify for a Community Wage, people have to sign a contract with the government defining their reciprocal obligations: apart from being available for and actively seeking full-time paid work, they must also take steps to improve their chances of finding a job, including participation in appropriate "organised activities" such as community work (see below) or training. For those who previously received the Training Benefit and the Sickness Benefit, in particular, this represents a significant change in expectations placed on them. However, changes to work test obligations have meant that others are affected too. While previously spouses of unemployment beneficiaries with young children did not face work expectations, all spouses of people receiving the Community Wage have similar obligations in order to encourage steps towards self-sufficiency. Moreover, from February 1999, sole parents and widows with children of primary school age are also expected to seek part-time work (those with children aged 14 and above are expected to look for full-time work). To assist these groups to move into paid work, there is now

increased access to an income-tested child care subsidy. These changes reflect the authorities' view that receiving social security benefits should be temporary and that beneficiaries should work in accordance with their capacity to do so. In the event that personal circumstances (such as sickness) limit people's capability to search for a job, they can be temporarily (partly or fully) exempted from their work obligations.

As well as actively seeking paid work, social welfare recipients have to participate in organised activities such as *Community Work*. This programme has the following key features:

- Job seekers receiving the Community Wage can be required to do unpaid work for the benefit of the community or the environment;
- Those who are expected to look for a full-time job may be required to participate in community work for up to 20 hours per week;
- Those who are expected to look for a part-time job may be required to participate in community work for up to 10 hours per week;
- In addition to their Community Wage, participants in the programme receive a weekly allowance, with a further amount being available to meet reasonable extra costs.

Beneficiaries who fail to fulfil their reciprocal obligations of job search and community work participation without good and sufficient reason, face sanctions (in the form of suspensions or reductions of benefits). The new system retains the principle of graduation inherent in the previous one – that is, sanctions become increasingly severe with successive work test failures – but also matches the severity of the sanction to the significance of the non-compliance. For example, leaving a paid job (or losing it due to misconduct) is considered more serious than failure to participate in organised activities. The complexity of the new system has raised some concern about how it can be administered. As the number of beneficiaries subject to work tests has increased substantially, it will be a difficult task to monitor their job search efforts and participation in work programmes, which have to be well organised as well to be worthwhile.

With a view to integrate the decisions on eligibility for income support with the administration of reciprocal obligations and the provision of unemployment services, the authorities have created a new Department of Work and Income by merging the relevant agencies. Such a "one-stop-shop" *employment service* is expected to lead to fiscal savings over the medium-term as greater transparency allows both better targeting and prioritisation of resources and reduced overlap in the provision of benefits and related services. More importantly, it is hoped that it will help reduce long-term unemployment and labour market disparities (especially between Maori and non-Maori) by strengthening work incentives and maximising the involvement of job seekers in community work or training. To enhance responsiveness to local labour market needs,

Regional Commissioners have been appointed and given a management role in the new Department.

As discussed in last year's *Survey*, the evolution of the state-run compulsory *Accident Compensation* scheme (commonly known as ACC) was becoming a matter of widespread concern, mainly related to the system's increasing costs and relative generosity as well as the fact that its monopoly position provided the administrating agency (ARCIC) with little incentive for operating efficiently. Legislation passed in late-1998 addresses these issues, opening up the scheme to competition from mid-1999 by allowing employers and self-employed to buy private accident insurance cover. Employers will be able to choose between commercial insurers and a new State-owned Enterprise (SOE) on a competitively neutral basis. Insurance for earners, non-earners (such as welfare recipients) and injuries as a result of motor vehicle accidents will continue to be delivered by the ACC, which will also provide cover for work injuries for self employed. The latter can opt out of ACC but must purchase a minimum cover for their work and non-work accidents. Claimants will continue to be provided with 24-hour, comprehensive, no fault coverage and the same entitlements as at present. Employers will be compelled to purchase insurance cover for their workers, and all insurers registered for the purpose of accident insurance will be required to offer such cover to all employers and self employed who approach them. A number of requirements need to be met as a condition for registration (including the conduct of business through a New Zealand domiciled company and a rating of financial strength by an approved agency as well as the appointment of a trustee company to undertake prudential supervision). A restructured ARCIC will manage the non-competitive accounts. However, only the non-earner account will continue on a "pay as you go" basis, while the earners and motor vehicle accounts will be fully funded (the recognition of the ARCIC unfunded liability leading to a lower government operating balance in the period ahead, as noted above).

There are a range of potential costs and benefits associated with the reform. On the one hand, the new system is likely to lead to higher administrative, compliance and transaction costs as well as an increased number of disputes over treatment and cover. On the other, benefits can be expected to arise from greater incentives for premium payers to prevent injuries due to increased risk rating; improved and more flexible service to premium payers; an increased focus on the needs of claimants and the achievement of rehabilitation outcomes; and more efficient scheme management and accountability. It remains to be seen whether the amount of competition instilled into the system will be sufficient to ensure that such benefits outweigh arising costs, or whether steps toward privatisation need to be considered to achieve better overall outcomes.

Following some tightening in restrictions in recent years, the minority government has again moved towards easing *immigration* policies. Since October

1998, migrants without prescribed English language skills are no longer required to pay a "language bond". Instead, they can pre-purchase English language tuition (which is much less expensive) at the time of their residence application. The standard of English required for business migrants has also been reduced. Under the new rules, foreigners wanting to set up businesses can apply for long-term multiple re-entry visas to facilitate their operations, before applying for permanent residency under a new Entrepreneur category. The Investor category requirements have also been simplified, and provision has been made for the employees of relocating business to gain residence on a case-by-case basis. Moreover, the point system that determines who qualifies for residence has been adjusted for the General Skills category to take account of *any* – not just profession-specific – work experience, given that people have much more flexible career paths than they used to. The target for immigration remains a net inflow of 10 000 people per year (1/3 per cent of the resident population), which is considerably less than in the mid-1990s. However, the authorities now aim to achieve this objective on average over the medium term, with limited changes from year to year.

*Privatisation*

The coalition's policy of maintaining control of "strategic assets" limited the scope for further privatisation and effectively meant that asset sales came to a halt in the fiscal year 1997/98 (Table 9). The public float of the government's majority stake in Auckland International Airport went ahead finally in July 1998, but disagreements about further airport privatisation then led to the collapse of

Table 9. **Privatisation proceeds**

NZ$ million, fiscal years

| | |
|---|---|
| 1987/88 | 1 128 |
| 1988/89 | 1 475 |
| 1989/90 | 1 448 |
| 1990/91 | 5 378 |
| 1991/92 | 518 |
| 1992/93 | 1 974 |
| 1993/94 | 793 |
| 1994/95 | 364 |
| 1995/96 | 1 013 |
| 1996/97 | 1 823 |
| 1997/98 | 0 |
| 1998- | 487 |
| **Total** | **16 400** |

*Source:* New Zealand Treasury.

the coalition in the following month. Remaining candidates for future privatisation include Television New Zealand and New Zealand Post. The authorities are considering the privatisation of Solid Energy and Vehicle Testing New Zealand and, in its *Policies for Progress* package, the government announced its intention to proceed with the sale of Contact Energy, a large state-owned electricity generating company, previously deemed a "strategic asset". If completed in the near term, this latter measure would boost privatisation proceeds in 1998/99 (the book value of the company's equity being NZ$ 800 million). However, recent micro reform in the sector may lower the operating surplus of state-owned electricity companies.

At present, there are two state-owned electricity generators: Electricity Corporation New Zealand (ECNZ), which produces around 60 per cent of the country's electricity, and Contact Energy, which was split off in 1996 and accounts for another 30 per cent of the generation market. In April 1998, the authorities announced a series of reforms aimed at reducing electricity prices for both businesses and households; giving smaller consumers a greater choice of electricity suppliers; and increasing efficiency within the sector (which was also expected to produce environmental benefits). Legislation governing the reform process was passed by Parliament in July. In particular, ECNZ is to be split into three separate competing State-owned Enterprises (SOEs) from April 1999. Competitive pressures and efficiency in the generation sector would be further enhanced by the privatisation of Contact Energy. The second plank of reforms is to force electricity supply companies to separate their power line and retailing businesses and then to sell off one of them. This concerns thirty seven companies which operate in both areas. Indeed, integrated ownership has enabled some power companies to frustrate competitors' attempts to gain line access, which, together with the lack of a low-cost consumer metering system, has resulted in little generated electricity crossing regional monopoly boundaries. A number of planned mergers between several power supply companies, along with the decision of the generators ECNZ and Contact Energy to compete in the retail market (offering lower prices), indicate that the sector is already adjusting to the new more competitive environment that will be created by the reforms. Another major initiative is the intention to increase the threat of price control on local lines businesses, with a view to placing pressure on these businesses to minimise costs and prices. The Government envisages to have this regime operating within the next twelve months. The regulatory framework needs to ensure that businesses do not abuse natural monopoly power, but care must be taken that it does not reduce incentives for companies to improve efficiency and be innovative.

*Trade*

Over the past year, New Zealand has accelerated its programme of *tariff* reductions. As noted, at the time of the May 1998 Budget, the 22½ per cent tariff

on imports of new passenger cars and vans was removed with immediate effect. This came as a surprise since, in December 1997, the authorities had announced that these tariffs would be phased out over a period ending in mid-2000. At that time, however, the Government also indicated that it would remove tariffs earlier if all existing assembly plants closed and/or the industry approached it to do so. In the event, the assemblers all announced closure dates in calendar year 1998, then signalling, together with other parts of the industry, that the early removal of tariffs would help stimulate new and used vehicle sales. The authorities responded positively to this approach, while providing limited financial support to the assemblers to enable them to trade through to their announced closure dates. Limited assistance was also granted to communities most affected by the closures. In addition, the Budget eliminated one of the last remaining import licensing restrictions on goods protected by copyright, where the monopoly position of licensed agents has limited consumer choice and kept prices high. Concerns of other countries that this might lead to increased distribution of pirated consumer goods have been addressed by the introduction of stricter penalties for the importation of such goods. In the *Policies for Progress package*, the government announced that, while some existing tariffs (for the textiles, clothing and footwear industries) would remain unchanged from the end of the current reduction programme in 2000 until 2004, all tariffs would be phased out by July 2006 (Table 10). This is four years ahead of the zero tariff goal by 2010 that New Zealand is committed to as part of APEC (and 20 years after tariff reductions commenced in the mid-1980s).

In the 1998 Budget, the Government announced that it sees the removal of all agricultural *Producer Boards*' statutory backing as inevitable over time and is

Table 10. **Planned tariff removal**[1]

Per cent

| | July 2000 | July 2001 | July 2002 | July 2003 | July 2004 | July 2005 | July 2006 |
|---|---|---|---|---|---|---|---|
| Textiles, clothing | 15 | 15 | 15 | 15 | 10 | 5 | Free |
| and accessories, | 10 | 10 | 10 | 10 | 8 | 4 | Free |
| carpets, headgear, footwear[2] | 5 | 5 | 5 | 5 | Free | | |
| All other products[3] | 10 | 5 | Free | | | | |
| | 5 | Free | | | | | |

1. Nothing in the new legislation prevents the reduction or removal of any duty or rate of duty at a time earlier than (as the case may be) 2001, 2002, 2004 or 2006, and existing policies relating to removal of tariffs from goods not made in New Zealand, reducing costs (through tariff concessions) and tariff simplification will continue.
2. From 1 July 2006, no tariff duty will be payable at all on any goods imported.
3. The phase out programme uses *ad valorem* rates as its basis. "Specific duties" – which are fixed dollar amounts per item, weight or other measure – will be removed in phase with *ad valorem* rates.

*Source:* New Zealand Treasury.

committed to deregulation in this area. There are nine such boards, of which five have monopsony powers to purchase produce for export. The boards were given until 15 November 1998 to submit proposals for how they will operate without statutory backing. All of them met the deadline for submission of their strategic plans. Since then, there has been a vigorous debate within the affected industries and an extensive consultation process is underway. The Government has announced that it will assess the proposals rigorously and then implement change that is appropriate for each industry, with the type of reform being customised to each Board's individual circumstances. So far, despite some moves toward introducing competition, changes have fallen short of what could be considered reform of the system (see last year's *Survey)*. The importance of action in this area is highlighted by the fact that almost one-fifth of New Zealand's total merchandise exports comes from industries controlled by the three large Boards that have statutory export monopolies.

*Health*

As discussed in last year's Survey, health sector performance following the major reforms undertaken in 1993 has been disappointing. In particular, costs have not been contained in line with planned funding growth while, at the same time, access to some services appears to have rather deteriorated. Public health spending now accounts for 18 per cent of total government expenditure, as compared with 13 per cent before the reforms. To address some of the problems that have emerged, over the past year, the authorities have made a number of adjustments to the health system aimed both at reducing unnecessary bureaucracy and enhancing collaboration within the sector so as to release resources for service and provision. These include:

- Moving back to a single purchasing agency while retaining the purchaser/provider split. The four Regional Health authorities (RHAs) created in 1993 have been merged into a national agency, the Health Funding Authority (HFA), which is responsible for the public funding of all health services (personal and public, as well as disability support);
- Placing more emphasis on co-operation within the health sector, *e.g.* through permitting joint ventures and allowing the investigation of integrated care arrangements;
- Changing the publicly-owned hospitals' name and objectives. Unlike the Crown Health Enterprises (CHEs) created in 1993, which had to make a return on equity, the Hospital and Health Services (HHSs) are run as not-for-profit companies. They can retain any money remaining after all costs are covered for either capital expenditure or reinvestment in service provision. However, from 1998/99, HHSs have had to pay a charge on equity (similar to the capital charge that exists for government departments). Public hospitals remain taxable, but past

tax losses (amounting to NZ$ 800 million) are extinguished and any tax paid will be recycled back into the health sector;

– Re-pricing of hospital services and improving contracting with the purchasing agency. The elimination of under-pricing should ensure that the HFA pays the true costs of service provision while any remaining HHS deficits reflect either inefficiencies and/or lack of cost control. Transparency and consistency should be increased by better information disclosure (including the HFA's medium-term purchase intentions, pricing methodology, and the provider's unit costs for services).

A number of other developments can be expected to contribute to better control of public health spending. As noted, the authorities have decided not to proceed with the announced removal of income and asset testing for older people in long-stay hospital care. Moreover, the ACC has recently moved to buy elective health services on its own behalf. Further contestability of purchasing with the HFA will occur if the Government goes ahead with plans to allow the ACC and its new competitors to buy acute services for clients. Finally, the HFA has signalled that it intends to pay all general practitioners (GPs) on a capitation rather than fee-for-service basis (at present 15 per cent of GPs are paid by capitation). Moving from the currently dominating demand-driven system toward a fixed annual budget for primary care would enhance incentives to find the most cost-effective interventions for a patient.

*Education*

Two major initiatives have been taken over the last year in the education field. In the *school* sector, the authorities have provided additional funds to encourage self-management and thus responsiveness to parental and student demand. Since 1996, schools have had the option of being bulk-funded, giving them control over all of their budgets. However, to ensure that no school is financially disadvantaged by adopting the Fully Funded Option (as it now is officially called), the 1998 Budget adjusted the formula for determining the level of direct resourcing. This recent change has seen an increase in the number of schools choosing the Option from 13 per cent at the time of the Budget to 27 per cent by February 1999. Over one-third of students are now in Fully Funded Option schools. However, the potential benefits of self-management will not be fully realised as long as teachers' wages are determined at the national level in negotiations with the trade unions (in contrast to the private sector where wage formation is governed by the *Employment Contracts Act*).

In the *tertiary* sector, from 1999, student subsidies become demand driven with public funding following student choice. A universal tertiary allowance to assist with the tuition costs of students replaces the previous system under which a fixed number of student places was subsidised. Extra funding provided by the

1998 Budget was to allow the introduction of this reform with no estimated impact on the average fees faced by students, but this has been reduced subsequently as a result of the fiscal pressures discussed above, so that tuition costs for students are likely to rise by about 10 per cent. Apart from removing the cap on the number of subsidised student places, the reforms extend state support to students at private providers who are enrolled in approved courses. From 2000, these students will receive equivalent subsidies to those at public educational institutions. Because of the potentially high fiscal risks of moving to a demand driven system (through difficulties in forecasting actual participation), it will be fully implemented only after a transition year during which some fiscal caps remain in place. Nonetheless, a supplementary funding round in the middle of 1999 will act to mimic a demand-driven system, by allocating an additional capped fund according to student places achieved by providers. Over time, the reform is expected both to improve opportunities for participation for currently under-represented groups by sharing resources more fairly over a greater number of students, and promote efficiencies and innovation in the delivery of tertiary education by giving more autono my to, and increasing competition among, providers.

In addition to funding reforms announced in the 1998 Budget, the Government outlined a major package of measures in the Tertiary Review White Paper (released in November). These included further small changes to funding policy, a new quality assurance system, reforms to governance, monitoring and accountability arrangements to improve efficiencies and competitive neutrality, as well as changes to the funding of research. The latter comprise the transfer of existing research funds (concentrated in postgraduate areas) across all degree providers as top-ups and the establishment of a new contestable research fund (that is expected to rise in value over time linked to a proposed reduction in the value of top-ups).

### *Near term priorities*

Recent microeconomic initiatives have advanced key elements of the authorities' structural policy agenda and been broadly consistent with advice offered by the OECD in the context of its *Jobs Strategy* (Table 11). In particular, as recommended, they have: strengthened labour force attachment and incentives for self-sufficiency through tightening requirements for benefit entitlement (including a work capacity assessment process and the obligation to participate in organised activities); moved to enhance the autonomy of schools and make the funding of tertiary education demand driven; accelerated the reduction, and announced the complete removal, of tariffs; introduced competition in public sector activities such as accident insurance and the electricity sector; and signalled the deregulation of the agricultural producer boards.

Table 11. **Implementing the OECD Jobs Strategy – an overview of progress**

| Jobs Strategy proposal | Actions taken | OECD assessment/recommendations |
|---|---|---|
| **I. Improve labour force skills and competence** | | |
| Reduce the number of persons leaving school early by ensuring that secondary education includes a vocational option leading to recognised industry qualification. | Dropped the policy to raise the school leaving age. | Reducing early school leaving remains an issue. |
| Continue with the implementation by the Qualifications Authority of a framework for nationally-recognised schools, vocational and academic qualifcations. | Introduced the Secondary/ Tertiary Alignment Resource (STAR). | STAR will go some way towards bridging the secondary/tertiary school boundary and help students achieve credit toward national qualifications. Slow progress towards implementing the National Qualifications Framework. |
| Take steps to improve further the quality and efficiency of tertiary education by bringing public subsidies more in line with public benefits of tertiary education; and further enhancing the autonomy of public institutions. | Initiated a review of the tertiary eduation sector. Beginning in 1999, student subsidies for tertiary education become demand driven with state funding following student choice; state subsidies are extended to students at private providers; and the cap on the number of state subsidised student places is removed. | While undertaking reforms to the tertiary education sector, do not ignore issues of importance at lower levels, such as the decentralisation of teachers' pay to facilitate self-management of schools. |
| Monitor closely the various initiatives aimed at raising Maori and Pacific Islanders participation and attainment in education. | Introduced or improved several programmes aimed at raising Maori and Pacific Islanders' participation and attainment in education. | With a number of programmes for Maori and Pacific Islands students up and running, the goal now is to assess their impact and remain responsive to future changes. |
| **II. Reform unemployment and related benefit system** | | |
| Continue to review the current tax/benefit system in order to reduce work disincentives. | Introduced a number of changes, including lowering abatement rates and developing tightening requirements for benefit entitlement, and a work capacity assessment process. In particular, the Community Wage replaced a number of existing benefits (unemployment, training and sickness). | Recent changes reinforce work attachment to the labour force, not unemployment, and create greater incentives for self-sufficiency. |

Table 11. **Implementing the OECD Jobs Strategy – an overview of progress** *(cont.)*

| Jobs Strategy proposal | Actions taken | OECD assessment/recommendations |
|---|---|---|
| **III. Active labour market policies** | | |
| Consider further extending the policy whereby long-term receipt of unemployment benefit is conditional on acceptance of a place on a programme by which job search activities can be monitored and encouraged (such as *Job Action*) or participation in some other form of ALMP. | Greater regionalisation of the delivery of ALMPs; integration of several labour-related departments into a single Department of Work and Income. | Increased coverage of ALMPs is to be welcomed as is the regional focus which should provide greater accountability and responsiveness to local market needs. Closely monitor the effectiveness of the case-management approach to ALMPs. |
| | To qualify for the Community Wage, unemployed individuals must fulfil reciprocal obligations including participation in organised activities (such as community work). | Monitor implementation and behaviour under the Community Wage programme, particularly sanctions for non-compliance, and ensure participants receive relevant training. |
| **IV. Enhance product market competition** | | |
| Separate the "Producer Boards" regulatory and commercial functions, and "unbundle" farm gate prices. | The government is considering ways of facilitating the removal of the statutory backing for producer boards. | Speed up deregulation of agricultural producer boards. |
| Speed up the planned reduction in tariffs in sectors such as clothing, footwear, passenger motor vehicles, carpets and textiles where the current levels of protection are very high. | Removed tariffs on motor vehicles and the prohibition on parallel importing of goods protected by copyright. Announced the removal of all tariffs by the end of the year 2006. | The commitment to unilaterally reduce tariffs is to be commended as one of the best means to improve economic performance. |
| **V. Wage formation** | | |
| Monitor the effect of the minimum wage, particuarly on teenage workers. (If the minimum wage is to be kept, it should not be indexed or uprated regularly in a fashion which risks setting a precedent in wage bargaining.) | Minimum wage frozen following significant increases in 1997. | Avoid potentially adverse consequences of a further increase in the minimum wage. |
| Consider further reform of the Accident Compension Scheme to contain its escalating cost. | Introduced an element of competition in the accident insurance scheme by allowing employers to use private cover. | Introducing competition will eventually lead to greater efficiency and thus lower costs on employers, as well as creating greater choice and quality of delivery. |

*Source:* OECD Secretariat.

The Government's priorities in the structural policy area (as detailed in the December 1998 Budget Policy Statement, see Chapter III) bode well for further progress in achieving the OECD Jobs Strategy proposals. They highlight areas where the authorities feel additional effort is needed, including: lifting educational standards and achievement; strengthening external links by liberalising trade, investment and immigration; encouraging savings and investment; improving the quality of the regulatory environment; and encouraging the contestable supply of resources and services in areas of public sector responsibilities. In the period ahead, priority will be given to measures that help address these concerns:

- In tertiary *education*, new systems for funding research and assuring quality are being implemented and legislation will be introduced in Parliament in 1999 to strengthen governance and accountability and promote competitive neutrality (including introducing a cash-based levy on institutions for publicly provided capital). In the coming year, the authorities will also work to implement the National Assessment programme to provide better information on learning outcomes at the primary school level. Moreover, they have committed funding to ensure that by 2005 all children turning nine will be literate and numerate;
- With respect to *external links*, the new tariff legislation provides for a timetable but does not exclude any earlier-than-envisaged reductions or removals of import duties. The Government is also pursuing a possible free trade agreement with the United States. The future direction of immigration policy will be general liberalisation where it is sensible, but with an underlying theme of stability;
- The authorities are committed to minimising the negative impact of taxation on *saving and investment* decisions. Adjustments to New Zealand Superannuation (relating to its indexation, see above) aim at encouraging private saving for retirement and putting the scheme on a sustainable path. To find a sustainable and affordable solution to all the problems associated with population ageing, a Superannuation 2000 Task Force is established;
- To improve the quality of *regulation* and lower compliance costs on businesses, the Government is continuing to develop regulatory responsibility initiatives. This follows upon the approval of a Code of Good Regulatory Practice and a requirement since mid-1998 for all regulatory proposals to be accompanied by a Regulatory Impact Statement (including an assessment of the net benefit of a policy proposal). New legislation regarding occupations, such as conveyancing, is to ensure quality services at a reasonable price. Amendments to the

Resource Management Act will aim at ensuring that no unnecessary costs are being incurred to protect the environment;

– With a view to enhancing efficiency in the *public sector*, the authorities will continue to open up opportunities for private supply and are considering reforms to roading and local government (in particular with respect to barriers to efficient charging and the provision of water and wastewater services, where substantial economic gains appear possible).

The authorities' major task in the near term will be to implement successfully key reforms launched over the past year in the labour market and the public sector in order to ensure that they produce the expected beneficial outcomes. In addition, they should focus on areas where progress in implementation has been slow, or where no concrete initiatives have as yet been forthcoming (Table 11). For example, the National Qualifications Framework, which aims at creating an integrated system of qualifications across the school, tertiary and vocational training sectors, has been under development for many years; and increasing school leaving age remains an issue, as does the decentralisation of teachers' pay to facilitate self-management of schools. Agricultural producer boards have so far largely escaped reform and stand out as anomalies in an otherwise competitive environment. And the ongoing strong reliance on foreign savings suggests the need to examine the scope for removing tax-related distortions to domestic saving decisions. Longer-term policy requirements in both structural and macroeconomic areas are discussed in the following Chapter.

# III. The medium-term economic strategy

From the mid-1980s, New Zealand embarked on an economic reform programme that transformed an inward-looking and heavily-regulated economy into one of the most open and market-oriented of the OECD area. The major reforms took place in two phases, the first between 1984-1990 under the direction of a Labour government, while the second between 1990-1996, was carried out by the (conservative) National Party. Reforms over that period were notable in many respects. *First*, they were both quite comprehensive and pursued in a fairly rapid fashion. *Second*, they reduced the size of government in the economy and, at the same time, applied a core set of principles to public sector management to improve transparency, accountability and efficiency which goes beyond measures taken in other OECD countries. *Third*, although support for the radical moves which were taking place sometimes waned, the reform process remained largely intact through successive governments, and for the most part, followed a similar direction, though not continuously. In the period since then, under a Coalition Government and, more recently, a conservative-minority government, the pace of reform slowed. Although some important measures were introduced or are being contemplated (see Chapter II), some partial policy reversal was evident (particularly in health) and there has been little further progress toward reducing the role of government.

This Chapter takes stock of New Zealand's reforms from a longer-term perspective. The interest in examining this reform experience is threefold: to assess the pay-off of the economic strategy; to provide a deeper understanding of why, in some respects, improvements in economic performance have fallen somewhat short of *ex ante* expectations; and to shed light on policy interactions between and across areas in order to establish whether or not policies have been mutually reinforcing in supporting productivity and economic growth. The Chapter is developed in three main parts. The first briefly describes the main elements of the reform process as it evolved through time, and highlights the key objectives as they emerged. The second examines progress in implementation. This is followed by a general assessment of economic outcomes, in respect of long-term performance and medium-term prospects. A final section highlights a number of

lessons which arise from New Zealand's reform experience, and suggests ways in which overall outcomes might be improved upon.

## Evolution of the strategy

While there had been some moves to open up the economy earlier, the main thrust of economic reform in New Zealand was initiated in response to an exchange-rate crisis in June 1984 but then went far beyond what needed to be done to cope with the immediate situation. Driving the process was widespread recognition that New Zealand's economic performance was increasingly lagging behind that in other OECD economies (Treasury, 1984). As Table 12 shows, while recorded unemployment was low, productivity gains and growth in per capita GDP consistently fell short of those elsewhere. In the decade prior to the onset of reform, the growth of real per capita income in New Zealand was less than half that of other commodity-based OECD economies (Canada and Australia), there was no rise in business investment, there existed a chronic large external deficit, and high and volatile inflation. During this period, the economic strategy relied on high external barriers, industrial support and extensive regulatory controls, as well as on government involvement to sustain economic activity and employment growth. In the early 1980s, the increasingly interventionist approach culminated with a comprehensive wage and price freeze to deal with mounting inflation.

The major reforms that followed were described in previous *Surveys*.[1] They are, therefore, only briefly summarised below (a detailed account and chronology of reform events is provided in Annex III). As noted, the changes came in two waves, with the bulk of measures each time implemented early on.

### *The first wave of reform, 1984 to 1990*

In the first wave of reform (1984-1990), policy makers did not initially have a well-defined and comprehensive programme to guide the transformation of the economic framework. The complete liberalisation of the financial sector was tackled first, followed closely by moves to open the economy to international trade, through the phased removal of import licensing, tariffs and export subsidies, and the overhaul of the tax system to close loopholes, reduce exemptions and to broaden the tax base and to flatten the rate scale. Reforms to the public sector were tackled next, these concerned corporatisation and privatisation as well as changes to the operating behaviour of government departments. Some adjustments were made to the labour relations framework. Towards the end of this period, the *Reserve Bank Act 1989* was introduced; this was a landmark piece of

Table 12. **Indicators of macroeconomic performance in selected OECD countries**

| | **New Zealand** | United States | Japan | Germany | France | Italy | United Kingdom | Canada | Australia |
|---|---|---|---|---|---|---|---|---|---|
| GDP growth[1] | | | | | | | | | |
| 1963-73 | **3.5** | 4.4 | 9.3 | 4.4 | 5.3 | 4.8 | 3.4 | 5.4 | 5.3 |
| 1973-83 | **1.3** | 2.1 | 3.2 | 1.6 | 2.3 | 2.7 | 1.1 | 2.8 | 2.4 |
| 1983-97 | **2.3** | 3.0 | 3.1 | 3.1 | 2.0 | 2.0 | 2.6 | 2.7 | 3.5 |
| Growth of GDP per capita[1] | | | | | | | | | |
| 1963-73 | **1.9** | 3.2 | 7.9 | 3.6 | 4.4 | 4.1 | 2.9 | 3.6 | 3.4 |
| 1973-83 | **0.5** | 1.0 | 2.3 | 1.7 | 1.8 | 2.3 | 1.1 | 1.5 | 1.1 |
| 1983-97 | **1.3** | 2.1 | 2.6 | 0.9 | 1.5 | 1.9 | 2.4 | 1.4 | 2.1 |
| Consumer price inflation[2] | | | | | | | | | |
| 1963-73 | **5.3** | 3.6 | n.a. | 3.5 | 4.6 | 4.4 | 5.3 | 3.7 | 4.0 |
| 1973-83 | **13.4** | 8.2 | 8.1 | 5.0 | 10.9 | 16.6 | 13.3 | 9.3 | 11.2 |
| 1983-97 | **6.0** | 3.5 | 1.4 | 2.4 | 3.5 | 6.2 | 4.5 | 3.4 | 5.1 |
| Growth of business investment[1] | | | | | | | | | |
| 1963-73 | **6.6** | 7.2 | 13.2 | 4.0 | 7.0 | 3.3 | 4.7 | 7.4 | 5.2 |
| 1973-83 | **0.0** | 2.6 | 2.0 | 6.8 | –6.5 | –1.0 | 1.8 | 6.6 | 2.6 |
| 1983-97 | **5.7** | 4.6 | 5.3 | 3.6 | 2.3 | 3.0 | 5.1 | 4.7 | 4.4 |
| Labour productivity growth[3] | | | | | | | | | |
| 1963-73 | **1.3** | 2.0 | 7.8 | 4.2 | 4.4 | 5.3 | 3.4 | 1.8 | 2.7 |
| 1973-83 | **0.2** | 0.3 | 2.3 | 1.9 | 2.1 | 2.0 | 1.6 | 0.7 | 1.5 |
| 1983-97 | **1.0** | 1.2 | 2.1 | 1.2 | 1.8 | 2.2 | 1.7 | 1.0 | 1.4 |
| Employment rate[2, 4] | | | | | | | | | |
| 1963-73 | **72.6** | 61.7 | 71.2 | 68.8 | 66.4 | 57.1 | 71.3 | 62.3 | 67.2 |
| 1973-83 | **73.2** | 64.0 | 69.8 | 65.1 | 64.0 | 55.5 | 69.1 | 64.9 | 65.6 |
| 1983-97 | **70.0** | 70.5 | 72.6 | 63.1 | 59.7 | 52.6 | 68.4 | 68.7 | 66.8 |
| Unemployment rate[2] | | | | | | | | | |
| 1963-73 | **0.2** | 4.7 | 1.2 | 0.8 | 2.3 | 4.0 | 2.1 | 4.9 | 1.9 |
| 1973-83 | **1.8** | 7.2 | 2.0 | 4.0 | 5.4 | 5.5 | 5.8 | 7.9 | 5.6 |
| 1983-97 | **6.6** | 6.5 | 2.7 | 8.2 | 10.5 | 10.0 | 9.2 | 9.8 | 8.6 |
| Current account balance (share of GDP)[2] | | | | | | | | | |
| 1963-73 | **1.0** | 0.3 | 1.3 | 0.8 | 0.6 | 1.4 | 0.1 | –1.8 | –2.4 |
| 1973-83 | **–5.5** | –0.1 | 0.3 | 0.6 | –0.3 | –0.9 | 0.0 | –2.8 | –2.9 |
| 1983-97 | **–4.2** | –1.9 | 2.6 | 1.4 | 0.2 | 0.1 | –1.0 | –2.3 | –4.7 |

1. Volume, annual average.
2. Period average.
3. Annual average.
4. Total employment as a percentage of the working-age population, 15-64. For France, data for employment begin in 1965.

*Source:* OECD Analytical Database.

legislation since it gave both operational and legal authority to the Reserve Bank in pursuing price stability as its sole objective.

During this early period, although the actions taken were bold and in many ways innovative, there became a growing inconsistency between measures taken to address short-term concerns on the one hand, and forward-looking measures on the other. In the area of fiscal policy, for example, there was inconsistent progress towards consolidation and this frustrated efforts directed at stabilisation. The monetary authorities faced a difficult challenge in reducing inflation given rigidities in the non-traded sector, which was yet to be liberalised. And the lack of labour market changes in the face of rapid adjustment hampered the reallocation of labour. At the same time, in other policy areas there was a more medium-term approach to improving performance, as evidenced by various public sector statutes and the *Reserve Bank Act*. These structural measures were based on a number of common key concepts (Scott, 1996): the need for coherence, credibility and time consistency; contestability; creating the right incentives; and comparative systems analysis (which seeks to assess the efficiency of alternative institutional structures, both private and public, in achieving desired policy outcomes).

### *The second wave of reform, 1990 to 1996*

In the second wave of reform (1990-1996), the focus was completing unfinished business from the earlier period and in that regard, an explicit economic strategy also began to take shape. During this time, a radical restructuring of the labour relations framework through the *Employment Contracts Act* took place; there was a significant tightening and reduction of unemployment and other income benefits; there were changes to both health and education policy; and in the fiscal area, the *Fiscal Responsibility Act* (FRA) came into being. This Act is the instrument through which the authorities attempt to safeguard improvements in both government finances and policy credibility (see Box 2 for more details).

The 1992 Budget stressed that the overriding goal of economic policy over the medium term was to augment economic growth – in a statement, the Prime Minister announced a target rate of 3½ to 5 per cent – and defined four inter-locking elements to achieve that (Minister of Finance, 1992):

- *A stable macroeconomic environment*, by sustaining low inflation and steady and predictable fiscal management to encourage investment;
- *Building international linkages*, through supporting international competitiveness, harnessing the benefits of international skills and capital, and promoting better international trade rules;

## Box 2. The Fiscal Responsibility Act 1994

The main thrust behind the *Fiscal Responsibility Act 1994* (FRA) is to improve both fiscal performance and management and to bring a long-term focus to budgeting. It does so in a number of ways: by requiring governments to follow a legislative set of principles of responsible fiscal management (see Annex I for details), and to publicly assess their fiscal policies against these principles; by requiring a structured and detailed set of fiscal reports (see below); by mandating the disclosure of three-year fiscal projections; by using generally-accepted accounting practices; and by requiring the Treasury to prepare forecasts based on its best professional judgement about the impact of policy, rather than relying on the judgement of the Government.

At the time of its inception, the FRA was considered an innovative piece of legislation, and since that time, a number of countries have adopted similar features in their own fiscal frameworks, particularly with regard to increasing transparency, budget discipline and strengthening reporting requirements (Table B1). However, there is much less policy convergence among countries in their legislated views on operational implications, with some like New Zealand, opting for general definitions of deficit and debt objectives, while others have preferred more specific targets (European Union), golden rules (United Kingdom), or spending caps (United States and Sweden). Nevertheless, although the FRA does not specify numerical fiscal targets, successive New Zealand government's have chosen to give fiscal policy more credibility by defining initially a net debt target of 20-30 per cent of GDP as fiscally "prudent". (The target was subsequently lowered to 15 per cent in 1998.)

An important feature of the FRA is the requirement of a detailed and structured sequence of financial reporting over the course of the fiscal year. These reports are examined by parliamentary select committees responsible for the review of fiscal management and include the following:

### Budget Policy Statement (BPS)

The BPS is to be published by the end of March each year at the latest (the fiscal year begins on 1 July), and provides information concerning: the government's fiscal intentions over the next three years, including some specified fiscal variables such as expenses, revenues, the operating balance, net debt and net worth; the long-term fiscal objective; and the consistency of the short-term intentions with the principles of responsible fiscal policy as outlined in the Act. Hence, the BPS is intended to provide a means for ensuring the short-term fiscal intentions are consistent with long-term goals, and if not, requires the government to explain why not. It also sets a baseline against which subsequent fiscal performance and decision-making can be judged.

### Fiscal Strategy Report (FSR)

The FSR is released at the same time as the Budget. It provides a check on the fiscal outlook by including an assessment of the consistency of the current economic and fiscal situation (as contained in the Budget) with information contained in the BPS, and an amended set of intentions where circumstances have changed. It must also include "progress outlooks" which highlight over at least a ten-year period, the evolution of the fiscal position under a range of economic and fiscal policy assumptions,

*(continued on next page)*

Table B1. **Fiscal frameworks in selected countries**

*(continued)*

| | New Zealand (Fiscal Responsibility Act) | United States (Balanced Budget Agreement) | United Kingdom (Code for Fiscal Stability) | Australia (Charter of Budget Honesty) | Sweden (Fiscal Budget Act 1996) | EU-11 (Stability and Growth Pact) |
|---|---|---|---|---|---|---|
| Legal status | Statutory | Balanced Budget Act of 1997 | Statutory | Statutory | Statutory | 1 council resolution<br>2 council regulations |
| Policy objectives | – transparency<br>– accountability better informed debate<br>– prudent risk management<br>– predictability and stability of tax rates | – expenditure discipline | – transparency<br>– responsibility<br>– stability<br>– fairness<br>– efficiency | – transparency<br>– accountability<br>– managing risk<br>– national saving<br>– stability and integrity of tax base<br>– inter generational equity | – transparency<br>– responsibility<br>– expenditure discipline<br>– efficiency | – budgetary discipline<br>– ensuring Maastricht deficit limits to hold in the event of adverse shocks |
| Operational implications | – prudent debt level achieved by operating surplus<br>– balanced budget in the long run when prudent debt level is reached<br>– net worth buffer to adverse shocks | – nominal spending caps for 13 appropriation bills<br>– procedural rules for mandatory spending<br>– small budget surplus in 2002 | – golden rule over the cycle<br>– stable and prudent debt ratio over the cycle | underlying budget balance over the cycle | – nominal expenditure ceilings for 27 expenditure areas<br>– surplus of 2 per cent in the long run (reached in 2001) | – close to balance or surplus in the medium term<br>– specific time limits and sanctions outlined |
| Reporting requirements | – accrual accounting<br>– generally accepted accounting practices<br>– reports: budget policy statement, fiscal strategy, pre-election etc. | – cash accounting except for interest payment of treasury debt and guaranteed and direct loans, which are entered on their estimated subsidy value | – resource/accrual accounting<br>– reports: pre-budget, financial statement, fiscal strategy, etc. | – accrual accounting<br>– generally accepted accounting practices<br>– reports: fiscal strategy, pre-election, inter generational report, etc. | – mainly cash based accounting | – stability and convergence programs<br>– assessment by Commission<br>– excessive deficit procedure |

*Source:* National sources.

*(continued on next page)*

*(continued)*

and thus illustrate progress towards the long-term goals outlined in the BPS. Hence, the FSR and long-run scenarios provide an appraisal of the sustainability of the fiscal position and its sensitivity to changes in policy.

**Economic and Fiscal Updates**

Along with the above reports, the government is required to provide details on economic and fiscal developments throughout the year. These include: an Economic and Fiscal Update for the next three years to be presented on Budget night; a Half-year Economic and Fiscal Update to be tabled between 1 and 31 December; a Current-year Fiscal Update which contains the latest fiscal information and expectation for the government's financial statements for the year ending in June; and Pre-election Fiscal and Economic Update for the next three years to be published between 42 and 14 days before the date of any general election. Such reports are to specify (at a minimum) economic projections for New Zealand's GDP, consumer prices, unemployment and employment, and the current account of the balance of payments; and fiscal parameters such as, the fiscal position (Crown's balance sheet), an operating and cash flow statement and statement of borrowing, and any other information necessary to fairly reflect the Crown's financial position. As well, all relevant assumptions underlying the forecasts are to be clearly articulated.

– *Human resource development*, to achieve a productive work force through lowering unemployment and investing in tomorrow's work force; and
– *A competitive enterprise economy*, through a competitive cost structure, innovation, and better business performance.

Implicit in this overall statement and developed in policy papers elsewhere (Prime Minister, 1993 and 1995) were details of the overall strategy which emphasised investments in education and training, as well as reducing welfare dependency, as priorities for sustaining economic growth. In addition, the authorities tried to raise the credibility of its policy approach by announcing – for the first time for any New Zealand government – the signs of progress the public should expect to see in future years as a result of the economic strategy (Minister of Finance, 1992).

Even before the *Fiscal Responsibility Act* required the government to do so, policy objectives were most clearly laid out in the area of fiscal policy. In particular, the authorities set a target for reducing the ratio of expenditure to GDP to below 30 per cent, and gave substance to the notion of a "prudent debt" level in the FRA by specifying this to be 20-30 per cent net debt (defined later as simply 20 per cent) as a share of GDP. The choice of the 20-30 per cent range was based upon a number of practical (rather than theoretical) considerations (Minister of

Finance, 1994): at the time, that level was well below the OECD small-country average (of 38 per cent), although much closer to a number of Asian countries; it was deemed appropriate for a small-open economy exposed to commodity price shocks; and such a level was felt sufficient to strengthen the Crown's balance sheet. As well, an important part of the fiscal strategy was the reduction of risk facing the Crown, through not only lowering public debt but also eliminating exposure to movements in the exchange rate.

### *The reform process since 1996*

In 1996, New Zealand held its first general election under the new Mixed Member Proportional (MMP) system. What arose from the results was a Coalition formed between the previous National government and members of the New Zealand First Party. The Coalition held together until August 1998 when a National-led minority government assumed power. The reform process had lost momentum in the mid-1990s, in much the same way as it had toward the end of the first wave in the 1980s,and there were widespread perceptions that the switch to a new electoral system[2] would lead to a slowdown of policy changes. In the event, there has been some progress in the structural policy area (see Chapter II for more details): new initiatives have been taken in the labour market; tariffs on automobiles have been removed, while those for all other imports will disappear by the year 2006; reform of the electricity market has resumed, involving partial privatisation; competition is being introduced for the provision of accident compensation; and reform of the long-standing export monopoly of agricultural producer boards is being examined.

The evolution of the economic strategy under the Coalition government from 1996 reflected the sometimes conflicting policy priorities of the various political partners: it appeared to be less oriented toward efficiency enhancing structural reform and economic openness (demonstrated by stop-go-immigration rules, restrictions on foreign investment, and the removal from the privatisation list of certain government assets deemed to be "strategic"); and it had a revealed preference for increasing government expenditures, particularly on social policies, rather than promoting growth through tax changes. Altogether it seems to have become relatively more short-term oriented, although a number of policy initiatives consistent with the earlier strategy's medium-term focus were taken (for instance, the lowering of the government's long-term net debt goal to 15 per cent of GDP).

The current government's strategic priorities and the goals which underlie them were announced in December 1998 in a document entitled, *The New Zealand Government's Goals and Priorities, 1999-2002* (see Box 3). They are broadly consistent with the strategy formulated in the early 1990s.

## Box 3. The New Zealand Government's goals and priorities, 1999-2002

In December 1998, the Prime Minister clarified the government's economic strategy for the coming period. According to the authorities, the strategy is motivated by two key factors: the need to re-examine and reformulate goals in light of the changed political situation; and the need to address the implications of the downturn in Asia and elsewhere.

The main elements of *The New Zealand Government's Goals and Priorities* are as follows:

### Overarching Goals

1. *We want a strongly growing internationally competitive enterprise economy; an economy which generates trade, employment, income and social opportunities in which all New Zealanders can participate.*
2. *We value innovation and our ability to build on new ideas and technologies. Our future prosperity depends on our ability to adapt and we must be prepared to create and take advantage of new opportunities. As Government, we are committed to lifting educational standards and achievement.*
3. *We place a high value on the pivotal role and contribution that individuals, families, communities and the private sector make to building an economically strong and socially cohesive New Zealand. We will seek to enhance and increase that contribution across all areas of activity.*
4. *We want to focus our social assistance in welfare and housing on those most in need; making a difference by breaking cycles of disadvantage. We want to reduce the number of New Zealanders who need to rely on welfare. We will support individuals and families taking responsibility for their well-being; and our assistance will be focused so that we are not using high taxes to support high income New Zealanders.*
5. *We treasure our clean, healthy and unique environment and will ensure it continues to sustain nature and people's needs and aspirations.*
6. *Recognising the importance of the Treaty of Waitangi, we will ensure that through Government's policies and actions we continue in good faith to build relationships between the Crown and Maori.*
7. *We are proud of our New Zealand identity and will celebrate, foster and protect our cultural, historical and environmental heritage.*

### Strategic priorities

*Our strategic priorities centre on lifting the productive capacity of our country to become a high value economy. We want to focus on ways to develop smart people with a sense of opportunity, smart products and services, new and expanding markets. In particular we will:*

- *Lift educational standards and achievement;*
- *Expand our knowledge base and technological capability;*
- *Extend economic and social opportunities by: strengthening families, especially through intervening and targeting services to break cycles of disadvantage; significantly improving the health, employment, education and housing status of Maori; preventing youth offending and re-offending; expecting and encouraging active participation in work;*
- *Strengthen our external links by liberalising trade, investment and immigration;*
- *Encourage savings and investment within a stable and neutral investment environment;*

*(continued on next page)*

*(continued)*

- *Improve the quality of our regulatory environment;*
- *Encourage the contestable supply of resources and services in areas of public sector responsibilities;*
- *Safeguard indigenous biodiversity by protecting habitats and controlling introduced pests.*

## Progress in implementation

Economic reforms in New Zealand have been broad-ranging and have over time, led to considerable changes in both the institutional framework and the settings of policy. In this section, progress in implementing economic reform is evaluated first in the macroeconomic and then in the structural policy field.

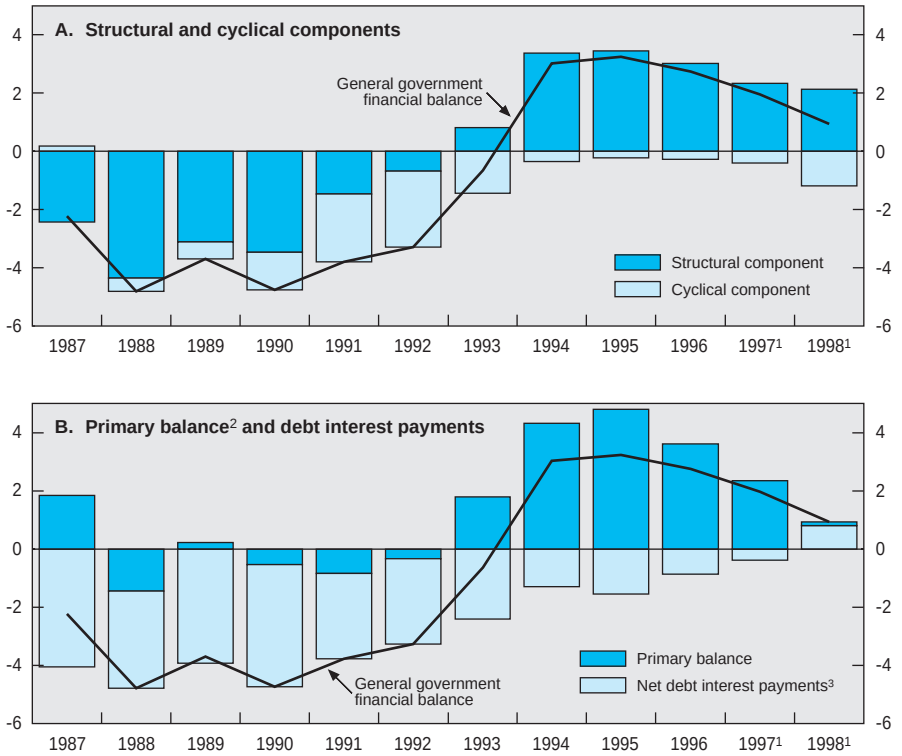
### *Macroeconomic policies*

*Fiscal policy*

The fiscal consolidation that was achieved during the 1980s was not sustained into the early 1990s. Expenditures had consistently exceeded revenues since the late 1970s and by 1990, the – largely structural – general government financial deficit still amounted to around 5 per cent of GDP (national accounts basis, Figure 12) while net public debt had risen to around 50 per cent of GDP. Through a tight rein on expenditures (mainly in the area of social policy and health), a structural surplus emerged in 1993 and an actual surplus the year after. These surpluses remained substantial over the next several years which allowed the authorities to make progress in reducing public debt toward prudent levels as stipulated by the *Fiscal Responsibility Act* (FRA). The fiscal situation at the time of the 1995 Budget Policy Statement (Table 13) was such that it led the government to contemplate tax cuts, while still making swift progress toward achieving its long-term objectives for expenditure and net debt (30 per cent and 20 per cent of GDP, respectively). In the event, a personal income tax cut in both the current and following year was announced in early 1996.

Since then, the fiscal situation has changed significantly both as a result of economic conditions and expansionary policy. The Coalition government, which took power in late 1996, considered that, by delaying the second round of tax cuts by one year, it could implement a spending programme without putting the achievement of fiscal objectives at risk. However, with the economic situation deteriorating (partly due to the Asia crisis), fiscal variables have been drifting away from their target values (Table 13). Indeed, despite corrective policy action (see Chapter II), the expenditure and net debt objectives (now set at 30 and

Figure 12. **Decomposition of the general government financial balance**
Per cent of GDP (national accounts basis)




1. 1997 and 1998 data are OECD Secretariat projections.
2. Actual balance net of interest payments on public debt.
3. Interest payments are shown with a negative sign.

*Source:* Statistics New Zealand; OECD Secretariat estimates.

15 per cent of GDP, respectively) are not expected to be met before the second half of the next decade. In the mid-1990s, the initial net debt target of 20 per cent was expected to be met by the end of the millennium. Treasury projections now suggest that this level will be attained in a few years time, with the new target (of 15 per cent) being reached well before the end of the next decade.

Developments in the fiscal situation over this period demonstrate several inconsistencies and potential problems with the implementation of fiscal policy.

Table 13. **Three-year fiscal projections**

Per cent of GDP, June years

| February 1995 | 1995/96 | 1996/97 | 1997/98 |
|---|---|---|---|
| Expenses | 33.9 | 32.7 | 30.5 |
| Revenues | 37.4 | 37.6 | 37.3 |
| Operating balance | 3.8 | 5.3 | 7.3 |
| Net debt | 32.1 | 26.0 | 18.1 |
| Net worth | 0.4 | 5.7 | 12.7 |
| **December 1998** | **1999/2000** | **2000/01** | **2001/02** |
| Expenses | 36.4 | 36.0 | 35.0 |
| Revenues | 34.6 | 34.5 | 34.5 |
| Operating balance | –1.3 | –0.9 | 0.1 |
| Net debt | 27.1 | 27.8 | 26.9 |
| Net worth | 1.1 | 0.2 | 0.2 |

*Source:* New Zealand Treasury, *Budget Policy Statements.*

*First*, in spite of the FRA's emphasis on prudent financial management, considerable fiscal slippage – away from the long-term objectives – has occurred. Over the years 1995-98, the expenditure-ratio has risen, not fallen. This cannot be explained by the Asia crisis alone because, over that period, output growth averaged 2 per cent per annum. Indeed, as Table 14 (left panel) shows, the reasons for the deterioration of the fiscal surplus by over NZ$ 5 billion from 1994 to early-1998 is largely attributable to policy measures and, to a lesser extent, forecast errors[3] – although more recently, (Table 14, right panel) the latter, which affected both revenue and expenditure estimates, have been more substantial as a result of the Asia crisis. While long-term fiscal objectives are "timeless", postponing their achievement by a decade or so stretches their credibility. *Second*, tax cuts in 1996 and 1997 were conditional – in keeping with the strategy of fiscal prudence – upon a number of factors, including that they must not create balance of payment or inflation pressures. In the event, the current-account deficit reached 4 per cent of GDP by year end and underlying inflation exceeded the upper part of the target band over the course of 1996 as the tax cuts added stimulus to an economy that was already growing more strongly than anticipated. *Third*, as part of its strategy of enhancing economic growth and efficiency, various governments, including that of New Zealand's, have made commitments to raise the quality of "expenditures". However, the Coalition government's NZ$ 5 billion expenditure package to a large extent lacked this quality-orientation. Not being clearly defined in advance, the bulk of additional spending had no micro-policy focus (such as free doctor visits for children under the age of six and the removal of the superannuation surcharge) and cannot, therefore, be considered growth-

Table 14. **Falling fiscal surplus**

NZ$ billion

| Projected 1997/98 operating balance | | Projected 1998/99 operating balance | |
|---|---|---|---|
| 1994 DEFU | 7.63 | | |
| 1995 Budget | 7.81 | | |
| 1995 DEFU | 4.00 | 1995 DEFU | 5.90 |
| 1996 Budget | 3.29 | 1996 Budget | 4.92 |
| 1996 PreEFU | 3.39 | 1996 PreEFU | 4.70 |
| 1996 DEFU | 3.13 | 1996 DEFU | 4.41 |
| 1997 Budget | 1.53 | 1997 Budget | 1.93 |
| 1997 DEFU | 1.54 | 1997 DEFU | 1.83 |
| 1998 Budget | 2.78 | 1998 Budget | 1.31 |
| 1998 Actual | 2.53 | 1998 DEFU | –0.52 |
| **Change from 1994 DEFU to final result** | | **Change from 1995 DEFU to 1998 DEFU** | |
| **Revenue** | | **Revenue** | |
| Tax policy | –1.0 | Tax policy | –0.5 |
| Forecasting[1] | –1.1 | Forecasting[1] | –2.1 |
| **Expenses** | | **Expenses** | |
| Policy | –2.7 | Policy | –2.1 |
| Forecasting[1] | –0.6 | Forecasting[1] | –1.4 |
| **SOE/CE surplus** | | **SOE/CE surplus** | |
| Policy | – | Policy | 0.1 |
| Forecasting[1] | 0.2 | Forecasting[1] | 0.1 |
| **Balance** | | **Balance** | |
| Policy | –3.7 | Policy | –2.5 |
| Forecasting[1] | –1.5 | Forecasting[1] | –3.4 |

*Note:* DEFU: December Economic and Fiscal Update.
PreEFU: Pre-election Economic and Fiscal Update.
SOE/CE: State-Owned Entities and Crown Enterprises.

1. "Forecasting" includes changes attributable to different macroeconomic conditions than projected and revised tax and welfare bases.

*Source:* New Zealand Treasury.

promoting and/or fiscally responsible. *Finally*, a main thrust behind the FRA is to bring a long-term focus to budgeting. Thus, once the recovery has taken hold, the authorities should take further action to ensure that the budget moves back into a significant surplus position. This would help to maintain the credibility of the government's long-term fiscal objectives and to create a significant buffer against future economic shocks.

The FRA has been mainly beneficial in making governments' fiscal position and intentions transparent. It has also had some impact on government decision-making, and in helping to lock-in the fiscal gains flowing from the budget consolidation measures taken in the early 1990s as a result of both the authorities'

resolve to reverse an untenable situation and favourable economic conditions experienced during the middle of the decade. However, with the cyclical downturn and a change of government, the Act's inception has not prevented slippage against the announced long-term fiscal consolidation goals. As noted, the FRA clearly defines the principles of responsible fiscal management. Why then has there been slippage away from, rather than toward the long-term fiscal objectives? The reason is a combination of revised economic projections, a change in ARCIC accounting policy and a new process for preparing fiscal projections. Two further factors need mentioning as well:

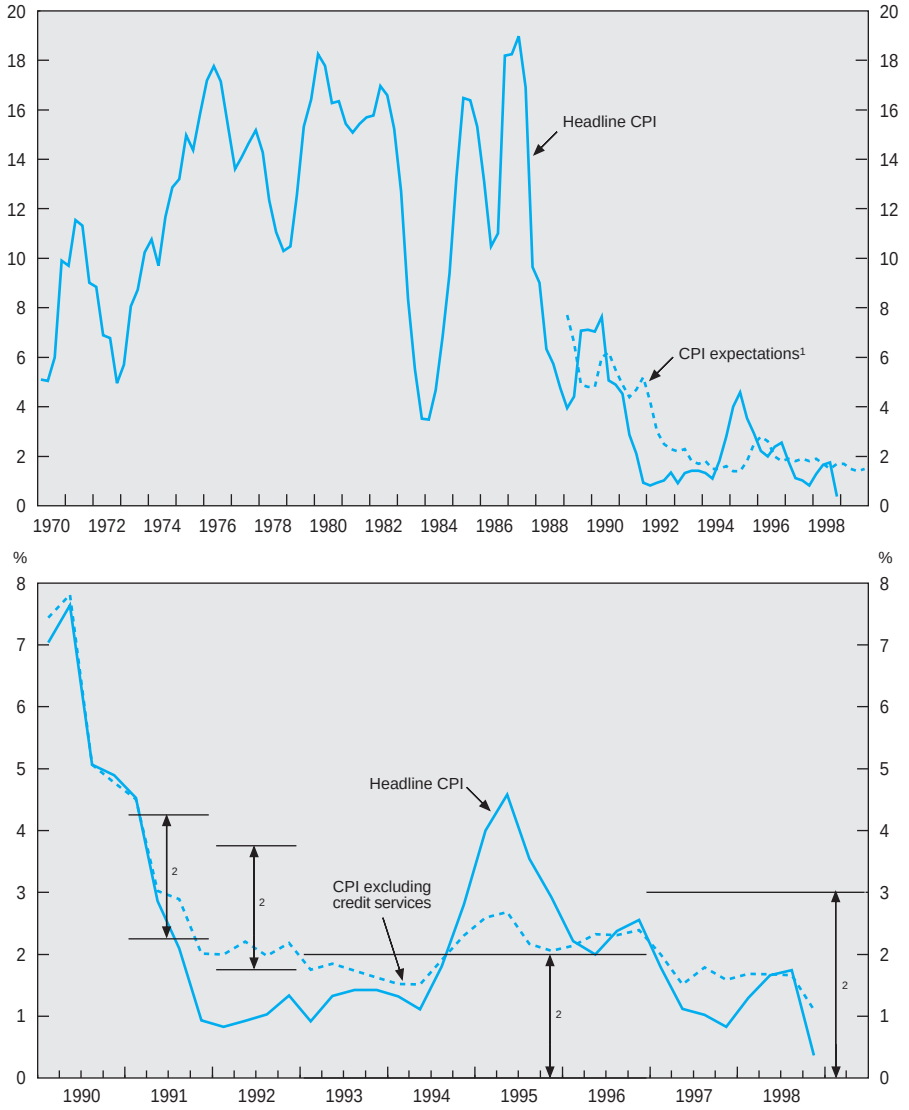
- Until explicit provision for future policy initiatives was made from the end of 1996, deviations from baseline expenditure projections were rarely offset; and
- Without a credible specific time frame for achieving the long-term objectives, there is limited incentive to ever get there.

In summary, the recent experience in New Zealand (and elsewhere) would seem to be testimony to the fact that success in fiscal control depends on political commitment and good budgetary management, backed up by transparent rules and legislation. Good budget management requires allowance for prospective tax and spending decisions, which have now been included by the New Zealand authorities in its projections.

*Monetary policy*

Since the liberalisation of financial markets and the floating of the exchange rate in the mid-1980s, monetary policy has changed considerably and, along with it, the evolution of inflation (Figure 13, top panel). The *Reserve Bank Act* was the device for locking in a lasting improvement in New Zealand's inflation performance as it allowed the Bank both to focus solely on achieving and then maintaining price stability and to implement its policy with effective autonomy. As noted above, price stability is defined in a Policy Targets Agreement (PTA) between the Minister of Finance and the Governor of the Reserve Bank. The first PTA was signed in 1990, and it directed the Bank to achieve price stability, at the time defined as twelve-monthly increases in the consumer price index of between 0 and 2 per cent, by December 1992. This date was subsequently delayed to December 1993 as a result of a change in government but in the event, price stability was attained in late 1991, well ahead of schedule, the Bank's efforts to contain inflation being supported by the substantial degree of excess supply at the time (Figure 13, bottom panel). Underlying inflation (the Bank's operational target at the time) remained in the target band until late 1995, when substantial inflationary pressures emerged alongside the rapid expansion of economic activity (see above) and forced a breach of the upper end of the target over the course of 1996. In December 1996, the target-band was widened to 0 to 3 per cent (again

Figure 13. **Inflation developments**
Annual percentage change



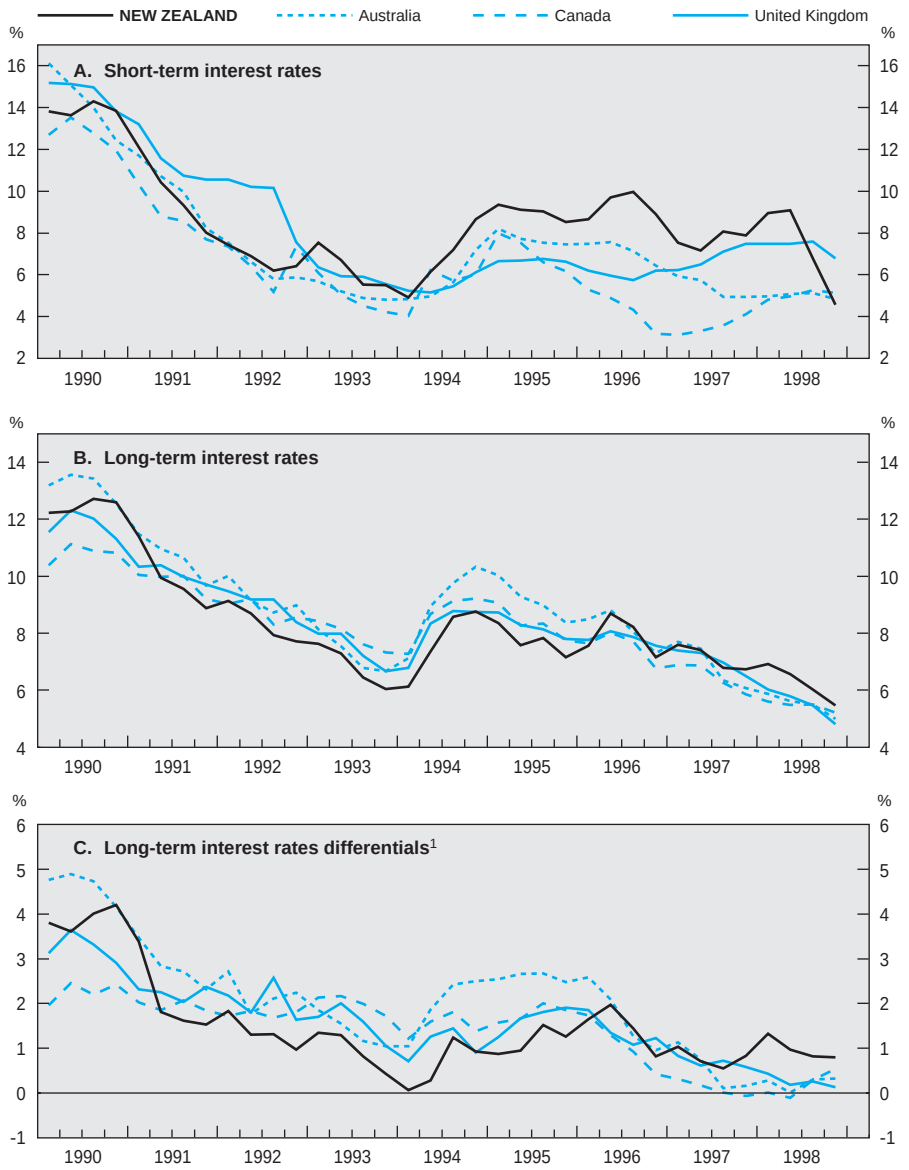

1. As surveyed by the Reserve Bank twelve months earlier.
2. Target bands.
*Source:* Statistics New Zealand and Reserve Bank.

following a change in government) and from 1998 the consumer price index excluding credit services (CPIX) was adopted both for the definition of price stability and as the operational target of the central bank. As can be seen from Figure 13, although not the target variable at the time, the CPIX overshot the target band over a period of more than two years in the mid-1990s.

While New Zealand's inflation performance has radically improved since the adoption of inflation-targeting, the implementation of monetary policy has not always been smooth. There are a number of possible explanations for this. *First*, it has taken time for the Reserve Bank to learn to operate in a new environment and to establish its credibility in both attaining and then maintaining price stability. Reputation building and keeping within the target zone has not come easy, and at various times over the 1990s, the Bank has had to maintain particularly tight monetary conditions to drive inflation toward or to keep it inside the target bands. In the first few years of disinflation, for example, this tight stance was reflected in short-term interest rates around 13-14 per cent and a steeply inverted yield curve. A similar situation arose in the later stages of the recent cycle, a period over which the yield curve remained inverted for nearly three years (March 1995 to late-1998). Even so, both short- and long-term interest rates are now much lower in New Zealand than they were at the beginning of reform. In addition, differentials between domestic and US long-term interest rates have narrowed, although less than in other inflation-targeting countries, thus reducing the substantial risk premium which was previously built into New Zealand long-term rates (Figure 14). In the early stages of the new policy framework, the Reserve Bank also adopted a rather short-term view of inflation adjustment (6 to 18 months) in relation to the target band (Orr *et al.*, 1998). This short-term policy horizon helped to minimise the variability of inflation, thereby anchoring inflation expectations and enhancing policy credibility. However, it also threatened to raise the variability of output which has been a problem observed in some inflation-targeting countries (Table 15). What is striking is the degree to which price increases have been stabilised at lower levels in all inflation-targeting countries, relative to past performance, while experience regarding output and employment variability has been mixed. With New Zealand's monetary authorities moving toward a longer-term policy horizon (18 to 24 months), output variability over the whole inflation-targeting period has been broadly unchanged from the past, though higher than in other inflation-targeting countries (notably Australia and the United Kingdom).

Monetary policy has also evolved considerably as the central bank developed and further refined its means for signalling its policy intentions (Grimes, 1996). The formal instrument of monetary policy, the cash settlement target, has been rarely used in practice, the Reserve Bank preferring other means to achieve the desired policy stance. In particular, it has relied on a number of communication tools: *Monetary Policy Statements* (which are published quarterly and contain

Figure 14. **Interest rates developments in four inflation-targeting countries**




1. *Vis-à-vis* the United States.
*Source:* OECD.

Table 15. **Macroeconomic fluctuations in inflation-targeting countries**

| | **New Zealand** | Australia | Canada | Finland | Sweden | United Kingdom |
|---|---|---|---|---|---|---|
| Real GDP growth (annual average) | | | | | | |
| 1980-85 | **2.8** | 3.2 | 2.7 | 2.9 | 1.7 | 2.1 |
| 1986-91 | **–0.1** | 2.7 | 2.0 | 1.4 | 1.6 | 2.2 |
| 1992-97 | **4.1** | 4.0 | 2.7 | 3.6 | 1.6 | 3.1 |
| Deviation from potential output (percentage points)[1] | | | | | | |
| 1980-85 | **21.4** | 20.4 | 33.5 | 7.0 | 15.1 | 23.5 |
| 1986-91 | **23.5** | 14.3 | 25.2 | 42.0 | 47.6 | 40.3 |
| 1992-97 | **23.4** | 18.8 | 29.2 | 74.2 | 22.3 | 15.3 |
| Unemployment rate (period average) | | | | | | |
| 1980-85 | **3.8** | 7.6 | 9.9 | 5.1 | 2.8 | 10.0 |
| 1986-91 | **6.5** | 7.6 | 8.7 | 4.7 | 2.1 | 8.3 |
| 1992-97 | **7.8** | 9.5 | 10.2 | 14.3 | 7.5 | 8.9 |
| Deviation from NAWRU (percentage points)[2] | | | | | | |
| 1980-85 | **8.9** | 11.8 | 22.8 | 4.9 | 7.8 | 19.0 |
| 1986-91 | **12.2** | 11.6 | 10.9 | 18.0 | 9.3 | 21.0 |
| 1992-97 | **15.2** | 20.5 | 17.7 | 37.6 | 20.0 | 14.6 |
| Consumer price inflation (period average) | | | | | | |
| 1980-85 | **12.9** | 8.6 | 7.9 | 9.1 | 9.8 | 9.0 |
| 1986-91 | **8.3** | 7.1 | 4.7 | 4.9 | 6.7 | 5.5 |
| 1992-97 | **1.9** | 2.1 | 1.5 | 1.5 | 2.1 | 2.8 |
| Underlying measure[3] | | | | | | |
| 1992-97 | **2.0** | 2.2 | n.a. | n.a. | n.a. | n.a. |
| Deviation from period averages or the inflation target (percentage points)[4] | | | | | | |
| 1980-85 | **49.2** | 26.3 | 38.5 | 24.2 | 25.0 | 50.0 |
| 1986-91 | **49.7** | 17.3 | 5.9 | 13.6 | 25.3 | 24.4 |
| 1992-97 | **11.1** | 14.7 | 6.9 | 11.0 | 13.7 | 7.6 |
| Underlying measure[3] | | | | | | |
| 1992-97 | **11.1** | 6.2 | n.a. | n.a. | n.a. | 7.8 |

Table 15. **Macroeconomic fluctuations in inflation-targeting countries** *(cont.)*

| | **New Zealand** | Australia | Canada | Finland | Sweden | United Kingdom |
|---|---|---|---|---|---|---|
| Short-term interest rate | | | | | | |
| 1980-85 | **16.3** | 14.1 | 12.1 | 13.4 | 12.7 | 12.5 |
| 1986-91 | **15.5** | 14.2 | 9.8 | 12.1 | 11.0 | 11.9 |
| 1992-97 | **7.6** | 6.3 | 5.3 | 6.5 | 7.9 | 6.8 |
| Standard deviation | | | | | | |
| 1980-85 | **3.6** | 2.3 | 3.8 | 2.0 | 1.3 | 2.6 |
| 1986-91 | **4.1** | 2.8 | 2.1 | 1.8 | 1.6 | 2.1 |
| 1992-97 | **1.4** | 1.1 | 1.4 | 3.6 | 2.9 | 1.5 |

1. The sum of absolute deviations from potential output; semi annual observations. For details on the OECD Secretariat's methodology for estimating potential output see Claude Giorno *et al.,* "Estimating Potential Output, Output Gaps, and Structural Budget Balance", OECD Economics Department Working Papers No. 152, Paris, 1995.
2. The sum of absolute deviations from NAWRU, or non-accelerating wage rate of unemployment; semi-annual observations. For details of the OECD Secretariat's methodology for estimating the NAWRU see Jorgen Elmeskov, "High and Persistent Unemployment: Assessment of the Problem and its Causes", OECD Economics Department Working Paper No. 132, 1993.
3. For New Zealand the underlying measure is the consumer price index less credit services (CPIX); for Australia the measure is calculated by the Treasury; and for the United Kingdom retail price inflation excluding mortgage interest payments (RPIX).
4. For the period 1980-85 and 1986-91, the sum of absolute deviations is from the period average inflation rate; for the period 1992-97 the deviation is based on the announced inflation targets of each country.

*Source:* OECD Analytical Database and Secretariat estimates.

detailed inflation projections); speeches by senior Reserve Bank officials; and frequent assessments of monetary conditions. The monetary conditions indicator (MCI, see Chapter II), played a central role as a policy guide in recent years. While being a useful indicator, the MCI has to be interpreted with care because it is not tightly linked to the inflation objective and the trade-off between short-term interest rates and the effective exchange rate can provide misleading signals (Stevens, 1998).[4] It can also have the undesirable tendency to transmit volatility from the exchange-rate to interest rates. The Reserve Bank had recognised this by abandoning its attempt to keep the MCI within relatively narrow target bands. More recently, it has introduced an official cash rate, thus downgrading the MCI to an indicator among others (see Box 1 in Chapter II). The potential merits of an official interest rate include: easy communication, reducing the need for the Reserve Bank to make frequent commentaries; a reduction of short-term interest rate volatility; and increased focus on medium-term inflation pressures, rather than short-term developments.

*Second*, the implementation of monetary policy has at times been complicated by the fiscal stance. In the early period of reform, efforts by the monetary authorities to lower inflation were being offset by the expansionary moves in fiscal policy (increasing expenditures, tax cuts, and high wage increases). A similar situation emerged in the later stages of the recent economic recovery as the fiscal stance became expansionary once again. Tax cuts added stimulus to an economy that was already growing more strongly than anticipated, necessitating greater monetary restraint than expected. Nonetheless, the new government opted for increased spending over the next several years (only partly offset by delayed tax cuts), thus rendering more difficult the task of the monetary authorities to contain inflation pressures. Given the Policy Target Agreements, the government must realise that, if fiscal policy increases inflation pressures, the Reserve Bank will need to tighten policy to ensure that the agreed objective is met.

*Third*, in a few sectors of the economy where reform has not been as extensive as elsewhere – most notably, the provision of local government services and electricity – a lack of competition has resulted in rigidities which have kept both prices relatively high and hampered monetary policy efforts to maintain low inflation. As a result, although overall inflation has been stable during the 1990s, inflation pressures have been uneven across sectors. For goods and services where import liberalisation and deregulation have led to intense competition, price increases have been much lower than those for non-tradeables. The prices for many (locally) provided government services (and some wages) have also tracked above those in the private sector.

*Fourth*, monetary policy in New Zealand in the post-reform period is being challenged by the high degree of uncertainty concerning how the economy works, given the radical policy changes and subsequent structural adjustment which has

taken place. Fundamental to the Reserve Banks' view of future inflation is the notion of the output gap, whose estimates rely on time series data which have been made less reliable by these changes. To overcome these problems, the Reserve Bank uses a mix of empirical research, economic theory and judgement when developing views on projections and the appropriate stance of monetary policy.

For these reasons, the Reserve Bank has been given the means, and itself has taken measures to operate much more flexibly in order to minimise fluctuations in output and employment in maintaining price stability. These involve both a widening of the inflation target, taking a more forward-looking approach to policy, and extending the horizon over which policy is to be judged in having its effect on the rate of targeted inflation (Brash, 1999).

### *Structural policies*

#### *Public sector*

The basic principles of reform (improving efficiency through accountability, transparency, contestability and privatisation) have been applied most consistently in the public sector (except perhaps in healthcare which is dealt with below, and at the local government level). The outcomes here, in both economic and policy terms, reflect the clear goals laid out for public sector reform at the outset (OECD, 1996). The changes that have taken place have brought about a marked reduction in the scope of the Government's activities as well as in its size relative to the rest of the economy, and have substantially reduced its exposure to financial risks.

The programme of privatisation was particularly vigorous in the first wave of reform, with net asset sales amounting to NZ$ 10 billion by 1990. Subsequently, by 1996 a further NZ$ 6.5 billion of public assets had been turned over to private hands. In 1997, the Coalition government slowed the privatisation programme still further with the announcement that a number of "strategic" assets would not be sold (including Electricorp, Contact Energy, Transpower, New Zealand Post, TV1, and Radio New Zealand). More recently, there has been some privatisation (see Chapter II), and the new government is moving to consider the sale of these strategic assets. The value of remaining public enterprises (mainly in the electricity sector and excluding Crown entities) is around NZ$ 5.3 billion, or 5 per cent of GDP, so there is still scope for further action.

By many accounts, the corporatisation of state-owned enterprises – which in general preceded privatisation – lifted their performance (productivity, profitability, price, quality of service) as a result of new incentives and the freedom of operation accorded them, as well as the liberal markets in which they operate (OECD, 1996, Duncan, 1996 and Scott, 1996). This was accompanied by a substan-

tial rise in the book value of the government's equity holdings of these enterprises. In general, the government has acted as a private-sector owner would. Furthermore, it has not used its ownership interests to pursue regulatory or other public policy goals. This being the case, there is no clear reason why it should continue to hold interests in the remaining businesses (except perhaps, those contributing to other public policy objectives). Selling off remaining state assets would enhance the government's economic strategy in a number of ways by: further reducing the role of the state in economic affairs; decreasing the demands on public capital for development purposes; improving the government's balance sheet; and allowing the authorities to focus on other economic and social priorities, unencumbered by commercial responsibilities. Indeed, there are also strong grounds for preferring private ownership for other economic reasons, such as to ensure effective capital-market monitoring and discipline (OECD, 1996).

Compared to privatisation and corporatisation, the implementation of reforms to the core public sector (*i.e.* government departments) *via* the *State Sector Act* have been more mixed. On the one hand, the core public sector has been reduced substantially in terms of both its share of expenditures and employment. Given that higher levels of outputs have been produced with lower levels of inputs, productivity has increased, costs have come under better control due to accounting changes and many departments have attained departmental surpluses (Scott, 1996 and Duncan, 1996).

On the other hand, some problems have emerged with the practical implementation of the strategy in this area which is likely to be adversely impacting on departmental as well as economy-wide (longer-term) outcomes. *First*, there is weak reporting on outcomes. Indeed, although the Public Finance Act makes it clear that Ministers are politically responsible for outcomes, they are not explicitly accountable for them and are not obliged to report to parliament on them. *Second*, while there is a high degree of co-ordination (at least in principle) in a number of Strategic Priority Areas, most demonstrably in macro policy through the Fiscal Responsibility and Reserve Bank Acts, there has been, until recently, less cross-portfolio review elsewhere. This situation is being remedied through the establishment of cross-portfolio Ministerial teams, which do consider the allocation of resources across Ministries. *Third*, there is scope to strengthen linkages between the budget and the government's wider economic strategy, since the former does not necessarily allocate resources in an optimal manner. *Finally*, there is scope for more innovation and policy evaluation in New Zealand's public sector (OECD, 1996). Neither departments, nor central agencies, extensively monitor and evaluate outcomes. The State Services Commission attributes the weakness of policy surveillance to a number of factors (State Services Commission, 1998): the lack of Ministerial demand for such evaluations (no incentives exist for Ministers to subject themselves to scrutiny); departments are largely short-term

focused, concerned mainly with delivering outputs; and a limited capability of the public sector to carry out such evaluations.

*Education and health*

Successive governments have stressed the importance of raising performance in both the education and health fields. Yet in both these areas, medium-term goals have largely not been met, although both policy areas continue to command an increasing share of the government's resources. In education, more time is probably needed to assess the impact of what has taken place. In health, on the other hand, poor results reflect to some extent erratic execution.

*Education* reform has been ongoing but gathered momentum in the early 1990s, motivated by the desire to decentralise decision-making, giving parents and students more opportunities to influence the performance of educational providers and to accord wider latitude to respond to such pressures. Three policy measures have been adopted to pursue this end: students (and parents) have been freed to choose which institutions they attend; in the school sector, parents and students have direct influence over providers since school boards are elected locally; and funding for institutions has been linked more closely to the decisions of students and parents, allowing them to have greater impact on providers. On the supply side, providers of education have been granted more authority over decisions about which resources to use to provide education (although the government gives them most of their resources in the form of teachers). The authorities, have, however, retained considerable central control over the school curriculum. The government also determines teacher's wage rates and grading classifications together with teacher unions. From 1996, following a trial that began in 1992, the government also provided schools with the option of receiving all of their funding in cash and they could thus be free to spend it in any way they see fit. In the post-compulsory sector, providers are self-managing with substantial control over the way resources are allocated as well as the curriculum. They are financed by the Universal Tertiary Tuition Allowance (a subsidy), which cover around 70 per cent of the estimated costs for various broad categories of courses. Post-compulsory providers are free to charge whatever fees they want.

Overall, the reforms in this sector seems consistent with what the government is trying to achieve, although there are some worrying features. OECD Secretariat projections suggest that the proportion of individuals with less than secondary education will move to above the OECD average in the next century (Table 16). Thus, it is unclear whether the education and skill level of New Zealanders will rise sufficiently quickly to enable improvements in its relatively "low skill" position (Figure 15), and to match productivity growth rates elsewhere in the OECD. While there has been a substantial increase in education participation more recently, this was from a low base, and many of the benefits are likely

Table 16. **Distribution of educational attainment of the labour force aged 45 to 64 years**

Percentages

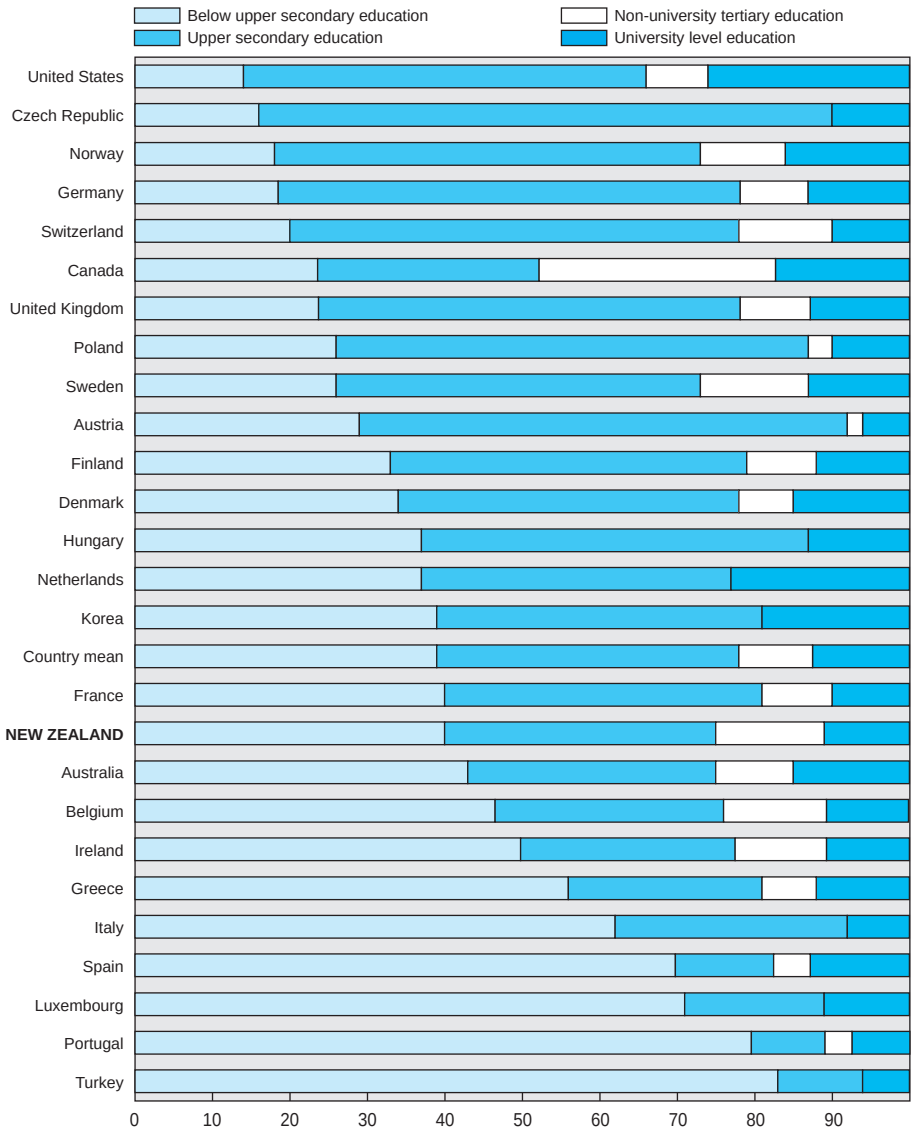
| | 1995 | | | | 2015[1] | | | |
|---|---|---|---|---|---|---|---|---|
| | Less than upper secondary | Upper secondary | Non-university tertiary | University | Less than upper secondary | Upper secondary | Non-university tertiary | University |
| Australia | 44.8 | 29.0 | 11.6 | 14.6 | 37.1 | 31.8 | 12.1 | 18.9 |
| Austria | 33.0 | 58.7 | 1.5 | 6.8 | 17.5 | 69.8 | 2.8 | 9.8 |
| Belgium | 46.2 | 27.0 | 13.3 | 13.5 | 25.7 | 35.6 | 19.1 | 19.6 |
| Canada | 27.7 | 24.8 | 29.3 | 18.2 | 14.1 | 30.1 | 33.8 | 21.9 |
| Czech Republic[2] | 15.2 | 72.4 | . . | 12.4 | 7.1 | 78.3 | . . | 14.6 |
| Denmark | 35.5 | 42.4 | 6.1 | 15.9 | 23.5 | 49.6 | 8.3 | 18.6 |
| Finland | 43.4 | 36.0 | 8.6 | 12.0 | 17.9 | 56.2 | 10.5 | 15.4 |
| France | 38.4 | 44.0 | 6.5 | 11.1 | 15.4 | 57.8 | 11.0 | 15.8 |
| Germany | 15.4 | 58.1 | 11.7 | 14.8 | 8.6 | 63.5 | 10.8 | 17.1 |
| Greece | 71.4 | 14.4 | 3.6 | 10.6 | 41.5 | 29.6 | 9.9 | 19.1 |
| Ireland | 61.3 | 18.9 | 8.5 | 11.3 | 36.4 | 31.4 | 15.1 | 17.1 |
| Italy[2] | 67.2 | 21.9 | . . | 10.9 | 44.6 | 42.3 | . . | 13.1 |
| Korea[2] | 65.0 | 24.8 | . . | 10.2 | 22.6 | 51.7 | . . | 25.6 |
| Luxembourg[2] | 62.0 | 20.1 | . . | 17.9 | 53.2 | 25.8 | . . | 20.9 |
| Mexico | 85.1 | 7.0 | 0.5 | 7.4 | 64.7 | 16.7 | 1.9 | 16.7 |
| Netherlands[3] | 36.9 | 38.1 | . . | 25.0 | 23.5 | 46.1 | . . | 30.4 |
| **New Zealand** | **41.6** | **31.1** | **17.3** | **9.9** | **31.1** | **41.1** | **14.2** | **13.6** |
| Norway | 20.6 | 51.2 | 11.2 | 16.9 | 9.4 | 53.2 | 13.1 | 24.2 |
| Poland | 34.5 | 49.6 | 2.4 | 13.5 | 12.7 | 69.9 | 4.8 | 12.6 |
| Portugal | 84.0 | 5.2 | 3.8 | 7.0 | 67.8 | 14.7 | 4.3 | 13.2 |
| Spain | 78.8 | 7.1 | 2.7 | 11.5 | 49.5 | 20.1 | 8.4 | 22.0 |
| Sweden | 35.8 | 37.4 | 11.5 | 15.3 | 14.7 | 54.3 | 16.4 | 14.6 |
| Switzerland | 19.4 | 47.9 | 14.2 | 8.5 | 10.8 | 63.5 | 14.0 | 11.7 |
| United Kingdom | 27.6 | 51.3 | 9.9 | 11.2 | 13.0 | 61.3 | 9.4 | 16.4 |
| United States | 12.4 | 51.0 | 7.6 | 29.0 | 9.2 | 51.7 | 9.5 | 29.6 |
| Unweighted average | 44.1 | 35.2 | 9.1 | 13.4 | 26.9 | 45.9 | 11.5 | 18.1 |

1. The distribution of the labour force in 2015 is based on applying education-specific participation rates for individuals aged 45-64 years in 1995 to the population aged 25-44 years in 1995.
2. Data for non-university tertiary education are included in university education.
3. Non-university tertiary education is not applicable.

*Source:* *OECD Employment Outlook 1998,* Table 4.3, p. 129.

Figure 15. **Educational attainment in OECD countries**

Percentage of the population aged 25 to 64
that has attained a specific highest level of education (1996)[1]




1. Countries are ranked by proportion of the population attaining educational levels below upper secondary.
*Source:* OECD, *Education at a Glance,* 1998.

to be realised only over the long term, rather than in a few years time. Hence, improving labour force skills and competences remains a key priority for government policy (OECD, 1996). Furthermore, while an increasing number of schools have taken up bulk funding, the benefits of such financing (like self management) will be limited until the majority of schools have taken up this responsibility. An example of slow progress is the ongoing development of a National Qualifications Framework which was initiated in 1993 but has yet to be become fully functional. And more generally, the sector would benefit from increasing funding to non-state providers which could foster competition and innovation, although this point is less pertinent for the tertiary sector, given recent moves to introduce funding neutrality for private tertiary providers.

While there has been some progress in the education sector, the government has had much less success in implementing reforms to the *health* sector, where arguably few OECD countries have got things right. In the early 1990s, the authorities moved to implement a similar set of operating principles in the health area as those which were being applied in other parts of the public sector (OECD, 1996). The essence of the reform was to separate funding from provision (since the government dominated both), in a bid to improve efficiency through a contract-type approach, and where operational independence was given both to providers and health-care purchasers. As noted, four Regional Health Authorities (RHAs) were established which were to use government funds to purchase health services from Crown Health Enterprises (CHEs, government-owned hospitals) and other private sector providers. The CHEs were also directed to function as successful and efficient businesses, which included profit maximisation as well as a range of other objectives. One important aspect of the initial reform proposal was, however, not implemented and this involved permitting users to transfer their health care entitlements to non-government health care plans. This was unfortunate since it prevented contestability on the demand side of the market thus limiting the overall effectiveness of the contracting approach being adopted. The reforms were implemented from 1993. However, by 1997 the Coalition government had already shifted direction and collapsed the four RHAs into a single Health Funding Authority and directed the CHEs (which were renamed Hospital and Health Services) not to operate as successful and efficient businesses, but to operate in a business-like and effective manner (while their other objectives remain largely unchanged).

The changes that have taken place in the health sector provide a particular example of the difficulties encountered in undertaking reform. *First*, initially there was a lack of a clear perfectly-stated medium-term objective that was driving reform in this sector. *Second*, policy changed course without a comprehensive evaluation of what went wrong. In the meantime, there had been a substantial waste of resources by setting up regional bureaucracies for the RHAs. *Third*, one of the solutions to the perceived problems (long waiting lists for service, poor

quality) has been to increase funding, which can create tensions with an objective to improve the quality of spending. *Fourth*, policy makers did not resolve basic issues concerning the institutional structure of the sector, nor how market principles should be allowed to operate, before going forward (*i.e.* policy design and implementation was not ideal from the start). With regard to the latter, initial reform focused on the need to create incentives for hospitals (Crown Health Enterprises) to compete more directly with private healthcare providers and at the same time pursue profit maximisation (and at least cost minimisation). However, contestable markets for hospital-based health-care services were either never developed or RHAs chose not to contract with private-sector providers, instead preferring to do business with public-owned providers as before.

*Trade*

Trade policy has played a prominent role in the reform programme since its inception. In 1985, agricultural and business subsidies were removed to relieve pressure on the government's budget, and there was a start to the gradual phasing out of import licensing, followed shortly thereafter by tariff reductions. The speed of the initial moves in this area, however, gives a somewhat misleading impression of both the pace and nature of trade liberalisation over the entire reform period. On the one hand, the scrapping of non-tariff barriers (mainly quotas) proceeded quickly so that by the early 1990s, New Zealand was considered best practice among OECD countries in this regard (Table 17). On the other hand, by the mid-1990s average tariff rates and their degree of dispersion were still higher in New Zealand than in the United States or Australia, the country's largest trading partner. This situation has now changed for the better, however, given the government's recent decision to accelerate trade liberalisation by eliminating all import tariffs by the year 2006. Tariffs have already been completely removed from the automobile sector, leaving New Zealand with relatively low tariffs now.

One issue with regard to the implementation of trade liberalisation deserves mentioning, since it arises in other aspects of the policy process. This relates to the uneven pace at which the principle of free trade has been pursued across sectors. For example, as noted, some parts of the agricultural community were affected immediately by policy moves, while others, such as those operating through producer boards, have largely escaped reform even up to the present day. Plans are now being formulated to address the latter group (see Chapter II); yet, the manner in which this is being undertaken is at considerable odds with the way that reform has proceeded in nearly every other sector. The government has asked producer boards and industries involved to submit plans for how they will operate without specific statutory backing and to consider the timeline for deregulation. Deregulating producer boards would also align agricultural policy with the government's approach to light-handed regulation laid out in the *Commerce*

Table 17. **Selected tariff and non-tariff barriers to trade**

Percentage

| | **New Zealand** | | | United States | | | European Union | | | Canada | | | Australia | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 1988 | 1993 | 1996 | 1988 | 1993 | 1996 | 1988 | 1993 | 1996 | 1988 | 1993 | 1996 | 1988 | 1993 | 1996 |
| **Tariffs** | | | | | | | | | | | | | | | |
| Bound tariff lines | 55.0 | 62.0 | 100.0 | 98.1 | 98.1 | 100.0 | 91.8 | 92.7 | 100.0 | 98.4 | 98.6 | 99.6 | 18.5 | 20.2 | 96.0 |
| Duty-free tariff lines | 36.1 | 48.7 | 50.0 | 17.4 | 14.4 | 17.8 | 10.5 | 10.9 | 11.4 | 25.7 | 26.3 | 31.6 | 8.7 | 37.3 | 40.4 |
| Simple average applied tariff rate[1] | 14.5 | 8.5 | 8.7 | 6.2 | 6.4 | 6.2 | 7.4 | 7.6 | 9.5 | 9.1 | 8.8 | 9.2 | 14.2 | 9.6 | 6.1 |
| Import-weighted average tariff rate[2] | 14.8 | 8.0 | 7.5 | 4.0 | 4.0 | 3.7 | 6.0 | 6.2 | 6.6 | 6.9 | 6.7 | 5.7 | 13.7 | 7.8 | 5.1 |
| Domestic tariff "spikes"[3] | 2.4 | 6.2 | 8.3 | 4.5 | 4.0 | 3.8 | 2.2 | 2.3 | 4.8 | 0.5 | 0.3 | 1.4 | 3.1 | 7.9 | 10.8 |
| Overall standard deviation[4] | 15.7 | 10.4 | 15.5 | 7.7 | 8.6 | 14.2 | 6.1 | 6.1 | 20.7 | 8.8 | 8.4 | 27.5 | 14.3 | 12.1 | 9.1 |
| **Non-tariff barriers** | | | | | | | | | | | | | | | |
| Import coverage ratios | | | | | | | | | | | | | | | |
| (all non-tariff barriers) | 11.5 | 0.2 | 0.2 | 16.7 | 17.0 | 7.7 | 13.8 | 11.1 | 6.7 | 5.7 | 4.5 | 4.0 | 8.9 | 0.4 | 0.6 |
| Frequency ratio | 14.1 | 0.4 | 0.8 | 25.5 | 22.9 | 16.8 | 26.6 | 23.7 | 19.1 | 11.1 | 11.0 | 10.4 | 3.4 | 0.7 | 0.7 |

1. Uruguay round bound rates aligned to 1996 tariff schedules are available only for the EU. For all other countries, bound rates were provided based on the base year (1988/89) tariff nomenclatures. With the exception of the EU, the average for 1996 is based on those nomenclatures.
2. Based on constant OECD import weights.
3. Defined as those tariffs exceeding three times the overall simple average MFN rate.
4. The standard deviation for all tariff lines.

*Source: OECD Indicators of Tariff and Non-tariff Trade Barriers, 1998.*

*Act*, which steers away from regulations and exemptions for specific sectors or activities.

*The Employment Contracts Act and benefit reform*

As highlighted above, there have been two major reforms to the labour market both occurring in the early 1990s: the introduction of the *Employment Contracts Act* (ECA) and the tightening and reduction of unemployment and social benefits. These two policy changes had a mutually reinforcing effect and have been cited in some studies as important elements in the rapid increase in employment and decline in unemployment in the cyclical expansion between 1991-1996 (Maloney, 1997 and 1998) – further bolstering the notion that sequencing issues are important, and that labour market reform, if taken early, can help ease the burden of structural adjustment.

Overall, the ECA is perceived as functioning well and there is little support for returning to the previous system of compulsory arbitration and national awards. More to the point, the framework of labour market regulations in New Zealand is sound, although, as with structural reform in general, there is always need for continued attention. In this case, some minor issues have emerged in the area of personal grievance and procedural matters, relating to the degree of flexibility employers have in dismissing redundant and non-performing labour. The procedure for redundancy or dismissal is cumbersome, placing somewhat onerous burdens on the employer to support his/her actions. This is because, when dismissing an employee, an employer must have both a justifiable "substantive" reason for doing so, and it must undertake any action in a "procedurally" fair manner. The burden arises in the latter respect. The authorities are well aware of these requirements, with their potential effect on employment, but actions have not yet been taken to address them.

As a result of fiscal pressures and the desire to promote active participation in the labour market, the government undertook several benefit reforms in 1991. Unemployment benefits were lowered and tighter eligibility criteria were established, including extending the stand-down period (the wait period before benefit entitlement commences) for those voluntarily unemployed from 6 to 26 weeks. Entitlement to the Unemployment benefit was also removed for 16 to 17 year olds, being replaced by a Youth benefit for those unable to obtain parental support. Other types of benefits – sickness, single parent and student allowances – also faced significant reductions. A comprehensive study of these reforms has suggested that their impact on labour force participation (and job growth) is as significant as that created by the ECA (Maloney, 1997 and 1998). With regard to the Unemployment benefit, while the replacement rate in New Zealand is now relatively low for beneficiaries without children in the first year of receipt, it rises in subsequent years and is then relatively high by international comparison

Table 18. **Developments in income support**[1]

| | Number | | | Share of employment per cent | | |
|---|---|---|---|---|---|---|
| | 1986 | 1992 | 1998 | 1986 | 1992 | 1998 |
| Unemployment benefit | 42 405 | 170 367 | 154 774 | 2.7 | 10.5 | 8.1 |
| Sickness benefit | 9 517 | 24 093 | 35 172 | 0.6 | 1.4 | 2.0 |
| Invalids benefit | 21 993 | 31 831 | 49 419 | 1.4 | 2.1 | 2.7 |
| Domestic purposes benefit | 62 570 | 96 722 | 113 029 | 4.1 | 6.6 | 6.5 |
| Orphans benefit | 364 | 3 135 | 5 076 | 0.0 | 0.2 | 0.3 |
| Widows benefit | 13 304 | 9 873 | 9 361 | 0.9 | 0.8 | 0.5 |
| New Zealand superannuation[2] | 465 079 | 504 561 | 455 639 | 30.1 | 34.6 | 26.5 |
| **Total** | **615 232** | **840 582** | **822 470** | **39.8** | **56.1** | **46.6** |

1. Excluding those persons collecting the training benefit, veterans pension and other income support.
2. Includes New Zealand superannuation plus those receiving the transitional retirement benefit since 1994.
*Source:* Statistics New Zealand and New Zealand Department of Social Welfare.

(OECD, 1996). This is due mainly to the indefinite duration of benefits and the fact that they do not decline as the duration of the benefit increases. Thus, reforms in this area could go still further in reducing the generosity of benefits, to increase the incentives to take work and to avoid poverty traps. (As Chapter II notes, the development of work capacity tests goes some way in this regard.) The number of people receiving income support from these programmes has increased over the period of reform, despite the strong recovery of both economic growth and employment and now amounts to just over 20 per cent as a share of the employed population (Table 18). (At the start of the recovery, this share was just above 21 per cent.) The rise in unemployment beneficiaries has been particularly sharp, with somewhat smaller increases for those receiving sickness, invalids and the domestic purposes benefits. If those receiving Superannuation are also included, there are nearly half as many New Zealanders receiving some form of income support as there are workers. This places a substantial burden on both employees and on public finances, since taken together, these benefits alone account for nearly a third of total government expenditures.

*Financial sector*

In the financial sector, the reforms taken from 1984 constitute one of the most broad-based and rapid adjustments of financial policy ever taken (OECD, 1998). Policy changes occurred over two phases. The first, over the 1980s, involved opening up the sector to competition, while the second, over the 1990s, involved making refinements to the changes made in the earlier period, liberalising the foreign investment regime, tax adjustments and introducing a new system for banking supervision. The nature of the measures taken with regard to banking

supervision revolve around a comprehensive disclosure regime (requiring banks to issue quarterly statements covering a wide range of financial, corporate and risk-related information) driven by market oversight and discipline to ensure soundness (OECD, 1998)[5]. However, the Reserve Bank retains its role in registering and monitoring bank activities as well as having wide powers to intervene in situations in which the stability of the banking system as a whole is threatened. (Key prudential regulations, centred on BIS capital adequacy requirements have, also been maintained.)

The financial sector illustrates the contribution major reforms can make to better economic outcomes. The liberalisation of financial markets in New Zealand has yielded significant gains (OECD, 1998): greater overall efficiency; lower costs and margins in banking and improvements in bank balance sheets; fewer risks for the public purse of bank bailouts; and, at the macro level, the freeing up of monetary policy to focus on price stability. Further, few problems have emerged with the implementation of financial sector reform (notwithstanding the general issue of sequencing mentioned above). In the early period, there were concerns over the interaction of a disinflationary monetary policy with financial price deregulation and open capital markets which initially led to substantially higher borrowing costs, and with the common problem of such deregulation resulting in reintermediation which can complicate monetary policy. However, such concerns dissipated over time as monetary policy evolved (see above) and economic stabilisation proceeded.

*Tax and pension reform*

The overhaul of the tax system in 1986 created the least distorting tax system among OECD countries, although recent reforms in many countries have meant that others now match New Zealand (OECD, 1998). Not surprisingly, there have been only limited tax adjustments since then, mainly directed at keeping pace with international developments. From a medium-term perspective, the main issues with the tax system concern the need to reduce the tax burden over time, consistent with the government's long-term objectives, and to address tax-induced distortions and disincentives to private sector saving. Reforms to the tax system over time have not dealt adequately with the latter, given *i)* the continued absence of a tax on "passive" capital gains which encourages investment in housing and particular savings instruments such as "passive" indexed investment funds; *ii)* the fact that income earned in life insurance and superannuation fund savings are taxed at a flat rate of 33 per cent, which disadvantage low and middle-income savers whose marginal income tax is usually less than that; and *iii)* the fact that despite the introduction of a Goods and Services tax, the New Zealand system leans strongly towards income rather than consumption taxes, highlighting the importance of gradually continuing to reduce the income tax burden.

In contrast to tax policy, accomplishing pension reform remains problematic with reform not always moving in the same direction. An attempt was made to make fundamental changes to the system of retirement provision in 1997, but the proposal was rejected by a referendum. Nevertheless, over time, adjustments have been made to the publicly-funded pension scheme which have improved its long-term sustainability. These have involved changes in tax policy toward pension income, raising the age of eligibility from 60 to 65 by the year 2001, and more recently, in the formula for indexation (see Chapter II). The latter change may be one important element of a sustainable long-term scheme but its announcement without a comprehensive policy risks perception that the change is not strategic and motivated instead by short-term fiscal concerns. In October 1998, the government established the Superannuation 2000 Taskforce in order to develop a more comprehensive response to changing demographics. This Taskforce is mandated to report in November 2000 with a specific retirement income strategy that could form the basis for widespread consensus. Such a prospect is clearly welcome since changing demographics will have serious implications for public finances.

As in other OECD countries, fiscal pressures will arise in the future as a result of an ageing population that will lead to increased expenditures on both health care and pensions. In New Zealand these pressures are potentially more acute given both the universal nature of social welfare support, including pensions, and the fact that such policies are funded from general revenue, although demographic trends are less dramatic than elsewhere. The government projects that the ratio of the dependent population (aged 65 years and over) to the working-aged population (15 to 65 years) will more than double over the next 40 years; and this is expected to lead to an approximate doubling of health and superannuation spending (Minister of Finance, 1997). At present, spending on these items amount to around 12 per cent of GDP. The looming demographic pressure will require a medium-term fiscal response since the demographic profile begins to turn against the fiscal position in the next decade or so. It also implies that greater achievements be made now in controlling expenditures, improving the efficiency of providing health services, and getting public debt down to prudent levels.

There are essentially four main options open to the government, between which a balanced solution to the long-term problem might be found:

- Shifting the burden (partially or even fully) of providing retirement income back onto the population itself;
- Building up government financial assets to fully (or partially) fund future retirement income obligations (*i.e.* a tax-smoothing approach);
- Taking action now in order to reduce taxes, and then finance future demographically-related expenses by raising tax rates when the time comes (*i.e.* a balanced-budget tax revenue approach); and

– Making parametric changes to the existing system, such as raising further the retirement age and reducing benefit levels.

As noted above, a form of *option 1* (the Retirement Savings Scheme[6]) was put to the population in a referendum but was resoundingly defeated, probably proscribing such a wholesale reform as a viable alternative in the short term at least. *Option 2* would be desirable on several grounds, as it could lead to an increase in national saving and hence investment and economic growth potential, but it would also require the government to manage large financial assets – according to some estimates, gross financial assets could be as much as 100 per cent as a share of GDP (Polackova, 1997) – and to achieve a rate of return that would match that of the private sector. This may not be desirable in New Zealand where past reforms have focused on extracting government involvement from economic affairs that can be handled more efficiently by the private sector and in reducing the government's exposure to risk. Some form of *option 3* (combined perhaps with elements of *option 4*) might provide the most likely alternative for policy makers but such an approach does have some undesirable effects, and will be severely circumscribed if the fiscal situation does not get back on track and prudent debt levels are not reached in sufficient time to lower taxes substantially before they must begin to rise. This approach also raises a number of equity issues since the higher future tax rates will fall mainly on the next generation of income-earners and not on those making the widest use of health services or receiving retirement income. It also means future tax adjustments that could impose an excessive burden on the economy. (Treasury projections suggest that under this type of solution, the ratio of tax revenue to GDP would have to rise to around 40 per cent by 2050 from around 32 per cent in 1998/99.)

### *Taking stock*

Overall, the thrust of the economic strategy – the pursuit of both macroeconomic stability and microeconomic efficiency through greater reliance on market forces rather than government intervention – is largely reflected in the reforms that have been going on. Having said that, with the benefit of hindsight, a number of implementation issues appear to have arisen that had some impact on outcomes and might provide some lessons more generally. In the structural area, these include:

– *Paying attention to sequencing*. There have been many arguments advanced on why New Zealand had to move quickly (*i.e.* to respond to a crisis, to take advantage of reform support and momentum, a history of poor policy credibility). However, some commentators have suggested that the sequence of reforms followed was less than optimal (in that stabilisation and liberalisation in the domestic economy, in particular labour markets, lagged that in the external sector) (Williamson, 1994,

Bollard, 1994 and OECD, 1994). The failure to pursue reform concurrently across a wider range of markets may have increased the time taken to realise the full benefits of the reform programme. Nonetheless, the consideration of sequencing issues should not, by itself, inhibit the pursuit of reform measures. Indeed, proceeding with reform in one area may increase the pressure and momentum for necessary reform in other areas.

– *Allowing sufficient time for factors to adjust to avoid imbalances*. On balance, New Zealand policy makers seem to have underestimated the time needed to move the economy from the prevailing low-performance to a high-performance equilibrium and hysteresis effects. The focus of the programme was investment and growth rather than on disinvestment and resource allocation, and may not have dealt adequately with important issues such as sunk costs (Bollard, 1994);
– *Ensuring the burden of economic reform is equally shared*. For example, with regard to trade liberalisation, parts of the agricultural sector faced reform almost overnight, while other parts are yet to encounter any change (agricultural producer boards), and still others can look forward to relatively long periods of adjustment (textile, footwear and clothing producers). Similarly, significant changes to labour market and social policies took place relatively late in the reform period.

## Evaluation

### *Long-term economic performance*

Relative to other OECD countries, New Zealand continued to lose economic ground from the mid-1980s until the early 1990s when a strong recovery in economic activity finally took place. Indeed, from the start of the reforms until 1991, the economy virtually stagnated compared with 3½ per cent growth per annum since. It is difficult to reach definitive conclusions about why recovery took so long in coming in the face of such dramatic policy changes, partly because of the problem of identifying the counterfactual for comparison, but also because numerous forces were acting on the economy at the same time, such as: the pursuit of structural reform together with economic stabilisation; the (apparently) long lags between policy implementation and the time measures have their full effects; the collapse of the stock market in 1987 that had a prolonged impact on confidence; entrenched inflation expectations; continuing constraints on export market access; and the lack of scope for economies of scale, given the small size of the domestic market. The burst of growth from the early 1990s on, reflects a cyclical recovery and a "catch-up" following structural adjustment (a low level of the effective exchange rate at the start and favourable shifts in the terms of trade).

With the economy slipping into recession of late, a relevant question to ask is therefore, whether better performance is likely to be sustained.

Real GDP growth has accelerated on average between the pre-and post-reform periods (1.2 per cent per annum over 1976-1984 compared with 1.8 per cent 1984-1997, respectively, Table 19), and there has been a marked improvement if the expansion periods are compared (4.1 per cent per annum, compared with 2.8 per cent in the earlier period). Taken together, New Zealand's macroeconomic performance seems to have become more favourable in a number of ways. *First*, there has been a distinct rise in the business investment ratio (by around 4 percentage points) over the expansion phase of the recent, compared to previous cycle. *Second*, while the unemployment rate maintained its upward trend, this was accompanied by rising employment growth. This increased employment, together with the expansion of business investment, helped support a strong rise in potential output over the first half of the 1990s (Figure 16). *Third*, from peak-to-peak, consumer price inflation averaged 11½ per cent in the period prior to reform, while it averaged just over 4 per cent in the post-reform era and only 2 per cent over the 1990s. However, in at least one important respect, recent experience has mirrored that of the past; periods of buoyant economic activity continue to lead to balance of payments pressures, posing risks to sustainable growth prospects.

In structural terms, however, the performance of the economy is somewhat mixed. Sectoral studies (Hall, 1996*a* and 1996*b*, Fare *et al*., 1996) have shown productivity improvements in sectors which were previously heavily regulated or government owned, that changes in employment practices have occurred in response to the flexible labour market, and that firms have become more specialised and place more emphasis on marketing and human resource management. But while substantial change may be occurring at the micro level and in some sectors, structural indicators at the macro level are less indicative in showing relative improvement (Table 20). Compared with the major and fast growing smaller OECD countries, New Zealand has fared only moderately well: although it has experienced a rise in the rate of potential output growth over the 1990s, at about 2½ per cent this is just around the OECD average and much lower than in Australia or Ireland; the structural rate of unemployment has fallen and is low by international comparison, but it is still considerably higher than it was in the 1980s; and while there has been an increase in the openness to trade, the magnitude of such a shift has been lower in New Zealand than in other small open economies. However, measures of total factor productivity, in particular, are prone to error, and some studies suggest that New Zealand's performance in this regard could be more favourable than indicated in Table 20.

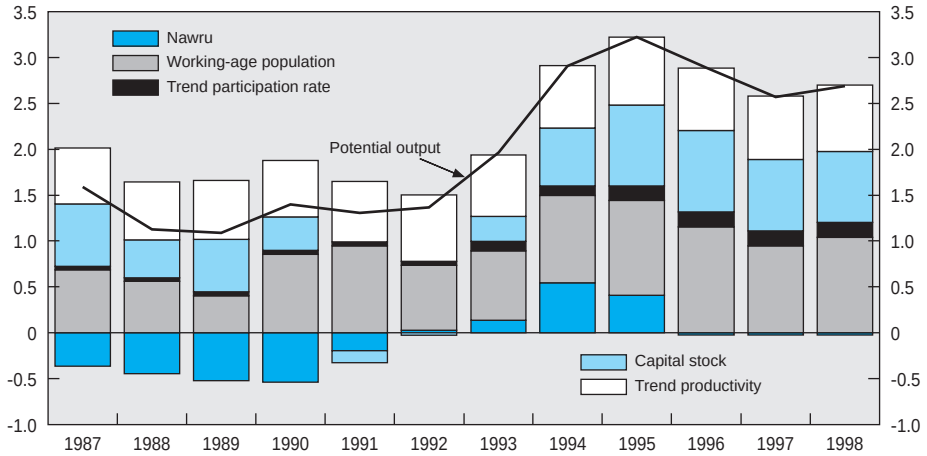
The strong pickup in the growth of employment has also resulted in poor labour productivity. Different interpretations have been placed on this

Table 19. **Economic performance across two business cycles**

| | 1976-1984 | | | | | 1984-1997 | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | | | | Change | | | | | Change | |
| | Peak 1976 | Trough 1978 | Peak 1984 | Contraction phase | Expansion phase | Peak 1984 | Trough 1992 | Peak 1997 | Contraction phase | Expansion phase |
| **Aggregate demand** | | | | | | | | | | |
| (as a share of potential GDP) | | | | | | | | | | |
| Real GDP | 104.9 | 94.2 | 101.8 | –10.7 | 7.6 | 101.8 | 94.0 | 100.4 | –7.8 | 6.4 |
| Private expenditure | 64.0 | 59.8 | 61.3 | –4.2 | 1.5 | 61.3 | 59.3 | 63.1 | –2.0 | 3.8 |
| Business investment | 8.1 | 6.8 | 10.2 | –1.3 | 3.4 | 10.2 | 8.6 | 13.4 | –1.6 | 4.8 |
| Residential investment | 5.9 | 3.7 | 4.3 | –2.2 | 0.6 | 4.3 | 3.8 | 5.0 | –0.5 | 1.2 |
| Government expenditure | 15.9 | 16.6 | 16.3 | 0.7 | –0.3 | 16.3 | 16.2 | 15.5 | –0.1 | –0.7 |
| Inventory investment | 0.3 | –3.5 | 2.7 | –3.8 | 6.2 | 2.7 | 0.8 | 0.7 | –1.9 | –0.1 |
| Net exports of goods and services | –0.6 | 0.8 | 0.8 | 1.4 | 0.0 | 0.8 | 2.0 | –2.0 | 1.2 | –4.0 |
| **Labour market and inflation**[1] | | | | | | | | | | |
| Employment rate | 74.1 | 73.8 | 71.7 | –0.3 | –2.1 | 71.7 | 65.7 | 72.8 | –6.0 | 7.1 |
| Participation rate | 75.0 | 75.6 | 76.0 | 0.6 | 0.4 | 76.0 | 73.5 | 77.3 | –2.5 | 3.8 |
| Unemployment rate | 0.4 | 1.7 | 4.5 | 1.3 | 2.8 | 4.5 | 10.3 | 6.6 | 5.8 | –3.7 |
| Consumer price inflation | 16.8 | 11.9 | 6.1 | –4.9 | –5.8 | 6.1 | 1.0 | 1.2 | –5.1 | 0.2 |
| **External indicator** | | | | | | | | | | |
| (as a share of potential GDP) | | | | | | | | | | |
| Current account | –1.5 | –0.7 | –4.9 | 0.8 | –4.2 | –4.9 | –2.6 | –8.4 | 2.3 | –5.8 |
| **Monetary indicators** | | | | | | | | | | |
| Real short-term interest rate | –11.2 | –4.3 | 9.0 | | | 9.0 | 5.0 | 7.5 | | |
| Effective exchange rate (index 1991 = 100) | 163.6 | 155.9 | 107.1 | | | 107.1 | 82.8 | 109.6 | | |
| | 1976-1984 | | | | | 1984-1997 | | | | |
| *Memorandum items:* | | | | | | | | | | |
| Growth in output (average annual) | | | | | | | | | | |
| Real GDP | | | 1.2 | | | | | 1.8 | | |
| Potential real GDP | | | 1.6 | | | | | 1.8 | | |

1. The employment and participation rate are defined in terms of the working-age population 15-64 years of age.
*Source:* OECD Analytical database and Secretariat estimates.

Figure 16. **Contributions to potential output growth**
Per cent change from previous period




*Source:* OECD Secretariat estimates.

experience. Some commentators have contended that this is a reflection of flexible labour conditions created by the Employment Contracts Act, which allowed low-quality low-wage workers to be swept into the labour market when the economy expanded (Maloney, 1998). On the other hand, as Figure 17 shows, in the event, from 1992 to 1997 those with the highest levels of education and qualifications benefited most from the expansion, while those with the lowest level suffered most (*i.e.* quit the labour force). Thus, other explanations for relatively poor labour productivity growth might also be considered. Moreover, while there has been a rise in potential output growth, this has been mainly driven by increases in both the capital stock and labour force, rather than increasing trend productivity (Figure 16, see also Smith and Grimes, 1990). At somewhat over 1 per cent, New Zealand's total factor productivity growth remains below that of other well performing economies (such as Australia, Ireland and Norway).

Taken together, the combination of macroeconomic outcomes noted above and the structural factors just cited suggest that a growth rate of around 2½ per cent is likely to be sustainable (see below). Although it is much below the rapid rate of expansion experienced in the latest upturn, this rate of growth is significantly better than what New Zealand has achieved over the 1970s and 1980s. Even so, it falls short of government objectives formulated earlier in the

Table 20. **Indicators of structural performance in selected OECD countries**

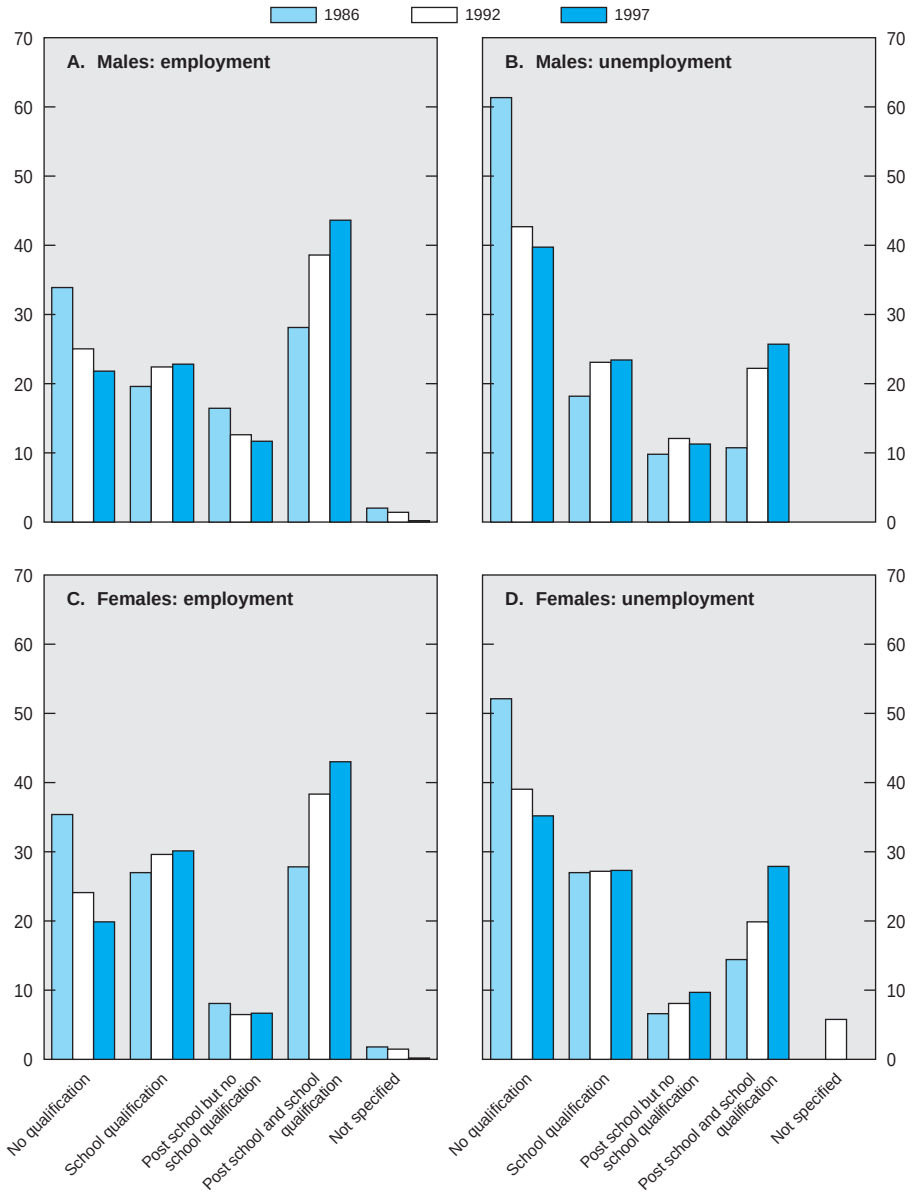
| | **New Zealand** | United States | Japan | Germany | France | Italy | United Kingdom | Canada | Australia | Ireland | Netherlands | Norway |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Potential output growth (annual average) | | | | | | | | | | | | |
| 1980-90 | **1.7** | 2.7 | 3.9 | 2.2 | 2.3 | 2.4 | 2.3 | 2.7 | 3.3 | 3.3 | 2.1 | 2.3 |
| 1990-98 | **2.5** | 2.3 | 2.2 | 3.5 | 1.9 | 1.8 | 2.2 | 2.3 | 3.0 | 6.7 | 2.8 | 2.1 |
| Output gap (period average) | | | | | | | | | | | | |
| 1980-90 | **–0.5** | –0.6 | –0.3 | –1.0 | –0.6 | 0.2 | 0.8 | –0.3 | –0.2 | –1.0 | –0.2 | –0.3 |
| 1990-98 | **–2.3** | 0.0 | –0.6 | 0.0 | –1.4 | –1.0 | –0.5 | –1.7 | –1.4 | –0.3 | 0.4 | –1.3 |
| Structural unemployment rate (period average)[1] | | | | | | | | | | | | |
| 1980-90 | **4.5** | 6.5 | 2.5 | 6.4 | 8.5 | 8.1 | 8.9 | 8.6 | 7.6 | 12.4 | 7.2 | 3.0 |
| 1990-98 | **6.7** | 5.7 | 2.7 | 8.9 | 9.8 | 10.4 | 7.8 | 8.8 | 7.8 | 12.7 | 6.1 | 4.8 |
| Labour productivity growth (annual average) | | | | | | | | | | | | |
| 1980-90 | **2.2** | 1.1 | 2.8 | 1.7 | 2.1 | 2.1 | 1.9 | 1.1 | 0.9 | 3.8 | 1.3 | 1.8 |
| 1990-98 | **0.8** | 1.1 | 0.9 | 0.8 | 1.5 | 1.8 | 1.7 | 1.0 | 2.0 | 3.9 | 0.9 | 2.6 |
| Total factor productivity growth (annual average)[2] | | | | | | | | | | | | |
| 1980-90 | **0.9** | 0.8 | 1.7 | 1.3 | 1.7 | 1.2 | 1.8 | –0.4 | 0.7 | 3.8 | 1.2 | –0.2 |
| 1990-96 | **1.3** | 0.5 | 0.5 | –0.1 | 0.8 | 1.3 | 0.9 | –0.4 | 1.6 | 3.7 | 0.8 | 2.7 |
| Employment rate (period average)[3] | | | | | | | | | | | | |
| 1980-90 | **71.3** | 68.1 | 71.0 | 63.5 | 60.9 | 54.1 | 67.8 | 68.4 | 66.2 | 54.0 | 52.7 | 75.4 |
| 1990-98 | **69.2** | 72.3 | 74.3 | 63.1 | 59.3 | 51.7 | 69.4 | 68.9 | 67.6 | 54.8 | 57.3 | 74.4 |
| Business investment (share of GDP) | | | | | | | | | | | | |
| 1980-90 | **9.8** | 9.9 | 15.4 | 11.8 | 11.9 | 10.6 | 11.0 | 9.4 | 14.7 | 11.6 | 12.0 | 18.9 |
| 1990-98 | **12.0** | 10.4 | 17.6 | 12.9 | 11.9 | 10.8 | 12.0 | 10.4 | 13.8 | 9.8 | 12.5 | 12.5 |
| Openness to trade (share of GDP)[4] | | | | | | | | | | | | |
| 1980-90 | **47.7** | 16.2 | 18.7 | 50.7 | 46.3 | 32.2 | 46.3 | 42.6 | 30.6 | 99.8 | 94.2 | 68.2 |
| 1990-98 | **58.1** | 24.2 | 23.4 | 57.7 | 55.3 | 41.3 | 55.4 | 61.3 | 44.4 | 174.8 | 113.0 | 80.7 |

1. The structural rate of unemployment is defined as the NAWRU, or non-accelerating wage rate of unemployment.
2. Total factor productivity is that of the business sector. For Italy, the United Kingdom, Australia and New Zealand the end date is 1995; for Germany 1993; and 1994 for Norway.
3. Total employment as a percentage of the working-age population.
4. The ratio of exports and imports to GDP.

*Source:* OECD Analytical Database; OECD STAN Database; and OECD Science and Technology Indicators; OECD Secretariat estimates.

Figure 17. **Qualifications of the labour force**

Per cent of total employment/unemployment




*Source:* Statistics New Zealand.

decade and is less than the rate required to advance New Zealand's real per capita incomes relative to the OECD average. Indeed, a scenario highlighted in last year's *Survey* showed that such a catch-up would only take place if economic performance were significantly improved (OECD, 1998). Thus, raising the sustainable (or potential) rate of economic growth is of paramount importance. What are the problems in this regard? *First*, it is important that policy design and implementation are sound, send the same signals and enhance economic efficiency and growth, not hinder it. *Second*, maintaining a medium-term focus implies avoiding abrupt adjustments and changes in policy direction which can create an uncertain environment in which to make saving and investment decisions. *Third*, lifting both the quantity and quality of factor inputs, particularly labour, is important, given both the relatively small size of the labour force and problems experienced in improving performance of the education and training systems. *Fourth*, a number of impediments remain (see Chapter II) which are hampering further improvements in economic efficiency.

### *Medium-term prospects*

As indicated in Chapter I, the economic recovery is currently projected to gather strength in the near term, with real GDP growth rising to around 3½ per cent in the year 2000, before gradually moderating – according to an OECD Secretariat medium-term scenario – to around 3 per cent (leading to a 1998-2004 period average of 2½ per cent per annum, Table 21). Economic growth in this range would result in eliminating the substantial output gap which emerged in 1998,[7] but is likely insufficient to prevent a renewed decline in real per capita incomes relative to the OECD average, given New Zealand's above average rate of population growth.

Such a projected evolution of real GDP over the medium term is considerably more robust than in the 1980s and close to the average experience of the 1990s. However, the sources of growth are expected to change. Business investment, which had boomed following the extensive scrapping of the capital stock due to structural reform, and private consumption, which had benefited from pent-up demand, are expected to expand at a slower pace. At the same time, the lower level of the real exchange rate (assumed to be constant) should lead to gains in export-market shares and thus a positive contribution from the real foreign balance which had deteriorated over the 1990s. Indeed, given the more moderate increase in total domestic demand, import growth is projected to lag the pace of exports. Combined with some improvement in the terms of trade, this implies a gradual narrowing of the current-account deficit, which nonetheless remains one of the largest in the OECD area.

Unemployment is projected to fall only gradually as businesses are likely to strive to improve productivity performance and labour force participation

Table 21. **A medium-term scenario**

Average annual percentage change, volumes

| | 1990-1997 | 1998-2004 |
|---|---|---|
| Private consumption | 2.6 | 2.4 |
| Government consumption | 1.4 | 0.7 |
| Fixed capital formation | 4.6 | 3.5 |
| Stockbuilding[1] | 0.0 | 0.0 |
| Total domestic demand | 2.8 | 2.4 |
| Exports | 5.4 | 6.1 |
| Imports | 6.0 | 5.4 |
| Real foreign balance[1] | –0.2 | 0.2 |
| Real GDP | 2.6 | 2.6 |
| Output gap[2] | –2.0 | –1.2 |
| Potential output | 2.3 | 2.6 |
| Business investment ratio[3] | 11.5 | 14.3 |
| Labour productivity | 0.5 | 1.4 |
| Employment | 2.3 | 1.1 |
| Participation rate (per cent) | 65.2 | 66.2 |
| Unemployment rate (per cent) | 8.1 | 7.1 |
| Private consumption deflator | 1.9 | 1.5 |
| GDP deflator | 1.7 | 1.5 |
| Private compensation per employee | 2.1 | 2.7 |
| Current account balance (per cent of GDP) | –3.2 | –5.7 |
| Real exchange rate | 1.4 | –2.7 |
| Short-term interest rate (per cent) | 8.7 | 5.5 |
| Long-term interest rate (per cent) | 8.5 | 6.0 |

1. Per cent of GDP.
2. Per cent of potential output.
3. Per cent of real GDP.

*Source:* OECD Secretariat.

should tend to rise due to both cyclical and structural influences. Unemployment in excess of its structural rate should make for wage moderation. With economic slack being only gradually taken up over the medium term, inflation is projected to stay within the Reserve Bank's target range of 0 to 3 per cent, permitting a continued low level of both short- and long-term real interest rates by historical standards that should underpin domestic demand.

Such a favourable scenario critically depends, however, on the achievement of continued higher potential output growth and the absence of destabilising influences of economic imbalances. The projected rise in the economy's

productive potential is premised mainly on the expansion of the capital stock, with only a marginal improvement in total factor productivity growth. Moreover, the persistent large external deficit foreshadowed by the projections poses a considerable risk to the medium-term outlook, it may lead financial markets to question the sustainability of New Zealand's external position, implying a higher risk premium on interest rates and exchange rate volatility.

Concerns about the level of New Zealand's external imbalance – reflected in chronic current-account deficits and mounting external debt, which at around 100 per cent of GDP is the highest within the OECD – have mounted recently, as a result of several factors:

- As noted above, despite some apparent improvements in the early 1990s, over the recent cycle the current-account deficit finally evolved in a similar manner as in previous ones, even in the presence of economic reform which was expected to alleviate this problem. Moreover, given the cyclical position of the economy, the prospects for a substantial improvement are not favourable over the medium term, thus leading to a further rise in the high level of external debt;
- This has raised concerns about the sustainability of New Zealand's external position and, indeed, a private sector rating agency has downgraded New Zealand's credit rating, citing both the current-account deficit and external liabilities as supporting its decision.

In the short term, there is a risk that these factors might change investor sentiment against New Zealand, causing a fall in the exchange rate and a rise in the risk premium on domestic interest rates which would harm economic recovery (see Chapter I). This might occur even though the current situation differs in many respects from that prevailing in the pre-reform period when large external deficits led to a foreign exchange crisis: the financial sector is in good shape; the exchange rate has been floated; fiscal consolidation has meant that the government's share of total foreign debt has fallen to a low level (around 5 per cent of the total): equity and related-company borrowing now account for more than 45 per cent of total gross foreign liabilities and the bulk of that debt is denominated in New Zealand dollars (Table 22), potentially limiting any adverse exchange rate effects (OECD, 1998 and White, 1998).

However, over the medium term, the extent to which New Zealand's external imbalance is cause for alarm is less clear, since much depends on what is driving it. Issues surrounding current-account deficits in countries that "chronically" run them are complex and as such, there are no factors which can explain them in isolation, nor often obvious policy measures to correct them. The range of possible explanations include viewing such deficits as structural in nature, as simply an outcome of an adjustment (to reform) process, or an event related to (short-term) macroeconomic problems (see Brash, 1998 and Collins *et al.*, 1998 in

Table 22. **Stock of external obligations and claims**

| | 1993 | 1994 | 1995 | 1996 | 1997 |
|---|---|---|---|---|---|
| | NZ$ billion | | | | |
| Obligations to non-residents | | | | | |
| Direct investment | | | | | |
| Equity | 21.2 | 27.2 | 32.0 | 38.7 | 41.6 |
| Borrowing from parents | 8.3 | 10.4 | 10.1 | 10.3 | 11.1 |
| Portfolio investment | | | | | |
| Equity | 2.4 | 1.5 | 2.3 | 1.7 | 1.4 |
| Debt | 7.8 | 13.4 | 14.4 | 17.7 | 19.4 |
| Other investment | | | | | |
| Official borrowing | 19.5 | 17.0 | 13.7 | 9.7 | 5.6 |
| Bank and corporate borrowing | 33.4 | 30.4 | 31.0 | 36.2 | 41.1 |
| Claims on non-residents | 28.7 | 32.5 | 32.4 | 44.8 | 47.9 |
| Net obligations | 63.9 | 67.3 | 71.1 | 69.6 | 72.3 |
| *Memorandum item:* | | | | | |
| Nominal GDP | 79.1 | 85.3 | 90.4 | 94.6 | 97.6 |

*Source:* White (1998), Table 1.

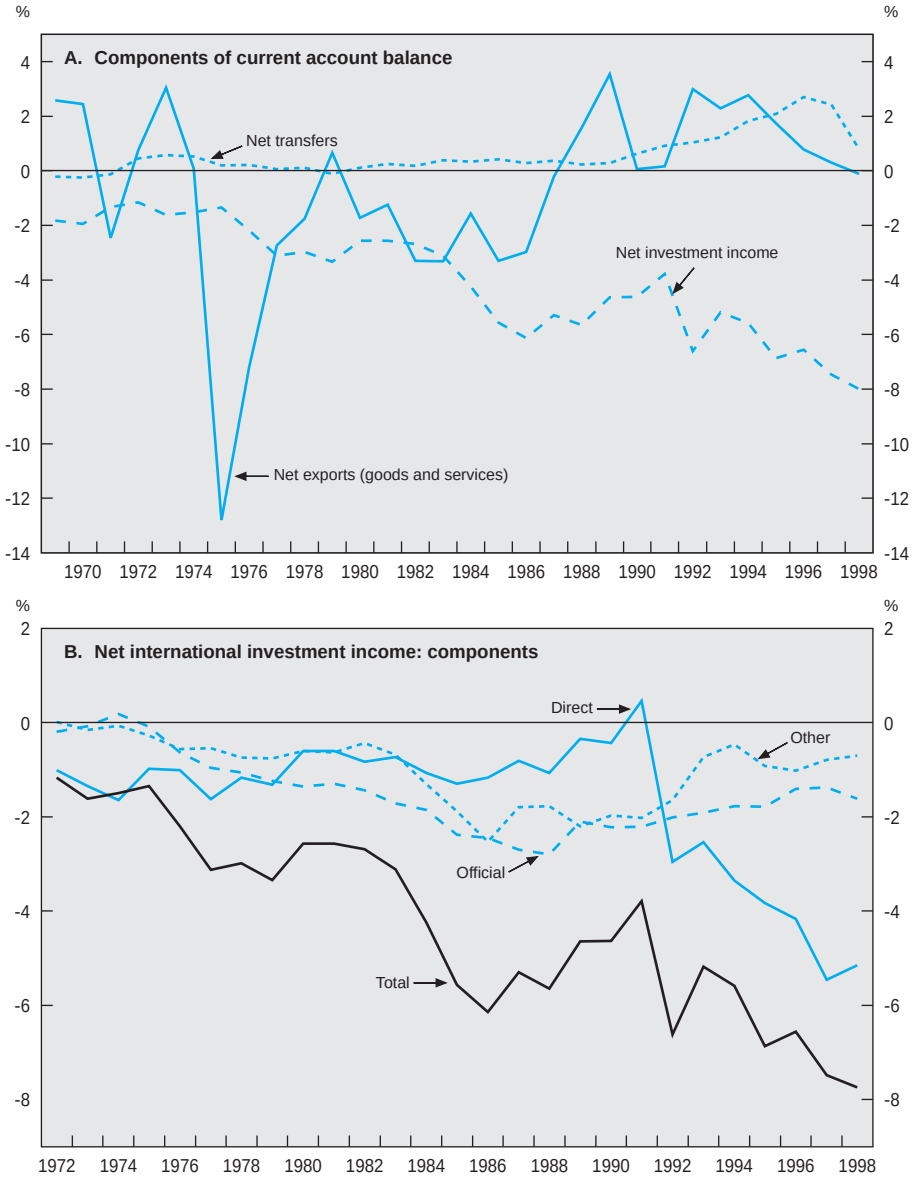
the case of New Zealand). Forming a view on the driving force behind the current-account deficit is, however, important since policy prescriptions to alleviate it can differ widely. For example, perceiving the deficit as solely a structural issue might confuse the objectives of such reform, since many distortions to economic behaviour (saving and investment) are independent of external balance concerns. In the event, taking an eclectic approach to New Zealand's current account question likely has some merit.

A non-zero current account balance implies a corresponding change (of the opposite sign) in a country's net foreign asset position. Thus, a current-account deficit must be offset by a capital inflow of equal size, and is thus driven either by a shortfall of national saving relative to domestic investment or the offsetting influence of strong capital inflows. In fact, both factors are probably playing a role, given the low level of saving (particularly of households) in New Zealand and, until recently, the surge in capital inflows in response to economic opportunities provided by the reforms (see Figure 18, panel A).

As to the composition of the external deficit, the outstanding feature is the long-term widening of the deficit on net factor payments (see Figure 18, panel B), which as a share of GDP has grown from around 2-3 per cent in the early 1970s to 8 more recently, as a result of New Zealand's rising foreign liabilities.

Figure 18. **Current account decomposition**

Percentage of GDP, March ending year




*Source:* Statistics New Zealand.

Their sheer magnitude suggests that is a driving force behind the overall deficit. However, from a structural perspective, the relatively poor trade performance since the onset of reform (New Zealand's share of world trade has not changed over the last decade), the relatively limited capacity to raise net exports (given the agriculturally-oriented export base and the fact that much of the recent FDI has been in the non-tradable sector), and rising government expenditures (in the form of transfers) working to increase consumption and reduce saving over time, have also played a role. Likewise, it is possible that the extent of structural reform and adjustment have resulted in lower than expected productivity and economic growth and hence poor returns on human and physical capital investment decisions. In this case, a lower level of income and actual, relative to desired saving would be reflected in the external deficit.

All of these explanations have some merit, which point to the importance of ensuring that the medium-term framework is sound and that policy objectives are met. Short-term adjustment to reduce the external imbalance are taking place, through the re-balancing of exchange and interest rates that has seen a marked deprecation of the New Zealand dollar. Getting the fiscal position back on track and holding the line on further spending can have both a direct effect on national saving, and an indirect effect by bolstering the credibility of the fiscal stance. Moreover, private sector saving, particularly household, has fallen in recent years and is among the lowest in the OECD area. This low level might be explained by a number of factors: the relatively favourable public sector performance (until recently); poor real income growth over the reform period; the structure of the tax system, with its reliance on direct taxes and the size of net transfers to the household sector from the government, which as a share of GDP are among the highest in the OECD area.

## Lessons for the future

Overall, the economic strategy that has evolved in New Zealand since the mid-1980s appears to be on the right course, particularly with its emphasis on structural reform and the implementation of transparent policies within a medium-term context. It is difficult to reach definitive conclusions about why economic performance has not improved to a greater extent in the face of dramatic policy changes, not least because of uncertainty around the counterfactual to draw on for comparison. Nonetheless, a host of factors probably have had some influence: the long time it takes for economic behaviour to change and adjust to new policies and incentive structures; the coincidence of structural reform with the need for macro-stabilisation; the mixed evidence showing only limited structural adjustment (OECD, 1998); the ongoing nature of the reform programme; the high and continuing trade barriers New Zealand exporters face in markets (includ-

ing in the OECD area), for products in which it has a comparative advantage; and the country's relative geographic isolation and small size, which reduces the scope for economies of scale. Moreover, the above assessment of the policy framework and execution suggests that they might have had some bearing on why the payoffs of reform have not been greater. In this regard, the following aspects of the economic strategy deserve attention:

- Achieving strong economic performance depends on the government getting many things right. Especially, this means putting into place a forward looking and consistent strategy which provides both a stable environment for capital accumulation and the right incentive structures for encouraging sound investment and saving decisions. New Zealand has gone a long way to develop such a framework. Nevertheless, in both the macroeconomic and structural areas, there have been both conflicting actions and reactions created by the policy settings: *first*, through the way in which the overall strategy is geared toward medium-term outcomes but many "performance agreements" are short-term focused, such as those in the public sector; *second*, inconsistent progress toward the achievement and maintenance of a prudent fiscal policy position despite the setting of medium-term objectives and in recent years the explicit framework of the Fiscal Responsibility Act and its transparency requirements; *third*, partly related to that, through recent shifts in the framework during the Coalition government that placed less importance on international openness, evidenced, for example, by stop-go-immigration rules, restrictions on foreign investment, and the removal from the privatisation list of certain government assets deemed to be "strategic". *Thus, actions are needed to better align the institutional framework toward accomplishing medium-term objectives by ensuring that policy makers have both sufficient time to pursue these goals and strong incentives to do so. It is an open question whether transparency alone provides sufficiently strong incentives for the ongoing pursuit of high quality policy*.
- In addition to problems related to the policy framework itself, implementation has at times, been uneven, and not entirely consistent with objectives. Fiscal decisions, for instance, have not always sufficiently taken into consideration their impact on monetary conditions, nor wider microeconomic goals of improving efficiency and economic growth. While fiscal policy should be medium-term oriented, the government has also made a public commitment to the agreed inflation target implying that it should not unduly complicate its achievement. The macro policy mix matters. At the same time, monetary policy has not always been forward looking enough to minimise output and employment fluctuations, although experience has led the authorities to lengthen their policy horizon in recent years. *To enhance growth perform-*

*ance monetary policy should keep with its recent medium-term focus. Meanwhile, fiscal policy needs to place greater emphasis on trying to reduce fiscal risk and slippage, by controlling expenditures while at the same time enhancing their quality*. This would help both alleviate pressures on the external accounts and allow more scope for dealing with the effects of population ageing and the increasing demands on health and social welfare (pensions).

– Although the economic strategy is rooted in a sound set of microeconomic principles, these will not work to uplift or even sustain better macroeconomic performance unless there is sufficient opportunity to adjust to structural change. The benefits of structural reform are likely to be slow to emerge, even when the reform is comprehensive and the policy framework right. Thus shifts in policy direction and intention can have undesired effects, which risks to be destabilising to the economy. Indeed, the pay-offs to the wide-ranging reforms may have been reduced in some cases by: *i)* ongoing uncertainty in the direction of policy in some areas such as superannuation; *ii)* the way some such policies have been designed and implemented when clear objectives for reform have not been established leading to policy changes before comprehensive evaluations had taken place (such as in health care); and *iii)* the way in which they have been implemented, their slowness (for instance in education reform and the deregulation of producer boards) both undermining credibility and leaving gaps in the strategy. Hence, while progress in structural reform has been impressive overall, and to some extent pioneering, one can see with the benefit of hindsight how better or more consistent implementation might have improved outcomes. Economic players need a sense of stable and predictable rules of the game. *Thus, within an economic framework which is based on predictability and transparency, the authorities need to become more accountable for their pursuit of new measures, or adopting significant changes to old ones, and strengthen the process of policy design and evaluation*. Such an approach would also have the desirable effect of ensuring greater fairness and hence possibly leading to greater ongoing support for reform.

– Over time, bold policy commitments have been made, with many of them being implemented. However, a number of these intentions have remained unfulfilled. *This stresses the need for constant attention and an ongoing – rather than stop-and-go – reform effort*. Challenges in this respect are, for example: the attainment of long-term fiscal goals that had been within reach but has now been pushed well into the next decade; providing scope for growth enhancing tax policy changes; putting into place reforms to the education and training systems that have taken a long time to be implemented as well as measures to strengthen labour

force participation, to raise both the quality and quantity of labour inputs; following through on the largely stalled-programme of privatisation and microeconomic reform in some areas (agricultural producer boards, competition in health and education, local government); and finding ways to boost household saving (perhaps through increasing emphasis on indirect rather than income taxes, removing disincentives and distortions to taxation, and reconsidering the impact of publicly provided pensions).

*In summary*, New Zealand's post-reform economic experience highlights the difficulties in both raising and then maintaining medium-term growth. It suggests that policy implementation alone is not sufficient to ensure beneficial and lasting outcomes. Such outcomes rely on how reforms interact across the entire policy spectrum, whether they are consistent with the policy settings and how deeply they are applied. They also depend upon learning from past mistakes. It is clear, nevertheless, that the New Zealand experience has borne considerable fruit, providing testimony to the importance of the economic strategy in improving the performance of the economy.

# Notes

1. Other perspectives on the reform programme can be found in Dalziel and Lattimore (1998), Evans *et al.* (1996) and Silverstone *et al.* (1996).
2. In 1996, New Zealand's electoral system moved from First-Past-the-Post to Mixed Member Proportional.
3. The influence of policy measures may be overstated, as the fiscal projections in 1995 did not include a provision for future increases in policy spending, although it was recognised these would occur. Such a provision is included in the current fiscal projections.
4. For example, when the exchange rate declines as a result of a commodity price decline, which should not be offset by an equivalent rise in short-term interest rates. In this case, the MCI should be allowed to fall.
5. As noted in last year's *Survey*, New Zealand's supervisory framework with its reliance on market discipline is somewhat unique, given the extensive nature of foreign ownership, and as such, may not provide a general model for other countries.
6. The Retirement Savings Scheme proposed by the Coalition government was a combination of a pure defined-contribution compulsory scheme with private accounts being managed by competing funds, and with a public top-up provided by the government to guarantee a minimum pension.
7. The output gap in 1998 is estimated by the OECD Secretariat to be around 2 as a per cent of potential GDP. By design, the medium-term scenario assumes that the gap closes by the end of the reference period, in this case the year 2004.

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*Annex I*

# Policy Targets Agreement, 1997

The central bank's main function, as set out in Section 8 of the Reserve Bank Act 1989 is to, "formulate and implement monetary policy directed to the economic objective of achieving and maintaining stability in the general level of prices". However, the Act itself does not define what is precisely meant by "price stability", instead leaving such definition open to agreement between the Minister of Finance (or Treasurer) and the Governor of the Reserve Bank. The details of that agreement are formally spelled out in a Policy Targets Agreement (Section 9).

The first Policy Targets Agreement (PTA) was signed in March 1990 and it directed the Governor to achieve (headline) consumer price inflation of between 0 and 2 per cent by the end of December 1992. Since then, there have been four further agreements. The current PTA was signed in December 1997 and runs until August 2003. Its key elements are as follows.

## Policy Targets Agreement, 1997

### *Price stability*

Consistent with Section 8 of the Act and with the provisions of this agreement, the Bank shall formulate and implement monetary policy with the intention of maintaining a stable general level of prices, so that monetary policy can make its maximum contribution to sustainable economic growth, employment and development opportunities within the New Zealand economy.

### *Policy target*

*a)* In pursuing the objective of a stable general level of prices, the Bank shall monitor prices as measured by a range of price indices. The price stability target will be defined in terms of the All Groups Consumers Price Index excluding Credit Services (CPIX), as published by Statistics New Zealand;

*b)* For the purpose of this agreement, the policy target shall be twelve-monthly increases in the CPIX of between 0 and 3 per cent;

*c)* Notwithstanding clause 2a), the Treasurer and the Governor may agree to use an alternative index of consumer price inflation following the implementation of the changes to the calculation of consumer prices proposed by the Government Statistician to take effect during 1999.

***Unusual events***

*a)* There is a range of events that can have a significant temporary impact on inflation as measured by the CPIX, and mask the underlying trend in prices which is the proper focus of monetary policy. These events may even lead to inflation outcomes outside the target range. Such disturbances include, for example, shifts in the aggregate price level as a result of exceptional movements in the prices of commodities traded in world markets, changes in indirect taxes, significant government policy changes that directly affect prices, or a natural disaster affecting a major part of the economy;

*b)* When disturbances of the kind described in clause 3a) arise, the Bank shall react in a manner which prevents general inflationary pressures emerging.

***Implementation and accountability***

*a)* The Bank shall constantly and diligently strive to meet the policy target established by this agreement;

*b)* It is acknowledged that, on occasions, there will be inflation outcomes outside the target range. On those occasions, or when such occasions are projected, the Bank shall explain in Policy Statements made under Section 15 of the Act why such outcomes have occurred, or are projected to occur, and what measures it has taken, or proposes to take, to ensure that inflation comes back within that range;

*c)* The Bank shall implement monetary policy in a sustainable, consistent and transparent manner;

*d)* The Bank shall be fully accountable for its judgements and actions in implementing monetary policy.

*Annex II*

# Public sector indicators

The tables below provide detailed information on the New Zealand government's financial performance, the Crown (that is, central government) balance sheet and public employment.

*Statement of Financial Performance*: Table A1 shows that, as noted in the text, the operating surplus increased until 1996 but has declined since then. This reflects tax measures (in

Table A1. **Statement of financial performance**

Year ended, NZ$ million

| | 30 June 1994 | 30 June 1995 | 30 June 1996 | 30 June 1997 | 30 June 1998 |
|---|---|---|---|---|---|
| **Revenue** | | | | | |
| Direct taxation | 17 585 | 19 843 | 21 255 | 20 489 | 21 260 |
| Indirect taxation | 10 120 | 10 370 | 10 978 | 11 427 | 11 722 |
| Tax revenue | 27 705 | 30 213 | 32 233 | 31 916 | 32 982 |
| Other | 2 478 | 3 435 | 2 826 | 2 862 | 2 599 |
| **Total revenue** | **30 183** | **33 648** | **35 059** | **34 778** | **35 581** |
| **Expenses** | | | | | |
| Social security and welfare | 11 479 | 11 724 | 12 240 | 12 620 | 13 003 |
| Health | 4 602 | 4 886 | 5 228 | 5 626 | 6 001 |
| Education | 4 627 | 4 803 | 4 949 | 5 335 | 5 714 |
| Core government services | 1 723 | 1 340 | 1 565 | 1 667 | 1 562 |
| Finance costs | 3 788 | 3 757 | 3 703 | 3 072 | 2 804 |
| Other expenses | 4 318 | 4 441 | 4 661 | 4 621 | 5 114 |
| Net foreign-exchange losses/(gains) | (898) | (551) | (603) | 12 | 13 |
| **Total expenses** | **29 639** | **30 400** | **31 743** | **32 953** | **34 211** |
| **Revenue less expenses** | **544** | **3 248** | **3 316** | **1 825** | **1 370** |
| SOEs and Crown entities | 211 | (553) | (2) | 83 | 1 164 |
| **Operating balance** | **755** | **2 695** | **3 314** | **1 908** | **2 534** |
| Total expenses as a percentage of GDP | 36.2 | 35.0 | 35.0 | 34.9 | 34.7 |
| Adjusted expenses as a percentage of GDP[1] | 37.1 | 35.5 | 35.4 | 34.9 | 34.9 |

1. Net foreign-exchange movements and changes in the Government Superannuation Fund (GSF) pension liability are excluded from expenses.

*Source: The Financial Statements of the Government of New Zealand,* September 1998.

Table A2. **Crown balance sheet**

NZ$ million

| Balance sheet as at: | 30 June 1994 | 30 June 1995 | 30 June 1996 | 30 June 1997 | 30 June 1998 |
|---|---|---|---|---|---|
| SOEs[1] and Crown entities | 16 569 | 16 420 | 18 487 | 18 483 | 19 022 |
| Physical assets | 13 080 | 13 432 | 13 925 | 14 502 | 14 962 |
| State highways | 7 856 | 7 454 | 7 759 | 8 210 | 8 359 |
| Receivables | 4 606 | 4 453 | 4 782 | 5 091 | 5 040 |
| Commercial forests | 712 | 646 | 551 | 505 | 573 |
| Other assets | 590 | 567 | 554 | 529 | 577 |
| | **43 413** | **42 972** | **46 058** | **47 320** | **48 533** |
| Net crown debt | 35 423 | 32 581 | 28 637 | 25 324 | 24 069 |
| GSF liability[2] | 7 951 | 8 106 | 8 332 | 8 328 | 8 095 |
| Payables and provisions | 4 138 | 3 824 | 4 070 | 4 457 | 4 639 |
| Currency in circulation | 1 529 | 1 620 | 1 675 | 1 741 | 1 809 |
| | **49 041** | **46 131** | **42 714** | **39 850** | **38 612** |
| **Crown balance** | **–5 628** | **–3 159** | **3 344** | **7 470** | **9 921** |

1. SOEs are State-owned enterprises.
2. GSF is the Government Superannuation Fund.

*Source:* *The Financial Statements of the Government of New Zealand,* September 1998.

particular, personal income tax cuts in mid-1996) combined with little further progress in lowering the expenditure-to-GDP ratio. Strongly increasing expenditures on social policies, health and education have been partly offset by reduced outlays for core government services and interest payments on the public debt. The overall financial position has been strengthened in recent years by the move from deficit to surplus of State-owned enterprises and Crown entities.

Table A3. **Public sector employment**

Total filled jobs in the public sector, thousands

| Year as at February | Central government (non trading) | | | | | Central government trading | Local government[4] | Total public sector |
|---|---|---|---|---|---|---|---|---|
| | Public service[1] | Health services | Education[2] | Other[3] | Total | | | |
| 1989 | 59.0 | 59.2 | 71.0 | 17.3 | 206.4 | 83.7 | 44.2 | 334.3 |
| 1990 | 52.2 | 58.3 | 76.3 | 18.7 | 205.5 | 66.3 | 46.7 | 318.4 |
| 1991 | 49.8 | 59.5 | 82.0 | 18.0 | 209.3 | 44.0 | 47.0 | 300.2 |
| 1992 | 47.6 | 58.3 | 80.6 | 19.7 | 206.2 | 39.4 | 42.2 | 287.8 |
| 1993 | 40.2 | 57.5 | 84.5 | 24.0 | 206.3 | 29.4 | 39.6 | 275.3 |
| 1994 | 40.1 | 56.9 | 86.2 | 26.1 | 209.4 | 23.8 | 39.1 | 272.3 |
| 1995 | 34.7 | 51.8 | 86.5 | 29.8 | 202.8 | 21.6 | 38.1 | 262.5 |
| 1996 | 34.4 | 49.7 | 93.8 | 30.0 | 207.8 | 22.9 | 40.0 | 270.7 |
| 1997 | 32.9 | 50.7 | 102.3 | 29.8 | 215.9 | 22.1 | 39.3 | 277.1 |

1. 1989-94 data for March years and 1995-97 data for June years.
2. Includes pre-school education, ancillary services to schools and other educational services.
3. Includes police and crown entities (not already included elsewhere), but not defence forces.
4. Includes regional, district and city councils, plus local authority trading enterprises.
5. Employment at business locations with more than two full-time equivalent employees.

*Source:* QES Inscope Employment,[5] Quarterly Employment Survey, Statistics New Zealand.

*Crown balance sheet*: the Crown balance sheet increased significantly every year in the past five years (Table A2). This was largely due to two factors: accumulated surpluses (of State-owned enterprises and Crown entities); and increases in asset valuations. At the end of the 1998 fiscal year, the Crown's net worth was NZ$ 9.9 billion, or just above 10 per cent as a share of GDP. Over the period 1994-1998, physical assets (buildings), highways, commercial forests and "other assets" increased by nearly NZ$ 3 billion, or 2.7 per cent as a share of GDP.

*Public sector employment*: total public sector employment (including local government) in New Zealand had fallen substantially since the end of the 1980s, from around 334 000 employees to 263 000 in 1995 (Table A3). It has since increased to 277 000 in 1998, largely due to developments in the education sector. The initial decline in overall public sector employment mainly reflects the dramatic downsizing of the "trading" sector (which includes State-owned enterprises) but also retrenchment in the core public sector. Over the same period, government employment in the education and "other" sectors (including police and Crown entities) has increased progressively while local government employment has tended to decline.

*Annex III*

# A brief history of New Zealand's economic reforms

This annex briefly describes New Zealand's economic reforms that occurred in several phases since 1984, including measures taken more recently. A detailed chronology of reform measures is given below.

## The first wave, 1984 to 1990

In the early 1980s, New Zealand together with Australia made some small moves to liberalise trade between them through the Closer Economic Relations Agreement. However, economic reform really took off in 1984. Taking office amidst an exchange rate crisis the Labour government dealt with the immediate situation by rapidly liberalising the *financial sector*. Key initiatives involved: abolition of interest rate controls; the floating of the exchange rate; removal of restrictions on balance sheet structures; relaxation of restrictions on entry to the sector; removal of limits on foreign ownership; privatisation of state-owned financial institutions; and the removal of restrictions on foreign currency borrowing (OECD, 1998).[1] Such adjustments in the financial system allowed policy makers to gain better control over monetary policy (which had been hampered by the fixed exchange rate), and to begin the process of reducing inflation. This policy was further strengthened by the explicit decision to fully-fund fiscal deficits at market interest rates.

The opening up of the financial sector was accompanied by similar moves on the *trade* front. Several things were taking place: a phasing out of the import licensing scheme which restricted the value of imports into New Zealand; the shift to a system of selling import licenses through competitive bids which facilitated a later move towards the tariffication of quota restrictions; and the elimination or phasing out of export subsidies and incentives. Moreover, the 1984 Budget signalled the government's desire to reduce the high level of tariffs and this process commenced two years later.

Subsequently, the reforms spread to other areas. Beginning in 1986, the *tax system* was overhauled with the goal of making it more neutral in its impact on economic decision making, close loopholes and reduce exemptions, to broaden the tax base and to flatten the rate scale. To that end, income tax rates were lowered for all earners and the number of tax brackets was reduced from five to three; sales and other indirect taxes were replaced by a broadly-based goods and services tax (GST), levied initially at a uniform 10 per cent on virtually all final consumption of goods and services (it was raised to 12½ per cent in 1989); company taxes were raised to the level of the highest personal income tax bracket; and a number of tax loopholes were eliminated. There was a series of moves to deregulate product markets (removal of state-regulated monopoly rights in certain industries, occupational licensing, and restrictions on shop trading hours) and the adoption of a "light-handed" regulatory structure, whose main feature is the absence of industry-specific regu-

lations, relying instead on market discipline – through the *Commerce Act 1986* – to keep business behaviour in check.

In the same year, the government embarked on a series of innovative reforms to the *public sector* that concerned, at first, improving the performance of the wide-ranging and extensive businesses which it owned, and later removing itself from those commercial ventures in which there are little or no public policy reasons for being involved (OECD, 1996). These latter business interests were gradually *privatised* in a programme that has so far yielded over NZ$ 16.6 billion in asset sales. The principles of public sector reform were laid out in the *State-Owned Enterprises Act 1986, the State Sector Act 1988,* and *the Public Finance Act 1989,* and are premised on a similar set of assumptions: that public sector performance could be enhanced by clarifying objectives and strengthening incentive structures; that it should be accountable, with performance measured against clear expectations; that public sector activities should be transparent; and where there is no public policy objective or market failure, the provision of goods and services should be left to the private sector. Accordingly, a number of public enterprises have become "corporatised" (that is, they have to operate like private sector entities); in the core public sector, head of departments have been made fully responsible for how they deliver "outputs" that are defined in performance agreements with the relevant Minister; and government agencies have been made subject to the same financial reporting obligations and standards as the private sector.

In 1987, the industrial relations framework was altered somewhat through the *Labour Relations Act.* Its major provisions were: to allow unions, but not employers, to opt out of the national award system, creating the possibility (for the first time) of industry and enterprise bargaining; to reduce the fragmentation of the union movement (registered unions were required to have a minimum of 1 000 members); and to replace the Arbitration Court with a three-part approach to resolving industrial disputes, through a (voluntary) mediation service, an Arbitration Commission, and a Labour Court. These changes fell short, however, of a significant labour market reform.

Near the end of the Labour government's second term in office, the *Reserve Bank Act 1989* was passed into law. Behind the Act were a number of underlying motives such as enhancing performance, transparency, and accountability of the monetary authorities – in the same spirit and manner as other public sector reforms taken earlier – but its principle purpose is to formally recognise that "the primary function of the (Reserve) Bank is to formulate and implement monetary policy directed to the economic objective of achieving and maintaining stability in the general level of prices" (Section 8 of the Act). Thus, in formulating and implementing monetary policy, the Act gives the Bank in principle, freedom from political interference, although it may be overruled. Indeed, the government may direct the Bank to formulate and implement monetary policy for a different economic objective (i.e. overriding price stability) but before doing so, it must invoke an Order in Council which would be valid for a period not exceeding twelve months (and is renewable) and publicly announce such an Order to Parliament.

The Act itself does not define precisely what is meant by "price stability", instead it leaves such issue open to Policy Target Agreements (PTAs) between the Minister of Finance and the Governor of the Reserve Bank. (Details of the current PTA are presented in Annex II.) As well as setting out target bands for specific indicators of inflation, the PTA typically specifies events which may lead to inflation outcomes outside of the target range; it also requires the Governor to explain the reason for any breaches of the target and to state what measures he has taken, or proposes to take, to ensure that inflation comes back within the target range. (The Governor can be dismissed for any breach of the target, on

the basis of poor performance.) The Reserve Bank must also publish a detailed *Monetary Policy Statement* at least every six months (in practice this has evolved into quarterly announcements) and a Select Committee of Parliament is charged with examining these reports.

Thus, the Act puts into place a statutory commitment for the central bank to achieve price stability as well as providing it with the means and incentives to accomplish this goal. Although somewhat constraining (see below), this legislation significantly improves on the previous framework for monetary policy in a number of ways (Dawe, 1990): by restricting the Government's ability to direct the Bank toward pursuing a multitude of often conflicting objectives, it allows the Bank to focus on a goal over which it has some (medium-term) control, unlike past legislation which required the monetary authorities to promote real output growth, trade and full employment; and by making it clear that the government merely defines the notion of price stability, while it is the responsibility of the Reserve Bank (in particular the governor) to achieve it, it greatly reduces uncertainty about actions and outcomes.

In sum, the period 1984-1990 witnessed a host of radical economic reforms to a number of policies, although some areas were yet to be addressed, most importantly: creating a flexible labour market; reducing dependency on social welfare and work disincentives; and achieving fiscal consolidation.

### The second wave, 1990 to 1996

In 1990, the government changed hands and the National Party gained control of the reform agenda. As in the initial period, the deteriorating economic situation and the advice provided out by the Treasury (Treasury, 1990) had a strong influence over the evolution of the reform programme, as did the worsening fiscal outlook. The new government moved quickly in several areas where important unfinished business remained. An "Economic and Social Initiative" announced in December contained the following main elements: labour market reform, reductions in social spending (health, education, social welfare and superannuation); tightening and reduction of unemployment and other government social transfers; and changes to the funding of both health and education.

The *Employment Contracts Act*, adopted in 1991, aimed to promote an efficient labour market by providing employers and employees the freedom to choose with whom, and within what structures, they associate, and by making the nature and structure of employment contracts a matter for the parties themselves to determine.[2] At the same time, the authorities adopted grievance and dispute-settlement procedures (through the Employment Court and Tribunal), and preserved a statutory minimum code of employment rights relating to a minimum wage (extended to youths), as well as to holidays, sick leave and occupational health and safety.

In the area of *social assistance*, reforms aimed to increase self-reliance by promoting labour force participation, while also taking account of fairness for both taxpayers and beneficiaries and with a view to reducing the fiscal burden. These measures included: the introduction of user part-charges and means-testing for various government services; substantial unemployment benefit rate reductions and tightened benefit eligibility (through an increase in the stand-down period); lowering the replacement rates for sickness, invalid, single parent and student allowances; and with regard to the publicly-provided pension scheme (which was renamed National Superannuation), increasing the surcharge (abatement rates facing beneficiaries), lowering the abatement thresholds, and raising the eligibility age progressively from 60 to 65 years between 1992 and 2001.

In *education* policy, the authorities moved progressively to improve both the national curriculum and introduce bulk funding at the compulsory level, and to change the nature of funding at the tertiary level by allowing institutions to set their own fee structures and financing "student places" rather than subsidising institutions. In the *health sector*, a major reform was implemented from 1993 when the authorities de-centralised the system into four "Regional Health Authorities (RHAs)", and attempted to increase efficiency by separating the government's role as both funder and provider (through the RHAs) of health services. The RHAs received funding for the purpose of purchasing health services on behalf of the government from a range of health providers, including government-owned hospitals and facilities and other private sector providers (OECD, 1996).

Fiscal discipline in New Zealand had been lacking over a long period of time, contributing to poor past performance and mounting public debt. In an attempt to safeguard incipient improvements in government finances and policy credibility, the *Fiscal Responsibility Act* (FRA) was introduced in mid-1994. The explicit objectives of the Act were stated as follows (Treasury, 1995):

- Increase the transparency of policy intentions and the economic and fiscal consequences of policy;
- Bring a long-term (as well as an annual) focus to budgeting;
- Disclose the aggregate impact of a Budget in advance of the detailed budget allocations;
- Ensure independent assessment and reporting of fiscal policy; and
- Facilitate parliamentary and public scrutiny of economic and fiscal information and plans.

Accordingly, an important feature of the FRA is to improve the information flow through a number of mandated reports which are required at well-specified times during the fiscal year. However, the essence of the FRA is laid out in Section 4, which defines five operating principles of responsible fiscal management (Treasury, 1995):

- "Reducing total Crown debt to prudent levels so as to provide a buffer against factors that may impact adversely on the level of Crown debt in the future, by ensuring that, until such levels have been achieved, the total operating expenses of the Crown in each financial year are less than its total operating revenues in the same financial year;
- Once prudent debt levels of total Crown debt have been achieved, maintaining these levels by ensuring that, on average, over a reasonable period of time, the total operating expenses of the Crown do not exceed its total operating revenues;
- Achieving and maintaining levels of Crown net worth that provide a buffer against factors that may impact adversely on the Crown's net worth in the future;
- Managing prudently the fiscal risks facing the Crown; and
- Pursuing policies that are consistent with a reasonable degree of predictability about the level and stability of tax rates for future years."

The Act attempts to improve both the accountability and transparency of fiscal management by requiring the government to state its fiscal plans over both the short- and long-term, and to demonstrate the consistency of its objectives with the principles laid out above. However, like the Reserve Bank Act 1989, the FRA also contains an escape clause which allows the authorities to depart from the above principles, provided: that any such departure is temporary; and that the Minister of Finance specifies the reasons for the

departure, the approach the government intends to take to return to those principles, and the period of time to do so (FRA, Section 4, subsection 3).

### The post-1996 period

In 1996, New Zealand held its first general election under the new Mixed Member Proportional (MMP) system. What arose from the results was a Coalition formed between the previous National government and members of the New Zealand First Party. The Coalition held together until August 1998 when a National-led minority government assumed power. The reform process had lost momentum in the mid-1990s, in much the same way as it had toward the end of the first wave in the 1980s,and there were widespread perceptions that the switch to a Mixed Member Proportional electoral system would lead to a further slowdown of policy changes. In the event, there has been some progress in both the fiscal and structural policy area (see Chapter II for more details): some fiscal savings and the lowering of the authorities' long-term debt target; tariffs on automobiles have been removed, while those for all other imports will disappear by the year 2006; reform of the electricity market has resumed, involving partial privatisation through the sale of Contact Energy; competition is being introduced for the provision of accident compensation; and reform of the long-standing export monopoly of agricultural producer boards is being examined.

### Chronology of economic reform

**1984-1998**

| | |
|---|---|
| **Capital markets** | |
| Removal of controls on outward investment and borrowing | 1984 |
| Deregulation of foreign exchange trading | 1984 |
| Devaluation by 20 per cent against basket of currencies | 1984 |
| Free float of currency on foreign exchange markets without direct control | 1985 |
| Free entry of foreign direct investment (rubber stamped by Overseas Investment Commission, except for farmland, offshore islands and fishing) | 1985, 1989 |
| Very liberal regime for portfolio investment and repatriation of profits | 1985 |
| **Financial sector** | |
| Abolition of credit growth guidelines | 1984 |
| Removal of interest rate controls | 1984 |
| Abolition of export credit guarantees | 1984 |
| End of formal financial controls (reserve ratio requirements, sector lending priorities) | 1985 |
| Removal of ownership restrictions on financial institutions | 1985 |
| Removal of separate requirements for trustee banks, building societies, finance houses, stockbrokers | 1985-87 |
| Removal of quantity restrictions and other entry barriers to banking | 1985-86 |
| Liberalisation of stock exchange | 1986 |
| New banking supervision arrangements | 1996 |
| Investment Advisors (Disclosure) Act comes into force | 1997 |

| | |
|---|---|
| **Improvements to the payments system** | |
| Real-time gross settlements system (RTGS) introduced | 1998 |
| **Energy sector** | |
| Corporatisation of state coal mines | 1987 |
| Financial restructuring of oil refinery | 1988-91 |
| Legalisation of oil company ownership of service stations | 1988 |
| End of price controls | 1984-93 |
| Sale of Crown gas exploitation and distribution interests | 1988-90 |
| Sale of other Crown energy holdings | 1990-92 |
| Corporatisation and restructuring of electricity generation and transmission | 1986-91 |
| Corporatisation, privatisation and deregulation of gas and electricity distribution | 1993-95 |
| Competition in electricity generation, Electricity Corporation split | 1993-95 |
| Splitting of ECNZ into three separate, competing state-owned enterprises (from April 1999) | 1998 |
| Force electricity supply companies to separate their power line and retailing businesses | 1998 |
| Sale of Contact Energy (mid-1999) | 1999 |
| **Transport sector** | |
| Corporatisation of state rail, air and bus services | 1982-84 |
| Removal of restrictions on road and rail carriage | 1983-86 |
| End of quantity licensing of trucking | 1984 |
| End of all state monopoly rights (and air traffic control) | 1984-98 |
| Corporatisation of Airways Corporation | 1987 |
| Tendering of local authority bus services and liberalisation of licensing requirements | 1987-91 |
| Opening up of domestic aviation industry | 1987 |
| Corporatisation and sale of airports | 1988- |
| Granting of a number of landing and on-flying rights to foreign airlines | 1989 |
| Corporatisation of ports | 1989 |
| Deregulation of taxi industry | 1990 |
| Deregulation of stevedoring industry | 1990 |
| Removal of cabotage and partial deregulation of coastal shipping | 1991-94 |
| Privatisation of New Zealand Rail | 1993 |
| **Agricultural sector** | |
| Termination of supplementary minimum prices on agricultural products | 1984 |
| Termination of domestic boards for eggs, milk and wheat | 1984-88 |
| Agricultural tax concessions removed | 1985 |
| Termination of concessional financing of primary producer stocks held by producer boards | 1986-88 |
| Review of compulsory producer marketing board arrangements | 1987 |
| Review of statutory powers granted to producer boards | 1998 |
| **Science sector** | |
| Removal of concessions for research and development to put on equal footing with all investment | 1984 |
| Cost-recovery of public research and development work | 1985 |

| | |
|---|---|
| Establishment of a contestable pool of public funds (Foundation for Research, Science and Technology | 1990 |
| Corporatisation of government research bodies (Crown Research Institutes) | 1992 |
| **Other industry reforms** | |
| End of wage-price freeze | 1984 |
| Termination of price controls and replacement by price surveillance powers under the Commerce Act 1986 | 1984-88 |
| End of all state regulated monopoly rights (except postal service and air traffic control) | 1984-89 |
| Removal of some occupational licensing | 1985-90 |
| Removal of quantity licensing on almost all industries and end of quality regulation on most industries | 1986-88 |
| Removal of producer co-operative tax advantages | 1989 |
| Termination of restrictions on shop trading hours | 1989 |
| **Business law reform** | |
| Establishment of Commerce Act 1986 to govern mergers and trade practices | 1986-91 |
| Fair Trading Act 1986 to govern consumer rights | 1986 |
| Securities Amendment Act 1988 | 1988 |
| Review of securities legislation and take-over law | 1988-94 |
| Review of intellectual property regime (patents, copyright, trademarks and designs) | 1990-91 |
| Companies Act 1994 | 1994 |
| **International trade** | |
| Termination of export market development incentive schemes | 1984 |
| Phaseout of import licensing requirements | 1983-89 |
| Phaseout of export performance tax incentives | 1984-87 |
| Removal of special protection features for 18 specific sectors and incorporation into general tariff reform | 1984-92 |
| Reduction of import tariffs on Swiss formula from an average of 28 to 5 per cent | 1986-96 |
| Slower reduction tariffs on two remaining "special industries" (motor vehicles, components, textiles, clothing and footwear) | 1987-96 |
| Eliminated automobile tariffs | 1998 |
| Phased reduction of all tariffs by the year 2006 | 1998 |
| Removal of import licensing restrictions on goods protected by copyright | 1998 |
| **Monetary policy** | |
| Independence of Reserve Bank formalised through Reserve Bank Act 1989 (monetary policy instruments devoted to disinflation, with target of "price stability" by 1992-93) | 1989 |
| **Tax reforms** | |
| Standardisation and simplification of corporate taxation to minimise evasion and to cut administrative costs | 1985 |

| | |
|---|---|
| Broadened tax base through a goods and services tax (GST) on virtually all final domestic consumption (initially 10 per cent, later 12.5 per cent) | 1986, 1989 |
| Removal of most other indirect taxes | 1986-91 |
| Removal of tax concessions for savings, etc. to put on neutral footing | 1987 |
| Flattening and lowering of personal income tax rate, with top rate standardised to corporate tax levels and aimed to minimise poverty traps | 1988 |
| Review of international tax regime | 1995 |
| Further income tax reductions | 1996 |
| Personal tax reductions | 1998 |
| **Corporatisation and privatisation** | |
| Removal of almost all state regulated monopoly rights | 1984-89 |
| State-Owned Enterprise Act 1986 | 1986 |
| Corporatisation of 24 state-owned enterprises (in transport, finance, tourism, forestry, broadcasting, utilities and service industries) | 1987-88 |
| Full or partial privatisation of Air New Zealand, Bank of New Zealand, Petroleum Corporation, Shipping Corporation, Tourist Hotel Corporation, Rural Bank, Government Life, Forestry Corporation, Post Office Savings Bank, Radio New Zealand, Telecom Corporation and others | 1987-91 |
| Restructuring to isolate natural monopoly elements of state enterprises | 1989-91 |
| Requirement for local authorities to corporatise local-authority trading enterprises and tender out services | 1990-91 |
| Further privatisation planned via asset sales, sale of rights, sale of shares, etc. | 1991 |
| Encouragement to local authorities to sell holdings in airports, port companies and local utilities | 1991 |
| Crown's remaining stake in Forestry Corporation of New Zealand Limited sold | 1996 |
| Privatisation of Auckland International and Wellington International Airport | 1998 |
| Privatisation of Capital Properties New Zealand Limited | 1998 |
| **Expenditure control** | |
| Reduction in government expenditure, especially administration 1and industry development | 1985-87 |
| User pays principles for remaining state trading activity | 1986-90 |
| Abolition of 50 quangos and quai governmental organisations | 1987 |
| Assignment of proceeds of sale of state enterprise assets to repay public debt | 1987-89 |
| Reform of core government departments on corporate lines through the State Sector Act 1988, with separation of policy, provision and funding | 1988-93 |
| Public-sector management reform through the Public Finance Act 1989 | 1989 |
| Redesign of government accounts on more commercial basis, accrual accounting, output based monitoring systems through the Public Finance Act | 1989 |
| Reduction in social spending (education, health, social welfare and superannuation) | 1991-93 |

| | |
|---|---|
| Fiscal Responsibility Act 1994 (fiscal management regime) | 1994 |
| Local Government Law Reform Bill 1995 (fiscal regime for local authorities) | 1995 |

**Labour market**

| | |
|---|---|
| Introduction of voluntary unionism | 1983 |
| More market-based bargaining under Industrial Relations Act Amendment 1984 (compulsory unionism reinstituted) | 1984 |
| Some contestability in union coverage under Labour Relations Act 1987 | 1987 |
| Radical reform via Employment Contracts Act 1991 (voluntary unionism, contestable unions, deregulation of employer-employee bargaining) | 1991 |
| Introduce competition to the accident compensation scheme | 1998 |
| Community wage replaced the existing unemployment, training and sickness benefit | 1998 |
| Introduce work capacity tests | 1998 |
| Create a one-stop shop for employment services under the new Department of Work and Income | 1998 |

**Resource use**

| | |
|---|---|
| Introduction of tradeable fishing rights | 1986 |
| Sale of assets (for example, irrigation schemes, fishing rights, forestry cutting rights) | 1989- |
| Auctioning of radio spectrum | 1987-89 |
| Review of Town and Country Planning Act 1986 | 1987-90 |
| Resource Management Act 1991 to govern more liberal planning and environmental legislation | 1991 |
| Crown Minerals Act 1991 to clarify property rights to mineral resources | 1991 |
| Carbon emission regime | 1995 |

**Social services**

| | |
|---|---|
| Reform of compulsory education system, based on elected boards of trustees | 1988-90 |
| Tightening of requirements, postponement of age of eligibility and reduction of benefits for government-funded pensions | 1989-92 |
| Tightening and reduction of unemployment benefits and other government social transfers | 1990 |
| Integration of state housing assistance into private sector rental and mortgage provision | 1991 |
| Possible development of private funding arrangements for health provision | 1992 |
| Quasi corporatisation and fee paying for tertiary education institutions | 1992-95 |
| Separation of funding from provision of state health services, establishment of Crown Health Enterprises and private sector deregulation | 1992-93 |
| Creation of a Health Fund Authority to replace the four Regional Health Authorities; hospitals to function in a not-for-profit manner | 1998 |
| Funding for tertiary education to become demand driven with public funding following student choice | 1998 |

## Notes

1. In 1987, formal banking supervision was introduced (and later overhauled in 1996) and in 1988, securities legislation was tightened.
2. The Employment Contracts Act makes union membership voluntary, it allows employees to choose either to negotiate an individual employment contract, or to be bound by a collective agreement; likewise it enables the employer to choose to negotiate an individual contract with an employee or to negotiate or to elect to be bound by a collective employment contract.

*Annex IV*

# Chronology of main economic events

## 1998

### January

Transitional Health Authority (THA) becomes the National Health Funding Authority (HFA) (1 January).

### February

Budget Policy Statement released (4 February). The Government indicates that spending intentions will be reviewed if economic circumstances threaten fiscal surpluses before prudent debt levels are reached. Stated Budget priorities included:

- Tax reductions from 1 July 1998;
- Running operating surpluses and repaying debt; and
- Controlling priority spending within NZ$ 5 billion.

Additional spending to be focused on health, education, employment, strengthening families, and law and order.

The Government announces (17 February) its intention to proceed with a sales process for Solid Energy New Zealand Limited.

The Reserve Bank of New Zealand releases a media statement (23 February) warning markets that monetary conditions have eased too far, and that conditions closer to those indicated in the *Monetary Policy Statement* are desired.

### March

The Reserve Bank of New Zealand sanctions an easing of monetary conditions, following the release of the March *Economic Projections* (18 March).

The Reserve Bank of New Zealand cautions markets about overreacting to the monetary easing (27 March), signalling its intent to alter the cash target to prevent further easing.

### April

The government announces its Electricity Reform package on 7 April with an in-principle decision to split ECNZ into three competing State-owned generators, and for electricity supply companies to be divided into separate line and energy businesses.

Full postal competition is permitted.

**May**

The 1998 Budget was presented. The main features included:

- An estimated operating surplus for 1997/98 of NZ$ 2.8 billion, rising to NZ$ 3 billion in the year 2000/01;
- The setting aside of NZ$ 300 million of Coalition Agreement expenditures;
- A revised net debt target to below 15 per cent of GDP;
- Introducing competition between Accident Compensation Corporation (ACC) and commercial insurers in the delivery of the Employers' Account and insurance for the self-employed starting in July 1999;
- All tariffs on motor vehicles, with the exception of motor homes and ambulances, removed with effect from midnight 14 May 1998. (The tariff applying to ambulances and motor homes will be removed on 1 December 2000.) Removal of prohibition on parallel importing;
- Producer boards to submit plans by mid-November on possible paths for the removal of their statutory backing;
- Unemployment (and sickness) Benefit to become a "Community Wage" in October 1998, as well as the launch of integrated employment and income support service. Commence trial work capacity tests for invalid and sickness beneficiaries from November 1998;
- A move to fully demand-driven funding for tertiary students. An extra NZ$ 250 million over three years to implement changes to the resourcing of tertiary education in order to remove the cap on the number of tertiary students entitled to a government subsidy to help pay for cost of tuition and to expand public funding to students at private tertiary providers, commencing 1999.

The Reserve Bank of NZ releases its *Monetary Policy Statement*, indicating a further monetary easing.

The Government completes a review of its ownership interests in Television New Zealand.

**June**

Moody's Investor Services places New Zealand on credit rating review (5 June).

The Reserve Bank of New Zealand expresses concern at the extent of monetary easing.

Announcement (29 June) of a further NZ$ 300 million of Coalition Agreement expenditure to be set aside.

**July**

Tax cuts introduced (1 July). Effective personal tax rate on income between NZ$ 9 500 and NZ$ 34 200 reduced from 24 to 21 per cent, and the rate on income between NZ$ 34 200 and NZ$ 38 000 reduced from 33 to 21 per cent.

Crown Health Enterprise (CHE) name change to Hospital and Health Services (HHS) (1 July). HHS made "not-for-profit", a capital charge is introduced, and previous tax losses extinguished.

Electricity Industry Reform Act comes into force (8 July). This legislates for the mandatory ownership split of lines and energy businesses and gives Ministers the power necessary to implement a split of ECNZ into three SOEs.

Government announces the details of the further NZ$ 300 million savings package (20 July). Savings included:

- Moving ACC motor vehicle account to fully funded basis; and
- Reducing the increase in tertiary tuition funding announced in the Budget from NZ$ 250 million to NZ$ 155 million.

**August**

Sale of the Crown's 51.6 per cent shareholding in Auckland International Airport for NZ$ 390 million (3 August). The sale was conducted by means of a public float. As part of the sale Auckland Airport restructured its balance sheet and paid a special dividend of NZ$ 135 million of which the Crown received NZ$ 70 million.

Prime Minister Jenny Shipley dismisses the NZ First leader and Deputy Prime Minister Winston Peters from his post as Treasurer and from Cabinet (14 August).

The Government announces the sale of its 66 per cent shareholding in Wellington International Airport Limited to NZ Airports Limited for NZ$ 96.36 million (14 August).

The Reserve Bank of NZ releases its *Monetary Policy Statement* (20 August), sanctioning an easing of monetary conditions and signalling scope for further easing in the period ahead.

The Reserve Bank of NZ releases a media statement warning markets that monetary conditions have eased too far, too fast (26 August).

The Coalition Government between the National and New Zealand First Parties is terminated (26 August). The National party forms a minority government.

New Zealand dollar falls to a twelve-year low of 47.85 US cents.

**September**

The sale of a further tranche of Housing Corporation mortgages for NZ$ 180.9 million (net of costs) was announced (1 September).

Release of an updated *Economic and Fiscal Outlook* (8 September) which included a significant downward revision to growth prospects and a move into operating deficit in 1999/2000.

Standard and Poors put New Zealand's credit rating for foreign currency debt on negative outlook (11 September).

The Electricity Reform Transition Unit's Interim Certification Reports set out the detailed aspects of the proposed split of ECNZ (15 September).

Government releases the Financial Statements for year ended June 1998, which show an operating surplus of NZ$ 2 534 million, net worth of NZ$ 9 921 million, and net Crown debt of NZ$ 4 069 million (17 September).

Introduction of the Accident Insurance Bill (17 September). The bill would allow commercial insurance companies to compete against the Accident Compensation Corporation (ACC) to manage claims and underwrite insurance, within certain parameters.

Moody's downgrades New Zealand's foreign currency debt credit rating to Aa2, from Aa1 (24 September).

Government announces the phasing out of all remaining tariffs by 2006 (29 September).

**October**

Department of Work and Income operational.

ECNZ sold Coleridge power station for NZ$ 90.7 million.

The Government announced a "Policies for Progress" package, that included:

- A time line for reducing tariffs to zero by 2006;
- A decision to work towards the sale of Contact Energy, partially by public float;
- The establishment of a Superannuation 2000 Task Force, that is charged with finding a sustainable and affordable solution to New Zealand's superannuation;
- A decision to lower the floor above which public pensions move in line with consumer prices, rather than wages, from 65 to 60 per cent of the average wage;
- The liberalisation of immigration policies through: allowing people applying for residence to have all their work experience counted towards points under the General Skills category; establishing a new Entrepreneur category for foreign nationals who have established successful businesses; abolishing the English language bond, which will be replaced with pre-purchased English language training.

**November**

The government announces its decision to proceed with the sale of Contact Energy Limited (30 November).

The Reserve Bank of New Zealand released its *Monetary Policy Statement*, projecting only a modest economic recovery and hence unchanged monetary conditions in the period ahead.

Government completes the public share float of Capital Properties Limited New Zealand (CPNZ). At the time of sale, CPNZ had purchased around 80 per cent of the total assets of Government Property Services (GPS). GPS will sell down its remaining assets over time. As a result of the float of CPNZ, the Crown received total cash proceeds of NZ$ 100 million (receipt of NZ$ 60 million of this due in June 2000) and GPS has retired all of its existing debt.

On 17 November the government announced its decision to decline the final bids from parties seeking to purchase the government's shares in Solid Energy New Zealand Limited.

**December**

The *Budget Policy Statement* was released. It highlighted the government's policy priorities for the period 1999-2002. Budget priorities for 1999 included making NZ$ 600 million available for additional policy initiatives.

The *December Economic and Fiscal Update* projected a further widening of the operating deficit in 1999/2000 with a return to a small surplus in 2001/02.

Sale of a further tranche of Housing Corporation of New Zealand mortgages was announced with net proceeds of NZ$ 60 million.

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